



ENVISIONING OUR TRUE POTENTIAL

Being the flag-bearer of the non-interest based banking model in Sri Lanka, we are honoured to have firmly established ourselves and the model of people friendly banking in the country.

Having worked on the reach and convenience we offer to our customers, we have reached industry par within a short period.

We are now ready to innovate and transform along with the industry and may be even ahead of it; towards an exciting future in a quest to be the best we can be to our customers and stakeholders.

We envision a future of realising our true potential, while staying true to our core values and that ever important human touch that sets us apart from the rest.



VISION

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.



MISSION

To adopt a unique and people friendly approach with a passion for continuous improvement, enabling growth and enriching lives of our customers.

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A hand is shown holding a magnifying glass, with the lens focused on a white icon of a smartphone with a hand touching the screen. The background is a solid purple color. The text "ENVISIONING A NEW AGE OF CONVENIENCE" is centered within the magnifying glass's frame.

ENVISIONING A NEW AGE OF CONVENIENCE



We understand that banking as we know it today is transforming rapidly with evolving technology. We are ready and committed to innovate and embrace change towards a new age of convenience.

FINANCIAL HIGHLIGHTS

	2016	2015
Profitability (LKR Million)		
Financing Income	4,040	2,886
Net Financing Income	1,924	1,481
Total Operating Income	2,433	2,067
Total Operating Expenses	1,945	1,693
Operating Profit Before VAT on Financial Services and NBT	271	371
Profit Before Tax	103	219
Profit After Tax	41	159

Position at the Year End (LKR Million)

Financing and Receivables to Other Customers (Advances)	38,452	33,074
Total Assets	54,315	47,742
Due to Other Customers (Deposits)	46,915	38,467
Shareholders' Funds	5,788	5,723

Information per Share (LKR)

Earnings	0.03	0.13
Net Assets Value	4.63	4.58
Market Price	4.00	5.60

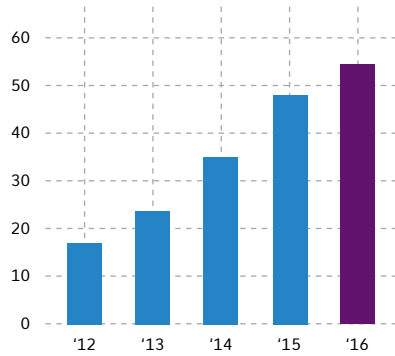
	2016 %	2015 %
Ratios		
Growth in Income	40.0	19.9
Growth in Due to Other Customers (Deposits)	22.0	32.1
Growth in Financing and Receivables to Other Customers (Advances)	16.3	30.1
Growth in Total Assets	13.8	37.2
Growth in Shareholders' Funds	1.1	13.9
Advances to Deposits	82.0	86.0
Financing Margin	3.6	3.6
Return on Average Shareholders' Funds	0.7	3.0
Return on Average Assets	0.1	0.4

Others

Gross Non Performing Advances Ratio	0.89	0.92
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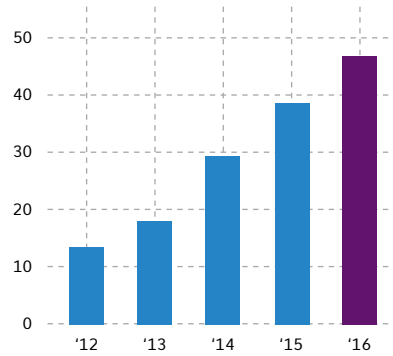
Total Assets

LKR Billion



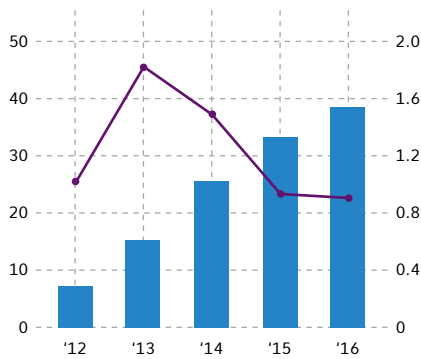
Deposits

LKR Billion



Advances Vs. NPA

LKR Billion

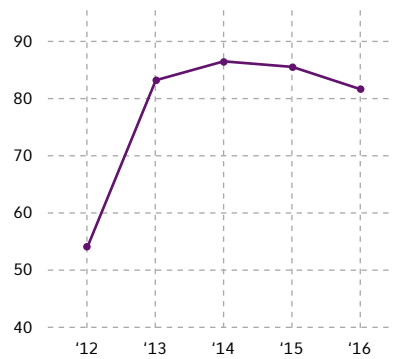


■ Advances (LKR Billion)

◆ NPA (%)

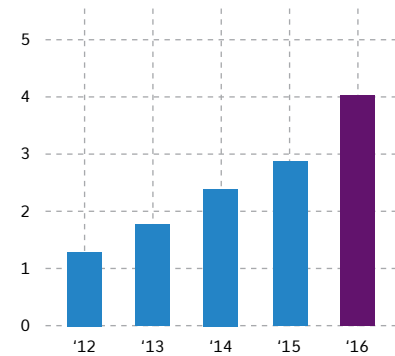
Advances to Deposits Ratio

%



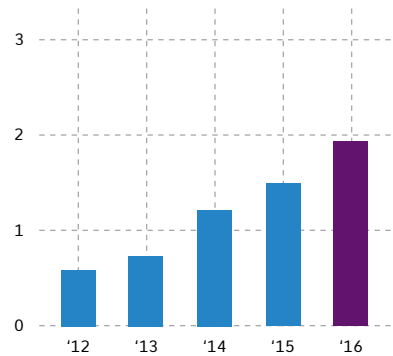
Financing Income

LKR Billion



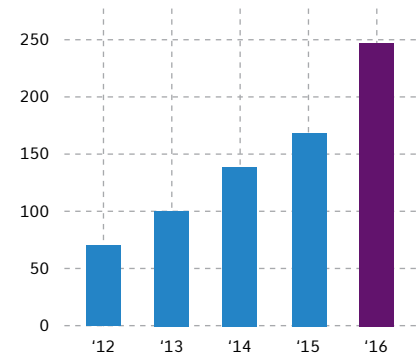
Net Financing Income

LKR Billion



Net Fees and Commission Income

LKR Million



OTHER HIGHLIGHTS



214,967

Number of Customers



28

Number of Branches



31

Number of Own ATMs



7

Number of Industry Awards
won in 2016



718

Number of Staff



21

Number of Gold Financing
Units



**BB(lka) Stable
Outlook**

External Rating



70

**Number of Correspondent
Banks**



82nd

**Sri Lanka Brand Ranking
2016**

CHAIRMAN'S MESSAGE



"I AM CONFIDENT AMĀNA BANK WILL GAIN MARKET SHARE AND ALSO MIND SHARE IN THE ENSUING FINANCIAL YEARS AS WE CONTINUE OUR INCLUSIVE EXPANSION STRATEGY REACHING OUT TO ALL SRI LANKANS, IN LINE WITH THE BANK'S BOARD APPROVED 5 YEAR STRATEGIC PLAN."

In the Name of Allah the Most Gracious the Most Merciful!

I am pleased to report a year of steady progress for Amāna Bank and to present the annual report and audited financial statements for the year 2016, to our shareholders.

I take this opportunity to extend my sincere gratitude to Mr. Ruzly Hussain, who retired from the Board of Directors during the year, for his commitment and contribution towards the progress of the Bank during his tenure of service. I extend a warm welcome to Mr. Dilshan Hettiaratchi who will be replacing him on the Board of Amāna Bank as a Non-Executive, Independent Director.

Economic Landscape

The world economy gained momentum in the second half of 2016 and recorded a growth rate of 3.1% with advanced economies posting steady growth during the year. Two key highlights of 2016 that had a significant impact on the global economy were the Brexit vote where the United Kingdom voted in favour of leaving the European Union and the result of the presidential election in the United States, both of which created increased political and economic uncertainty among most nations across the world.

The Sri Lankan economy grew by 4.4% in 2016, compared to 4.8% in 2015 mainly due to the adverse weather conditions that affected many sectors of the economy especially

the agricultural sector. Inflation on an annual average basis rose to 4.0% in December 2016 whilst the rupee depreciated by 3.8% against the US Dollar mainly due to foreign currency outflows. The Central Bank of Sri Lanka increased the statutory reserve ratio by 150 basis points and policy rates on two occasions in 2016 by 50 basis points each in a bid to stem the flow of private sector credit growth and to curtail market liquidity. Market rates reacted to these monetary policy measures and increased gradually during the year.

Performance in Context

In this backdrop and amidst a competitive environment, Amāna Bank performed well in the financial year 2016. Strategic initiatives highlighted in CEO's review ensured that the core business of deposits and advances recorded healthy growth rates compared to the banking industry. This resulted in an excellent growth in net financing income, which coupled with the surge in non-funds based income enabled the total operating income of the Bank to improve compared to 2015.

The Bank however had to account for significant impairment losses on its equity portfolio which resulted in the Bank's profitability being lower than the preceding year.

We have made headway in developing our social capital in terms of growing awareness of alternative finance, building brand presence and recognition whilst earning the trust among all stakeholders.

Governance and Compliance

The Bank is fully compliant with all the requirements of the regulatory Direction and Guidelines on Corporate

Governance as well as Sharia principles which are detailed further in the relevant sections of this annual report.

During 2017, Amāna Bank, with the approval of shareholders will enhance its core capital to comply with Central Bank of Sri Lanka's directives on minimum capital requirement, which will provide a solid platform to leverage on our envisioned potential.

As directed by the Colombo Stock Exchange, the Board of Directors established a Related Party Transactions Review Committee in December 2015. This is in addition to the existing Audit, Human Resources and Remuneration, Integrated Risk Management and Nomination sub committees. The reports of all five Board sub committees can be viewed under the different sections of this annual report.

As Sri Lanka's banking sector gears up for full implementation of the Basel III standards, the Board of Amāna Bank invited a specialist consultant who provided comprehensive insights into the Basel III requirements and benefits.

Inclusive Vision

The Bank envisages to expand its franchise by leveraging on digital platforms creating an enabling environment for a higher level of financial inclusion with the objective of uplifting the nation's living standards and achieving economic prosperity.

Currently, international investment funds seeking returns through a profit sharing model are aplenty and there is immense potential for the country to attract such investments not only due

to the country's geopolitical positioning but also due to the relatively conducive legal and regulatory framework. Sri Lanka as a whole can benefit from this opportunity and forge ahead in its quest to become an upper middle-income economy in the future.

I am confident Amāna Bank will gain market share and also mind share in the ensuing financial years as we continue our inclusive expansion strategy reaching out to all Sri Lankans, in line with the Bank's Board approved 5 year Strategic Plan.

Appreciation

I conclude, by thanking the Board of Directors, the Sharia Supervisory Council, our shareholders, management and employees and our customers for supporting Amāna Bank during the year. On behalf of the Board and team of Amāna Bank, I wish you a successful 2017.



Osman Kassim
Chairman

28 April 2017
Colombo

සභාපතිතුමන්ගේ පණිවුඩය

“බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය අනුමත කරන ලද පස් අවුරුදු උපායමාර්ගික සැලැස්මට සමගාමීව සියලුම ශ්‍රී ලාංකිකයින් වෙත ළඟාවීමේ අපගේ පුළුල් උපායමාර්ගය තවදුරටත් ක්‍රියාත්මක කිරීම තුළ ඉදිරි වර්ෂ වලදී අමානා බැංකුව තම වෙළෙඳපොළ කොටස වර්ධනය කරගත හැකි අතර සියලු දෙනාගේ සිත්ද දිනාගැනීමට හැකිවනු ඇත”

මහා කාරුණික වූ ද පරම දයාබර වූ ද අල්ලාන්ගේ නාමයෙන්

අමානා බැංකුව සඳහා ස්ථාවර ප්‍රගතියකින් යුතුව වසරක් පිළිබඳව ප්‍රකාශ කිරීම සහ විගණනය කරන ලද මූල්‍ය ප්‍රකාශන හා වාර්ෂික වාර්තාව අපගේ කොටස් හිමියන්ට ඉදිරිපත් කිරීම පිළිබඳ වඩාත් සතුටට පත්වෙමි.

මෙම වර්ෂය තුළදී අධ්‍යක්ෂ මණ්ඩලයෙන් විශ්‍රාම ලබාගත් රුස්ලි හුසෙයින් මහතාට සිය සේවා කාලය තුළ බැංකුවේ ප්‍රගතිය වෙනුවෙන් සිදුකළ දායකත්වය සහ කැපවීම වෙනුවෙන් මාගේ විශේෂ ප්‍රණාමය පුද කිරීමට මා මෙය අවස්ථාවක් කරගනු ලබන අතර ඒ සමඟම බැංකුවේ අධ්‍යක්ෂ මණ්ඩලයට විධායක නොවන ස්වාධීන අධ්‍යක්ෂවරයෙකු ලෙස පත්වන ඩිල්ෂාන් හෙට්ටිආරච්චි මහතාව සාදරයෙන් පිළිගනු ලබමි.

ආර්ථික පසුබිම

2016 වර්ෂයේ දෙවන අර්ධයේදී ලෝක ආර්ථිකය පරිවර්තනයක් ලඟාකරගෙන ඇති අතර එම වර්ෂයේදීම උසස් ආර්ථික වල ස්ථාවර වර්ධනයක් සමඟ 3.1% වර්ධන වේගයක් වාර්තා කරන ලදී. 2016 වසරේ වාර්තා වූ විශේෂිත සිදුවීම් ද්විත්වයක් වූ එක්සත් රාජධානිය යුරෝපා සංගමයෙන් ඉවත් වීමට

පක්ෂව මහාපය ලබාදුන් Brexit ඡන්දය සහ ඇමෙරිකා එක්සත් ජනපදයේ ජනාධිපතිවරණ ප්‍රතිඵලය ලෝක ආර්ථිකය කෙරෙහි සැලකිය යුතු බලපෑමක් සිදුකළ අතර, ඒ හරහා ලොව පුරා ජාතීන් අතර දේශපාලන හා ආර්ථික අවිනිශ්චිතතාවයක් ද නිර්මාණය විය.

2016 වසරේ ශ්‍රී ලංකා ආර්ථිකය 4.4% කින් වර්ධනය වූ අතර, එය 2015 වසරේ ආර්ථික වර්ධනය වූ 4.8% හා සැසඳීමේදී විශේෂයෙන්ම කෘෂිකර්මාන්තය ඇතුළුව ආර්ථිකයේ බොහෝ අංශ වලට බලපෑම් කළ අහිතකර කාලගුණික තත්ත්වය ප්‍රධානතම හේතුව ලෙස දැක්විය හැකිය. ප්‍රධාන වශයෙන් විදේශ විනිමය ගලායෑම හේතුවෙන් ඇමෙරිකානු ඩොලරයට සාපේක්ෂව රුපියල 3.83% කින් අවප්‍රමාණය වන අතරතුර 2016 දෙසැම්බර් මාසයේදී සාමාන්‍ය පදනම මත උද්ධමනය 4.0% ක් දක්වා වර්ධනය විය. වෙළෙඳපොළ ද්‍රවශීලතාවය අඩුකිරීමට හා පෞද්ගලික අංශයේ ණය වර්ධන ප්‍රවාහය පාලනය කිරීම සඳහා ශ්‍රී ලංකා මහ බැංකුව ව්‍යවස්ථාපිත සංචිත අනුපාතය පදනම් අංක 150 කින්ද ප්‍රතිපත්ති අනුපාත 2016 වර්ෂයේදී අවස්ථා දෙකකදී පදනම් අංක 50 බැගින්ද ඉහළ දමන ලදී. මෙම ප්‍රතිපත්ති ක්‍රියාමාර්ග කෙරෙහි ප්‍රතිචාර දක්වමින් වෙළෙඳපොළ අනුපාත වර්ෂය තුළදී ක්‍රමයෙන් වර්ධනය විය.

කාර්යසාධනය

මෙම පසුබිම හා තරගකාරී පරිසරය තුළ 2016 වර්ෂයේදී අමානා බැංකුව සාර්ථක ප්‍රතිඵල අත්කරගෙන ඇත.

ප්‍රධාන විධායක නිලධාරියාගේ සමාලෝචනයේ පෙන්වා ඇති උපායමාර්ගික ක්‍රමෝපායන් මඟින් ප්‍රධාන ව්‍යාපාරයෙහි තැන්පතු සහ අත්තිකාරම් බැංකු ක්ෂේත්‍රයට සාපේක්ෂව ශක්තිමත් වර්ධන අනුපාතයක් වාර්තා කිරීම සහතික කොට ඇත. මෙහි ප්‍රතිඵලයක් ලෙස 2015 වර්ෂයට සාපේක්ෂව බැංකුවේ මුළු මෙහෙයුම් ආදායම් වල ඉහළ යාමට අවස්ථාව උදාකල අරමුදල් නොවන ආදායම් වල හා ශුද්ධ මූල්‍ය ආදායමේ විශිෂ්ඨ ඉහළ යාමක් සිදුවිය.

කෙසේ වෙතත් පසුගිය වර්ෂයට සාපේක්ෂව බැංකුවේ අඩු ලාභදායීත්වයට හේතු වූ එහි

හිමිකම් කොටස් කළඹ මත වූ හානිකරණ අලාභ වාර්තාකිරීමට බැංකුවට සිදුවිය.

සියලුම පාර්ශවකරුවන් අතර විශ්වාසය උපයාගන්නා අතරතුර විකල්ප මූල්‍යයන් පිළිබඳ දැනුවත්භාවය ඉහළ නැංවීම, සන්නාම පැවැත්ම ගොඩනැගීම සහ පිළිගැනීම වැනි අංශයන්ගෙන් අපගේ සමාජ ප්‍රාග්ධනය සංවර්ධනය කරමින් ප්‍රගතියක් ලඟාකරගෙන ඇත.

පාලනය හා අනුකූලතාවය

වාර්ෂික වාර්තාවේ අදාළ කොටස් තුළ වැඩිදුර පැහැදිලි කර ඇති සාංගමික යහපාලනය මෙන්ම ෂරියා මූලධර්ම මත වූ සියළුම නියාමන අවශ්‍යතාවලට හා මාර්ගෝපදේශකත්වයන්ට බැංකුව අනුකූල වී ඇත.

2017 වර්ෂය තුළදී ශ්‍රී ලංකා මහ බැංකුවේ අවම ප්‍රාග්ධන අවශ්‍යතාවය මත වූ නියමයට අනුකූලව අපගේ අනාගත දැක්ම බලගැන්වීමට සුදුසු පසුබිම සපයන අමානා බැංකුවේ හර ප්‍රාග්ධනය කොටස් හිමියන්ගේ අනුමැතිය සහිතව උසස් කරනු ඇත.

කොළඹ කොටස් හුවමාරුව නියම කළ පරිදි අධ්‍යක්ෂ මණ්ඩලය විසින් බැංකුවේ දැනට පවතින විගණන, පාරිතෝෂික, ඒකාබද්ධ අවදානම් කළමණාකරන හා අධ්‍යක්ෂ මණ්ඩල නම්කිරීම් යන උප කමිටු වලට අමතරව සම්බන්ධිත පාර්ශව ගණුදෙනු සමාලෝචන කමිටුවක් 2015 දෙසැම්බර් මාසයේදී ස්ථාපිත කරන ලදී. සියළුම අධ්‍යක්ෂ මණ්ඩල උප කමිටු 5 හි වාර්තා වාර්ෂික වාර්තාව තුළ අදාළ කොටසෙහි අන්තර්ගත කොට ඇත.

ශ්‍රී ලංකාවේ බැංකු ක්ෂේත්‍රය BASEL III ප්‍රමිත සම්පූර්ණව ස්ථාපිත කිරීමට කටයුතු කළ යුතු බැවින් BASEL III හි අවශ්‍යතා හා ප්‍රතිලාභ පිළිබඳ සවිස්තරාත්මක විශ්ලේෂණයක් ලබාදුන් විශේෂඥ උපදේශකවරයෙකුට අමානා බැංකුව විසින් ආරාධනා කොට ඇත.

දැක්ම

ජාතියේ ජීවන ප්‍රමිතීන් උසස් කිරීමේ හා ආර්ථික සමෘද්ධිමත් භාවය ලඟාකර ගැනීමේ අරමුණ සහිතව උසස් මට්ටමේ මූල්‍ය අන්තර්ගතයක්

වෙනුවෙන් වූ සුදුසු පරිසරයක් නිර්මාණය කිරීම සඳහා ඩිජිටල් පසුබිමකට ප්‍රවිශ්ඨ වීමෙන් බැංකුව එහි සේවාවන් ප්‍රසාරණය කිරීමට බලාපොරොත්තු වේ.

වර්තමානයේදී ලාභ හුවමාරු අකෘතියක් හරහා ප්‍රතිලාභ සොයන අන්තර්ජාතික ආයෝජන අරමුදල් බොහෝමයක් ඇති අතර රටෙහි භූදේශපාලනික තත්ත්වය මෙන්ම සාපේක්ෂව ශක්තිමත් නෛතික හා නියාමන රාමුව හේතුවෙන් එවැනි අරමුදල් රටට ආකර්ෂණය කිරීමේ විශාල ඉඩකඩක් ඇත. ඉහල මධ්‍යම ආදායම් රටක ආර්ථිකය අනාගතයේ ළඟාකර ගැනීමේ ගමන් මග සඳහා සමස්ථයක් වශයෙන් ශ්‍රී ලංකාවටම මේ අවස්ථාවෙන් ප්‍රයෝජන ලබාගත හැකිය.

බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය අනුමත කරන ලද පස් අවුරුදු උපායමාර්ගික සැලැස්මට සමගාමීව සියලුම ශ්‍රී ලාංකිකයින් වෙත ළඟාවීමේ අපගේ පුළුල් උපායමාර්ගය තවදුරටත් ක්‍රියාත්මක කිරීම තුළ ඉදිරි වර්ෂ වලදී අමානා බැංකුව තම වෙළෙඳපොළ කොටස වර්ධනය කරගත හැකි අතර සියලු දෙනාගේ සිත්ද දිනාගැනීමට හැකිවනු ඇත.

ස්තූතිය

අධ්‍යක්ෂ මණ්ඩලයට, ඡේයා සුපරීක්ෂණ කමිටුවට, අපගේ කොටස් හිමියන්ට, කළමණාකරණයට සහ සේවකයින්ටත් අපගේ පාරිභෝගිකයින්ටත් වර්ෂය තුළදී අමානා බැංකුවට ලබාදුන් සහයෝගය වෙනුවෙන් ස්තූතිය පලකරමින් මාගේ සමාලෝචනය අවසන් කරනු ලබමි. අමානා බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය හා කණ්ඩායම වෙනුවෙන් 2017 වර්ෂය සාර්ථක වර්ෂයක් වේවායි ඔබට ප්‍රාර්ථනා කරමි.



ඔස්මාන් කාසිම්
සභාපති

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කොළඹදී.

தலைவரின் செய்தி

“சபையினால்

**அங்கீகரிக்கப்பட்ட வங்கியின்
ஐந்தாண்டு மூலோபாயத்
திட்டத்திற்கு இசைந்த
வகையில் இலங்கை மக்கள்
அனைவரும் நன்மையடையக்
கூடிய வகையிலான எமது
விஸ்தரிப்பு வழிமுறையை
எதிர்வரும் நிதியாண்டுகளில்
நாம் தொடர்ந்து மேற்கொள்ள
உத்தேசித்துள்ளோம்.”**

அளவற்ற அருளாளனும், நிகரற்ற
அன்புடையோனுமாகிய அல்லாஹ்வின்
திருநாமத்தால் ஆரம்பிக்கின்றேன்.

அமானா வங்கியின் ஒரு வருட கால துரித
வளர்ச்சி பற்றி அறிவிப்பதிலும், 2016
ஆம் ஆண்டுக்கான ஆண்டறிக்கை மற்றும்
கணக்காய்வு செய்யப்பட்ட நிதி அறிக்கைகள்
என்பனவற்றை எமது பங்குதாரர்களுக்குச்
சமர்ப்பிப்பதிலும் நான் மகிழ்ச்சியடைகின்றேன்.

இவ்வாண்டில், பணிப்பாளர் சபையிலிருந்து
ஒய்வு பெற்ற திரு. ருஸ்லி ஹுஸைனுக்கு
அவரது பதவிக் காலத்தின் போது வங்கியின்
முன்னேற்றத்திற்கான அவரது அர்ப்பணிப்பிற்கும்,
பங்களிப்பிற்கும் எனது மனப்பூர்வமான
நன்றிகளை இந்தத் தருணத்தில் தெரிவித்துக்
கொள்கின்றேன். அவருக்குப் பதிலாக
பதவியேற்றுள்ள திரு. டில்ஷான் ஹெட்டியாராச்சி
அவர்களை அன்புடன் வரவேற்கின்றோம். இவர்,
அமானா வங்கியின் சபையில் நிறைவேற்று
அதிகாரமற்ற சுயாதீனமான பணிப்பாளராகக்
கடமையாற்றுவார்.

பொருளாதாரப் பின்னணி

உலக நாடுகளின் பொருளாதாரம் 2016 ஆம்
ஆண்டின் பிற்பகுதியில் துரித வளர்ச்சியைப்
பெற்று 3.1% வளர்ச்சி வீதத்தைப் பதிவு
செய்தது. 2016 ஆம் ஆண்டில் உலக
நாடுகளின் பொருளாதாரத்தில் முக்கிய

தாக்கத்தை ஏற்படுத்திய இரண்டு முக்கிய
விடயங்களாவன - ஐரோப்பிய யூனியனில்
இருந்து விலகுவது என்று பிரிட்டன்
மேற்கொண்ட “பிரெஸிட்” வாக்களிப்பும்,
அமெரிக்க ஜனாதிபதி தேர்தலின் பெறுபேறுமே
ஆகும். இவை இரண்டும், உலக நாடுகள்
பலவற்றில் அரசியல் மற்றும் பொருளாதார
நிச்சயமற்ற நிலைமையை அதிகரித்தன.

இலங்கையின் பொருளாதாரம், 2015 ஆம்
ஆண்டின் 4.8% உடன் ஒப்பிடுகையில், 2016
ஆம் ஆண்டில் 4.4% ஆக அமைந்திருந்தது.
முக்கியமாக, விவசாயத் துறையையும்,
பொதுவாக பொருளாதாரத்தின் ஏனைய
துறைகளையும் பாதித்த மோசமான
காலநிலையே இதற்கான காரணமாகும்.
வருடாந்த சராசரி அடிப்படையில் பணவீக்கம்
2016 டிசம்பர் மாதத்தில் 4% ஆக
அதிகரித்த அதேசமயத்தில், இலங்கை ரூபா
அமெரிக்காவின் டொலருடன் ஒப்பிடுகையில்,
3.83% ஆக பெறுமதி குறைப்பைக்
காண்பித்தது. பெருமளவு வெளிநாட்டு
நாணயமாற்று நாட்டிற்கு வெளியே சென்றதே
இதற்கான காரணமாகும். இலங்கை மத்திய
வங்கி சட்டரீதியான ஒதுக்கீட்டு வீதத்தை
150 புள்ளிகளால் அதிகரித்ததோடு,
இரண்டு தடவைகளில் கொள்கை வீதத்தை
ஒவ்வொன்றும் 50 புள்ளிகளால் அதிகரித்தது.
தனியார் துறையினருக்கான கடன் வசதியை
மட்டுப்படுத்துவதும், சந்தையில் பணப்
புழக்கத்தைக் கட்டுப்படுத்துவதுமே இதற்கான
காரணிகளாகும். இத்தகைய நாணயக்
கொள்கை நடவடிக்கைகள், சந்தை வீதத்தில்,
ஆய்வுக்குட்பட்ட வருடத்தில் படிப்படியாக
அதிகரிப்பைக் காண்பிக்கக் காரணமாக
அமைந்தது.

இத்தகைய சூழ்நிலையில் வங்கியின் நடவடிக்கைகள்

இத்தகைய பின்னணியிலும், போட்டி
அடிப்படையிலான குழுவுக்கு மத்தியிலும்,
2016 ஆம் ஆண்டில் அமானா வங்கி
சிறந்த முறையில் நடவடிக்கைகளை
மேற்கொண்டிருந்தது. பிரதம நிறைவேற்று
அதிகாரியின் மீளாய்வில் முக்கியமாகக்
குறித்துரைக்கப்பட்ட மூலோபாய

நடவடிக்கைகள், வங்கித் தொழிற்சாலை
ஒப்பிடுகையில், வைப்புக்கள் மற்றும் நிதி
வழங்கல் சம்பந்தமான நடவடிக்கைகள்
துரித வளர்ச்சியைக் காண்பித்துள்ளன.
இதன் பலனாக, தேரிய நிதிசார் வருமானம்
ஆகக்கூடிய அதிகரிப்பைக் காண்பித்தது.
இத்தோடு, நிதி சாரா வருமானத்தின்
அதிகரிப்பும், 2015 ஆம் ஆண்டுடன்
ஒப்பிடுகையில், வங்கியின் மொத்த செயற்படு
வருமானம் அதிகரிக்கப்படுவதற்கு வழிவகுத்தன.

உரிமை முதல் துறையில் குறிப்பிடத்தக்க
வலுக்குள்ளல் நடட்டம் வங்கியியின்
இலாபமீட்டும் தன்மை முன்னைய வருடத்திலும்
பார்க்கக் குறைந்தமைக்கு பிரதான காரணமாக
அமைந்தது.

மாற்று நிதியியல் பற்றிய அதிகரித்த
விழிப்புணர்ச்சியும், வணிகக் குறியின்
அடையாள அங்கீகாரமும் சகல
பங்குதாரர்களினது நம்பிக்கையும் எமது
சமூக மூலதனத்தை அபிவிருத்தி செய்வதற்கு
வழிவகுத்தன.

ஆளுமையும் இணக்கப்பாடும்

ஒழுங்கமைப்புப் பணிப்புரைகள், நிறுவன
ஆளுமையின் வழிகாட்டல்கள் என்பனவற்றின்
சகல அம்சங்களுடனும், ஷரீஆ
கொள்கைகளுடனும் வங்கி முழுமையாக
இணக்கம் காண்பித்து வந்துள்ளது. இந்த
ஆண்டறிக்கையில் சம்பந்தப்பட்ட பகுதிகளில்
இவை சம்பந்தமான மேலதிக விபரங்கள்
தரப்பட்டுள்ளன.

2017 ஆம் ஆண்டில் பங்குதாரர்களின்
அனுமதியுடன், ஆகக் குறைந்த மூலதனத்
தேவை பற்றிய இலங்கை மத்திய வங்கியின்
பணிப்புரைகளுக்கு இணங்கும் வகையில்,
எமது எதிர்பார்க்கப்படும் இலக்குகளை
அடைவதற்கான பலமான அடித்தளத்திற்கான
பிரதான மூலதனம் அதிகரிக்கப்பட இருக்கிறது.

கொழும்பு பங்குப் பரிவர்த்தனை
நிலையத்தின் பணிப்புரைக்கு அமைய
“சம்பந்தப்பட்டோர் நடவடிக்கைகளின்
மீளாய்வுக் குழுவொன்றை” பணிப்பாளர்

சபையினர் 2015 டிசம்பர் மாதத்தில் ஆரம்பித்தனர். தற்போதுள்ள கணக்காய்வு, ஒருங்கிணைந்த இடர் முகாமைத்துவம், வேதனம், சபையினால் நியமிக்கப்பட்ட உப குழுக்கள் என்பனவற்றுக்கு மேலதிகமாக இது செயற்படுகின்றது. ஐந்து சபை உப குழுக்களின் அறிக்கைகளையும், இந்த ஆண்டறிக்கையில், அவற்றுக்கான பகுதிகளில் பார்வையிட முடியும்.

பாசல் III தரங்களை முழு அளவில் செயற்படுத்த, இலங்கையின் வங்கித்துறை நடவடிக்கை மேற்கொள்கையில், இந்த விடயம் தொடர்பாக அதன் தேவைகள் மற்றும் நன்மைகள் பற்றி விரிவாக அறிந்து கொள்ளவேன, அமானா வங்கியின் சபை விசேட ஆலோசகர் ஒருவரை அழைத்திருந்தது.

உள்ளடக்கிய தொலைநோக்கு

வங்கி, தனது வலையமைப்பை டிஜிட்டல் வழிமுறையில் விஸ்தரிப்பதன் மூலம், நிதி உட்படுத்துகையை இயலச் செய்யும் சூழலை உருவாக்கி, நாட்டின் வாழ்க்கைத் தரத்தை மேம்படுத்தி, பொருளாதார செழிப்பை உருவாக்க உத்தேசித்துள்ளது.

இலாபத்தைப் பகிர்ந்து கொள்ளும் அடிப்படையில், பல சர்வதேச முதலீடுகளைக் கவர்வதற்கு, நாட்டில் ஆற்றல் உள்ளது. நாட்டின் புவியியல், அரசியல் நிலைமை மாத்திரமல்லாமல், ஆக்கபூர்வமான சட்ட மற்றும் ஒழுங்கமைப்புக்களும் உள்ளமை இதற்கான காரணிகளாகும். இத்தகைய சந்தர்ப்பத்தின் மூலம் இலங்கை நன்மையடைய இருக்கும் அதேசமயத்தில், எதிர்காலத்தில் மேல்மட்ட, நடுத்தர வருமான பொருளாதாரத்தைக் கொண்ட நாடாக மாற்றும் அதன் இலக்கை நோக்கி முன்னேறிச் செல்ல முடியும்.

எதிர்வரும் நிதியாண்டுகளில் அமானா வங்கி சந்தைப் பங்கு உட்பட சகல துறைகளிலும் நன்மையடையும் என்பதில் நான் மிகுந்த நம்பிக்கை கொண்டிருக்கின்றேன். சபையினால் அங்கீகரிக்கப்பட்ட வங்கியின் ஐந்தாண்டு முலோபாயத் திட்டத்திற்கு இசைந்த

வகையில் இலங்கை மக்கள் அனைவரும் நன்மையடையக் கூடிய வகையிலான எமது விஸ்தரிப்பு வழிமுறையை எதிர்வரும் நிதியாண்டுகளில் நாம் தொடர்ந்து மேற்கொள்ள உத்தேசித்துள்ளோம்.

நன்றி தெரிவிப்பு

நிறைவாக, ஆய்வுக்குட்பட்ட வருடத்தில் அமானா வங்கிக்கு ஆதரவளித்த, பணிப்பாளர் சபையினர், ஷரீஆ மேற்பார்வைக் குழுவினர், எமது பங்குதாரர்கள், முகாமைத்துவத்தினர் மற்றும் சேவையாளர்கள், எமது வாடிக்கையாளர்கள் ஆகியோருக்கு எனது மனமார்ந்த நன்றியைத் தெரிவித்துக் கொள்கின்றேன்.

ஒஸ்மான் காசிம்

தலைவர்

2017 ஏப்ரல் 28

கொழும்பு.

CHIEF EXECUTIVE OFFICER'S REVIEW



"THE BANK'S TOTAL ASSETS INCREASED BY 13.8% COMPARED TO THE INDUSTRY AVERAGE OF 12.0%, MAINLY DRIVEN BY THE GROWING ADVANCES PORTFOLIO. DEPOSITS REMAINED THE MAIN SOURCE OF FUNDING OF THE BANK AND RECORDED A GROWTH OF 22.0% COMPARED TO THE INDUSTRY AVERAGE OF 16.5%."

Amāna Bank has concluded yet another year of growth and progress in 2016. The Bank is now well positioned to optimise and leverage on the upcoming capital infusion, which will put in motion its next phase of accelerated growth plans.

External Developments

After a passive phase in the Sri Lankan economy during 2015, the year 2016 saw Sri Lanka's financial sector benefiting from the gradual recovery of economic activities, particularly of the construction sector. Overall, there was a steady increase in demand for credit, which translated into growth in revenues and investment opportunities for financial service providers.

On the other hand, the financial sector, however, saw a significant uptrend in costs due to the combined impact of market rate hikes and taxes. Market rates trended upwards during 2016 resulting in an increase in the cost of funds as the banking sector also absorbed a revision in the statutory reserve ratio from 6% to 7.5%. Cumulative taxes on financial services increased from 42% in 2015 to 46% by end 2016 with the value added tax on financial services increasing from 11% to 15%.

The stock market meanwhile did not rise to expectations, and remained to be passive, leaving the investors with extended ambiguity with regard

to their investment expectations and future decision making.

Financial Performance

Amāna Bank has done well in line with the industry benchmarks for the financial year 2016. The Bank's total assets increased by 13.8% compared to the industry average of 12.0%, mainly driven by the growing advances portfolio. Deposits remained the main source of funding of the Bank and recorded a growth of 22.0% compared to the industry average of 16.5%. Total advances increased by 16.3%, expanding the portfolio to LKR 38.5 billion, compared to the industry average growth in advances of 17.7%. Amāna Bank maintained a gross NPA ratio of 0.89% compared to 0.92% in 2015 and against an industry average NPA of 2.6%. This is one of the lowest default rates in the country despite significant growth in advances, particularly for the SMEs. The impressive growth in assets coupled with the stringent NPA management demonstrates the effective balance maintained towards sustainable growth.

On the other hand, the Bank's profit after tax for 2016 dropped to LKR 40 million compared to LKR 158 million recorded in 2015, despite a strong operating income growth of over LKR 360 million. Such decline was mainly due to the Bank deciding to account for impairment losses of LKR 149 million in order to recognise the impact of underperforming capital market investments which were prevalent in the portfolio. However, the Net Assets were not affected as a result, due to such losses being captured in the Bank's reserves

previously, and set off against profits during the last quarter of 2016.

In 2015, Amāna Bank aligned itself as an SME specialist with products and services designed to support SMEs. In the year under review, the Bank's SME portfolio expanded by LKR 5.2 billion, reflecting a significant growth of 40.5%. The Bank strongly believes that such SME funding would contribute towards building more self-sufficient rural financing economies and thereby contribute towards uplifting living standards. Our Gold Safekeeping product for instance, has made it possible for certain unbanked and under-banked segments of the society, to access funds to start-up small and micro businesses.

Another product which has won the appreciation of our discerning customers is the Express Cash facility, an alternative to the conventional overdraft product. Having gone through the process of structuring this unique product, the Bank is now witnessing the potential for it as such advances grew significantly in 2016 after being launched in the latter part of 2015.

In the consumer and retail front, the Bank grew its personal financing and Gold Safekeeping portfolios by almost LKR 500 million each. The award winning Gold Safekeeping product was introduced in 10 branches during the year under review to reach out to the un-banked and under-banked segments of the rural economy.

Further, the Bank had the luxury of leveraging on its array of innovative alternate consumer product offerings,

in order to counter the impact on vehicle financing which was affected by the Loan-to-Value regulation that came into effect in December 2015. These innovative solutions upheld the growth momentum of consumer financing as it remains a significant contributor to the long term business growth of the Bank.

Growth and Expansion

Amidst the seeming challenges, it is noteworthy that Amāna Bank maintained its growth trajectory in line with its 5-year Strategic Plan. This was driven by the expansion of the branch network and customer base, resulting in the growth of deposits and advances portfolio, thereby strengthening its competitive position in the market. In 2016, the service delivery network was expanded by opening 4 new branches in the strategic locations of Kalmunai, Old Moor Street, Dematagoda and Kirulapone, a move which is expected to reap benefits and contribute exponentially in the coming years.

In addition, the Bank upgraded all its branches with IT system improvements and many upgraded internal facilities, to optimise performance. Overall, the Bank invested almost LKR 100 million on branch expansion and branch upgrading. The Bank's ATM network was further enhanced by adding four ATMs in selected locations with high demand including a Drive Through ATM in the Eastern region, extending the 24x7 banking access to our customers.

In enhancing access for women to formal financial services, the Bank added three new dedicated ladies

CHIEF EXECUTIVE OFFICER'S REVIEW

"I BELIEVE THAT EVERY SRI LANKAN CAN BENEFIT FROM THIS UNIQUE AND PEOPLE FRIENDLY BANKING MODEL. AMĀNA BANK'S INCLUSIVE APPROACH TO FACILITATE FINANCIAL SUPPORT TO SMEs AND FOCUS ON FINANCIAL INCLUSION WILL BE CRITICAL AS WE EXPAND OUR OPERATIONS."

banking units in Dematagoda, Kirulapone and Puttalam. With the addition of these three new units, the Bank now in total operates six exclusive service delivery stations for ladies to obtain Banking service at their privacy and comfort.

As Digitisation is a key component of the Bank's growth strategy, in 2016, the Bank implemented the first stage of its Core Banking System upgrade and launched the first phase of its mobile banking facility. The Bank invested in excess of LKR 100 million on its technology drive during the year. I am pleased to note that Amāna Bank customers have been most enthusiastic about embracing the digital revolution by accessing the mobile facility and are benefiting from improved service efficiencies facilitated through improvements to the core banking system. Further, I am confident that the Bank shall see an exponential growth in digital transactions over the short term as it implements phase 2 of its mobile banking facility in 2017 and facilitating more tech savvy customers to come on board. The Bank also anticipates efficiency improvements and cost savings in times to come with such digitisation initiatives.

In 2015 the Bank launched an inward remittance drive in the Middle East to facilitate secure inward flow of migrant worker funds through the Lanka Money Transfer (LMT) network. The Middle Eastern agent network was expanded in 2016 and as a result the total volumes of inward remittances increased from USD 13.6 million in 2015, to USD 24.6 million in 2016.

I strongly believe that people are our competitive advantage, who could enable the provision of superior service delivery, and are the driving force behind the Bank's growth. Continuous focus and efforts have been made towards effective employee engagement for superior service levels.

Plans for the Future

Sri Lanka's formal financial landscape, and in particular the niche market of non-interest based financing, is becoming competitive day by day. Meanwhile industry cost structures are rising and as a result, financial institutions are faced with constant narrowing of margins. Therefore, productivity and efficiency improvements are key to business sustainability. Amāna Bank's digitisation strategy has been designed to address these requirements, thereby enhancing the Bank's overall competitiveness.

I believe that every Sri Lankan can benefit from this unique and people friendly banking model. Amāna Bank's inclusive approach to facilitate financial support to SMEs and focus on financial inclusion will be critical as we expand our operations. The Bank is well geared to venture on the expected capital infusion, and will continue to extend its reach by selectively growing the branch network and more importantly by adopting technological solutions to introduce new, innovative and personalised solutions to its customers.

With the progress made in the first quarter of 2017, I am confident

the Bank will see an improved performance in the financial year 2017 as it continues business expansion and make continuous improvements to its internal systems.

I take this opportunity to thank the Chairman, the Board of Directors and the Sharia Supervisory Council for their guidance and extend my appreciation to the Amāna Bank team for their commitment and hard work throughout the year. My appreciation also extends to the regulators for their continuous guidance and support as well as to our shareholders for their

unstinted trust placed on the Bank and its true potential. As always, I am grateful to our customers for their support and loyalty towards the Bank and look forward to serving their needs even better in the coming years.



Mohamed Azmeer
Chief Executive Officer

28 April 2017
Colombo

PROFILE OF CHIEF EXECUTIVE OFFICER

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk for UAE and Oman.

Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK.

Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has achieved thus far.

BOARD OF DIRECTORS



1. Osman Kassim *Chairman*

Osman Kassim, a well versed personality in Islamic banking and finance, was instrumental in introducing the non-interest based concept of finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later on transferred to Amāna Bank PLC in 2011. He also sits on the Board of Amāna Takaful PLC, the first Islamic insurance company in Sri Lanka, as a founder Director.

With over 40 years of senior management experience, Kassim was also the founder Chairman of the well-established

Expolanka Group of Companies which is engaged in diverse business activities. He currently sits on the Board of Expolanka as a Non-Executive Director. He is also the Chairman of Asia Pacific Institute of Information Technology (APIIT) Sri Lanka, set up in collaboration with APIIT Malaysia and the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He is also a Director of Aberdeen Holdings (Pvt) Limited.

He holds an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist. Furthermore, he sits on the Boards of

various other companies both locally and overseas.

2. Tyeab Akbarally *Deputy Chairman and Non-Executive, Non-Independent Director*

Tyeab Akbarally is a senior Director of Akbar Brothers (Pvt) Limited and its subsidiary companies for the past 30 years. Akbar Brothers (Pvt) Limited is a diversified group of companies and is the leading Tea export company which have won many prestigious awards for their export performances. He has served as a member of the Executive Committee and as a committee member at the National Chamber of Commerce Sri Lanka. He



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has also been the Chairman of the Spice and Allied Products Traders' Association and Colombo Tea Traders' Association. He has considerable experience in the import and export trade and has strong business relationships with the Middle Eastern Countries. Tyeab Akbarally also holds directorship in other public quoted companies.

3. Dato' A. Tajudin B.H. Abdul Rahman
*Senior Director and Non-Executive,
 Independent Director*

Dato' A. Tajudin B.H. Abdul Rahman is the former Managing Director of Bank Islam, Malaysia. He holds an MBA and a Bachelor's Honours Degree in Economics. He counts

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over 30 years of banking experience of which 21 years have been in Islamic banking. He is currently a Member of the Sharia Advisory Council of the Securities Commission Malaysia and is a Distinguished Fellow at the Islamic Economic Development Foundation Malaysia. He is also an Academic Fellow at the Islamic University Malaysia. The other past positions held by him include; Chairman of Syarikat Takaful Malaysia Berhad, Founder President of the Association of Islamic Banking Institutions Malaysia, Deputy Chairman of the General Council for Islamic Banks and Financial Institutions, Bahrain, and Member of the Accounting and Auditing Organisations of Islamic Financial Institutions, Bahrain. He has won

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several awards and honours in Malaysia in recognition of his contribution to banking and society and was conferred the title of Dato' in 1994 by His Majesty the Sultan of Kedah. Other accolades he has received include; Deal Maker of the Year Award by Islamic Banking and Finance Forum Bahrain and Most Outstanding Contributions to Islamic Finance Award by Kuala Lumpur International Islamic Finance Forum.

4. Dr. A. A. M. Haroon
Non-Executive, Non-Independent Director

Dr. A.A.M. Haroon is a graduate of King Edward Medical College, Lahore, Pakistan. Dr. Haroon is also the Chairman of Lucky Group of Companies which is engaged in

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BOARD OF DIRECTORS

the manufacturing and export of ready-made garments and textiles, real estate development and health care. He was the former President of the Sri Lanka - Pakistan Friendship Association and the Memon Association of Sri Lanka. Dr. Haroon practices as a family physician in Colombo. He is also a Panel Doctor for foreign airlines, foreign missions and Hotel Taj Samudra, and is a Council Member of the Independent Medical Practitioners' Association.

5. Mohamed Jazri Magdon Ismail

Non-Executive, Independent Director

Mohamed Jazri Magdon Ismail is a Financial Consultant and the current Vice President of AAT Sri Lanka. He has served on the Directorate of Alhambra Hotels Limited, the Owners and Operators of Holiday Inn Colombo. He is a Fellow of The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and is a Member of the Institute of Certified Management Accountants, Australia. He is a Nominee of the CA Sri Lanka on the Governing Council of the Association of Accounting Technicians of Sri Lanka, of which he is also a Fellow Member.

6. Haseeb Ullah Siddiqui

Non-Executive, Non-Independent Director

Haseeb Ullah Siddiqui is currently serving as Lead Specialist, Financial Sector Development and Inclusion, at the Islamic Development Bank (IDB).

He brings over 20 years of broad experience in banking, project finance, strategy consulting and development, with leading organisations like American Express Bank, Riyad Bank, Ernst & Young and the IDB. At IDB, he currently focuses on regulatory reforms and

capacity building to improve financial sector enabling environment and strengthening microfinance supply side and governance frameworks to promote financial inclusion. He is also responsible for IDB's collaboration with World Bank and the IMF for development of financial sector. He also serves on the Technical Committee of the Islamic Financial Services Board (IFSB) and on the Board of International Islamic Financial Market (IIFM). He has represented IDB as a Board Member in Jaiz Bank (Nigeria).

Prior to joining IDB, Haseeb was part of an award-winning advisory team at E&Y Bahrain, focusing on public sector development, infrastructure and social housing. In the private sector, he advised banks, investment funds, private equity and mortgage companies, assisting several Boards and C-suite management in strategy, capital raising and establishing organisations. To manage a strategic relationship, he was asked to lead the Waqf Fund at Central Bank of Bahrain, charged with developing the Islamic financial sector in Bahrain.

Prior to consulting, he spent nine years in corporate banking and project finance, arranging syndicated financing for oil and gas, petrochemical, water, power and agriculture sectors. He holds an MBA (Finance) from University of Missouri, and a BBA (Marketing & Economics) from Kansas State University.

7. Wahid Ali Mohd. Khalil

Non-Executive, Non-Independent Director

Wahid Ali Mohd Khalil was the Chief Operating Officer, Business Support of Bank Islam Malaysia Berhad prior to his retirement in December 2014. He holds Master of Science in Economic

Crime Management and Bachelor of Economics in Business Management. He is an associate member of the Institute of Bankers Malaysia (AIBM) and Institute of Internal Auditors Malaysia (AIIA). He is also a member of Financial Planning Association of Malaysia (FPAM) and Federation of Malaysian Unit Trust Managers (FMUTM) as well as a Senior Associate of the Chartered Institute of Islamic Financial Professionals (CIIF).

He joined Bank Islam as the Chief Internal Auditor in 2007. Prior to joining Bank Islam, he spent five years at Affin Bank Berhad handling various portfolios, including as Chief Internal Auditor, Director Banking Operations, Director Banking Services, as well as Group Head, Operation Risk Management.

Before joining Affin Bank, he had spent more than 20 years in HSBC Bank holding various positions which included stints at branches and Head Office departments such as Credit Cards, Credit Control, Credit Administration and Trade Finance, and was the Deputy Head of Internal Audit prior to joining Affin Bank.

8. Harsha Amarasekera, PC

Non-Executive, Non-Independent Director

Harsha Amarasekera, President Counsel is a leading Lawyer in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts, specialising in Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Chemanex PLC (Chairman), Vallibel One PLC, Royal

Ceramics Lanka PLC, Expolanka Holdings PLC, Chevron Lubricants Lanka PLC, Taprobane Holdings PLC, Amaya Leisure PLC, and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

9. Rajiv Nandlal Dvivedi

Non-Executive, Independent Director

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Ltd, a privately owned Investments and Advisory firm based in Dubai. He has over 40 years of Commercial and Investment banking, Corporate finance, and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA. In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of China Rapid Finance (China), Harvest Network (China), Accordion Partners (USA), Candor Group of Companies (Sri Lanka), and Eagle Investments Limited (UAE). He holds an MBA in Finance, Long Island University, New York, USA.

10. Dilshan Hettiaratchi

*Non-Executive, Independent Director
(appointed w.e.f. 25 June 2016)*

Dilshan Hettiaratchi is a Partner/ Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking/Financial Markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets - MENA and Pakistan for

Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as the Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panelist at a number of industry conferences in Debt Markets over the last few years. He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA.

11. Faheemul Huq

*Non-Executive, Non-Independent Director
(appointed w.e.f. 25 February 2017)*

Faheemul Huq is a Senior Associate in Huq & Company (1997 - to date). He holds a Barrister-at-Law (England & Wales) and is an Advocate (Supreme Court of Bangladesh); He has been enrolled in the Appellate division of the Supreme Court of Bangladesh, Member, the Honourable Society of Lincoln's Inn, Member Bangladesh Supreme Court Bar Association (1998) and Member, Dhaka Bar Association Bangladesh (1997). Areas of practice are corporate, banking, labour law, contract, shipping, energy, VAT, customs, taxation, constitution and international arbitration. He has been a legal advisor of many local and

international companies. He is a senior member of the litigation and arbitration team and represented international development agencies before the Courts of Bangladesh and completed projects for World Bank, IFC and other development agencies.

12. Mrs. Samitha Dayani de Silva

Company Secretary

Mrs. Dayani de Silva was appointed as the Company Secretary of Amāna Bank PLC with effect from 19 March 2016.

Dayani is a Fellow Member of the Institute of Chartered Secretaries and Administrators, UK and also a Fellow Member of the Institute of Chartered Corporate Secretaries of Sri Lanka. She had also served as Deputy President of the Institute during the term 2011-2012.

In 1989, she started her professional career at Alliance Management Services (Private) Limited (which is the Secretarial arm of Alliance Finance Company PLC) and served there as the Company Secretary for a period of two years. She then joined the AMW Group of Companies in 1991 and took on the responsibility of Company Secretary from 2008 after the takeover of the Group by a multinational group of companies based in Dubai. She was the Company Secretary for both AMW Capital Leasing & Finance PLC and Orient Insurance Company, from its inception. Dayani also served as Secretary to the AMW Supervisory Board from its inception. Other than her wide experience in the Company Secretarial field, she has had exposure to People Management and CSR Projects.

INDEPENDENT SHARIA SUPERVISORY COUNCIL

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani

Chairman, Sharia Supervisory Council

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an LL.B and Ph.D. in Islamic finance. He is a member of the administration board of Jamia Darul-Uloom, Karachi.

Presently Dr. Usmani is the Resident Sharia Board Member at Meezan Bank and is responsible for Research and Product Development of Islamic banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance.

Dr. Usmani has served as an advisor / member of Sharia Boards of several renowned institutions since 1997 including the State Bank of Pakistan, HSBC - Amanah Finance, UBS - Switzerland, Guidance Financial Group USA, Lloyds TSB Bank - UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, RBS Global, Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, DCD Group Dubai, International Centre for Education in Islamic Finance (INCEIF) and other mutual and property funds, Takaful companies and international Sukuk, etc.

He is also an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International

Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Member Executive Committee at Centre for Islamic Economics (CIE), Karachi.

Dr. Usmani is the author of numerous publications related to Islamic finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA.

Ash-Sheikh Ustad Mohd. Nazri Bin Chik

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik, a Certified Sharia Adviser and Auditor (CSAA-AAOIFI) is the Group Chief Shariah Officer of BIMB Holdings PLC and Chief Shariah Officer of Bank Islam Malaysia. He holds a Master Degree in Sharia from University of Malaya and started his career as a tutor in the university until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai, UAE in September 2009 as its Sharia Audit Manager. During this time, he has been appointed as a member of Bank Islam's Sharia Supervisory Council until he rejoined the Bank as its Head of Sharia in January 2011. He is also an Accredited Panel of Finance Accreditation Agency (FAA); Executive Committee Member of Association of Sharia Advisors and Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia. In May 2014, he was selected as the recipient of the 'Promising Young Banker Award 2014' by the Asian Banker Magazine.

Ash-Sheikh M.M.A. Mubarak

Member, Sharia Supervisory Council

Ash-Sheikh M.M.A. Mubarak is the former President and present General Secretary of the All Ceylon Jamiyyathul Ulama. He is a highly-learned and respected scholar who holds a Bachelor of Islamic Law (Sharia) Degree from the Islamic University of Madina Al Munawwara, Saudi Arabia. He is a retired Principal of Sri Lanka's leading Arabic College Al-Ghafoorya Arabic College, Maharagama and is the Deputy Chairman of Abd Azeez Bin Baaz Ladies Arabic College, Malwana, Sri Lanka.

Sheikh Mubarak is a much respected scholar who has authored several books and other publications on Sharia and other Islamic Studies.

Ash-Sheikh Mufti M.I.M. Rizwe

Member, Sharia Supervisory Council

Ash-Sheikh Mufti M.I.M. Rizwe is the President of the All Ceylon Jamiyyathul Ulama and is a highly-respected scholar from Sri Lanka.

He is a graduate of Jami'athul Uloomil Islamiyya, Karachi where he specialised in Islamic Jurisprudence. He gained MA in Arabic & Islamic Studies from the Shahaadhathul Alimiyya Examinations conducted by the Wifaqul Madarisil Arabiyya, Multan, Pakistan, which is affiliated to the Higher Education Commission of Pakistan.

He is the President of the Board of Directors of the Kulliyathul Humaidhiya Arabic College, Orugodawatte, Colombo, the first Arabic College in Sinhala medium and Haiathul Quran, Dehiwala, an institute to grant Ijaza of Holy Quran to Alims, Huffaz & Qaaries, which is affiliated with the Muslim World League.

He is a Member of the Board and Advisor to Jami'ah Islamiyya at Wellawatte, the first Arabic College established for students in English Language and a Member of Majilis Shurah of Jami'ah Ibnu Umar Arabic College, an Institute for Islamic Higher Studies.

Mufti Rizwe is President of Madrasathu Tarbiyyathil Banaaath, Colombo, Director of Bareera Arabic College in Akurana, Kandy and Advisor of Kuliyathul Ain Ladies Arabic College, Colombo respectively, institutions involved in education for ladies.

He has also been serving as a lecturer at Kuliyathur Rashad Arabic College, Colombo for the last two decades and was a lecturer at Jami'ah Rahmaniya Arabic College, Akurana, Kandy.

He is a Member and Advisor of the Supreme Council of Madaris Ul Arabiyya (Federation of the 250 Arabic Colleges in Sri Lanka which are registered at the Muslim Religious & Cultural Affairs Department)

He is a Member of the Religious Advisory Board for His Excellency the President of Sri Lanka since May 2016 and an Executive Member of the Supreme Council of Congress of Religions - Sri Lanka.

He is also a former President of the SAARC Halaal Council.

Mufti M.I.M. Rizwe is the Chairman of the Sharia Supervisory Council of Amāna Takaful PLC. He is also a member of Sharia Boards of several Islamic Banks and Financial Institutions in Sri Lanka and Maldives.

Mufti Rizwe is the Founder of Mahmoud Institute, which was established for the sole purpose of developing the skills of Ulama to face the current challenges prevailing in the community and Founder and Director of Islamic Careline Counseling (Guarantee) Limited, Colombo, which provides individuals with the support and service to overcome underlying problems of society.

Mufti M.I.M. Rizwe conducted and attended several programs in Asian, Middle Eastern, African, European and North American countries for the purpose of Islamic awareness, Islamic education and promoting peace and coexistence. He has also participated in many conferences and presented papers on various topics both locally and internationally.

Mufti M.I.M. Rizwe has also been selected among the 500 most influential Muslims worldwide. The evaluation is done annually by the Royal Islamic Strategy Study Centre based in Amman, Jordan (www.rissc.jo) (<http://themuslim500.com/profile/m-i-m-rizvi-mufti>).

Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He studied traditional Islamic studies under the guidance of eminent Islamic Scholars from a well-known Islamic Seminary 'Jamia Darul Uloom Karachi'. He holds vast experience of teaching various Islamic Subjects at the same Institute for the last 17 years.

Mufti Hassaan is considered one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd- Pakistan, Hanover Re Takaful-Bahrain, Takaful Emirate-UAE.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards and Member of Subcommittee of Sharia Standards at AAOIFI- Bahrain, Permanent faculty member of Center for Islamic Economics Karachi, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Center for Excellence in Islamic Finance (CEIF) - IBA. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

Currently, he works as Country Head of Sharia of Dubai Islamic Bank Pakistan Ltd as well as a teacher in Jamia Darul Uloom Karachi. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has participated in many Islamic Finance conferences and seminars around the world and has delivered lectures and presentations.

MANAGEMENT COMMITTEE



Mohamed Azmeer
Chief Executive Officer



M.M.S. Quvylidh
*Vice President - Operations and
SME Banking*



M. Pharis Jazeel
*Vice President - Treasury and
Financial Institutions*



Amrit CanagaRetna
Vice President - Business Banking



Ajmal Naleer
Chief Risk Officer



Preeni Koralege
Chief Legal Officer



M. Ali Wahid
Chief Financial Officer



M. Irshad Halaldeen
Vice President - Administration



Siddeeqe Akbar
*Vice President - Retail Banking and
Marketing*



Irshad Iqbal
Chief Compliance Officer



Rajitha Dissanayake
Chief Information Officer

ASSISTANT VICE PRESIDENTS AND HEADS OF DEPARTMENTS



Nista Badurdeen

*Asst. Vice President - Central Operations
and Trade Services*



J. Tariq Mahmud

Acting Head of Sharia Supervision



Fazly Marikar

*Head of Strategic Planning and New
Product Initiatives*



Mahesha Thirimanne

Head of Legal



Chaminda de Silva

Asst. Vice President - SME Banking



Numair Cassim

Acting Chief Internal Auditor



Farhan Refai

Senior Manager - Human Resources

PROFILES OF STRATEGIC SHAREHOLDERS

Bank Islam Malaysia Berhad

Since its inception in March 1983, Bank Islam has not only become the symbol of Islamic banking in Malaysia, it has also played an integral role in setting the stage for a robust growth of the country's Islamic financial services industry. True to its pioneering and innovative heritage, Bank Islam is committed to its role as a leading vehicle in transforming Malaysia into a global Islamic financial hub. To this end, Bank Islam continuously develops and introduces trendsetting financial solutions, some of which are the first-of-its-kind in the world or at least in the region in widening the breadth of its innovative end-to-end Sharia-based financial products and services, comparable to that offered by its conventional counterparts.

Today, Bank Islam parades a wide-ranging list of more than 70 innovative and sophisticated Islamic financial products and services as well as a fast growing network of 145 branches and more than 1,000 self-service terminals nationwide. In recognition of its prominence in the industry, Bank Islam was awarded the Reader's Digest Platinum Award for being the Most Trusted Brand for Islamic Financial Services for five consecutive years from 2009 to 2013.

AB Bank Limited Bangladesh

AB Bank is known as one of Bangladesh's leading private banks since its commencement 34 years ago. It continues to remain updated with the latest products and services, considering consumer and client perspectives. AB Bank has thus been able to keep their consumers' and clients' trust while upholding their reliability, across time. AB Bank has established its presence in 101 different

Business Centres of the country, one foreign Branch in Mumbai, India and also established a wholly-owned Subsidiary Finance Company in Hong Kong in the name of AB International Finance Limited. To facilitate cross border trade and payment-related services, the Bank has correspondent relationship with over 220 international banks of repute across 58 countries of the world.

Akbar Brothers (Pvt) Limited

Export of Internationally renowned Sri Lankan Teas, being their core business, Akbar Brothers has successfully diversified into a range of sectors through strategic reinvention and expansion, and today, the Group has a firm presence in the sectors of Tea Export, Power Generation, Healthcare, Packaging, Property Development and Environmental Services. Akbar Brothers rank proudly as the largest exporter of Ceylon Tea in the country, a position held for the past 40 consecutive years, and has been the recipient of many top national and international awards over the years including the prestigious Presidential Award for Sri Lanka Exporter of the Year, for outstanding exports to over 90 countries worldwide.

Islamic Development Bank Saudi Arabia

The Islamic Development Bank is an international financial institution established in pursuance of the Declaration of Intent issued by the Conference of Finance Ministers of Muslim Countries held in Jeddah in December 1975. The functions of the Bank are to participate in equity capital and grant loans for productive projects and enterprises besides providing financial assistance to member countries in other forms for economic and social development. The Bank is

authorised to accept deposits and to mobilise financial resources through Sharia compatible modes. The present membership of the Bank consists of 57 countries. The vision of the Bank is 'To be the leader in fostering socio-economic development in member countries and Muslim communities in non-member countries in conformity with Sharia'. The IDB Group is committed to alleviating poverty; promoting human development; science and technology; Islamic economics; banking and finance; and enhancing co-operation amongst member countries, in collaboration with its development partners.

Amāna Holdings Limited

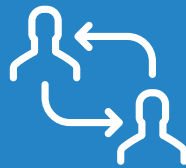
Amāna Holdings Limited (AHL) is an investment house based in Sri Lanka with interests into Insurance, Banking and Finance, Asset Management, Fund Management, Investment Banking, Advisory services and Real Estate Advisory.

The company began its operations in the year 1994 as an investment company introducing Sharia based solutions in a fully conventional market that soon ignited popularity and demand, which eventually also led to the establishment of related services.

Backed by its experience and success, AHL aims to be the foremost player in financial services and investments and the leader in Sharia compliant investments, owning assets that provide a broad range of products and services in Sri Lanka and selective markets. In doing so, we believe in investing in our people, building close relationships with our clients and creating value through participation and synergies within the market we operate in.

A close-up photograph of a hand holding a magnifying glass. The lens of the magnifying glass is focused on a blue circular area. Inside this circle, the text "ENVISIONING PEOPLE FRIENDLY BANKING FOR EVERYONE" is written in white, bold, uppercase letters. Below the text is a white icon of two stylized human figures with arrows indicating a reciprocal relationship. The background of the entire image is a solid blue color.

ENVISIONING PEOPLE FRIENDLY BANKING FOR EVERYONE

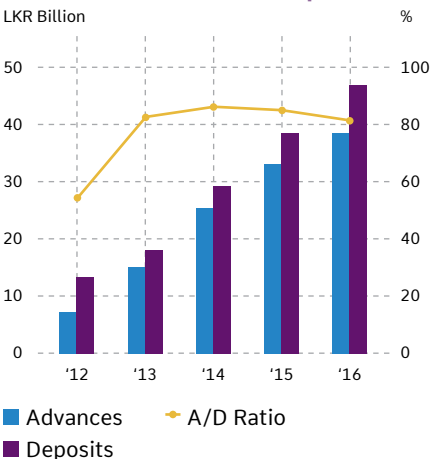


Our people friendly banking model is something that everyone can benefit from irrespective of religion, race, wealth or social status. We are open to all and are committed to reach out and touch the lives of all Sri Lankans at all levels of society.

BUSINESS AND OPERATIONS REVIEW

"CUSTOMER DEPOSITS COMFORTABLY OUTPERFORMED THE INDUSTRY GROWTH RATE OF 16.5% AFTER IT GREW BY A COMMENDABLE 22% TO CLOSE THE YEAR AT LKR 46.9 BILLION."

Growth in Advances and Deposits



Financial Performance

The financial year 2016 brought encouraging results to the Bank amidst challenging economic conditions as the regulator introduced several measures to tighten monetary policy with the objective of reducing excess market liquidity from the beginning of the year and to curtail private sector credit growth. In this backdrop, the Monetary Board of Central Bank increased the statutory reserve ratio applicable on all rupee deposits by 150 basis points to 7.5% effective from January 2016 and with inflation rising, increased policy rates on two occasions by 50 basis points each during the year under review prompting market rates to follow suit and move upwards. The rupee weakened against the US Dollar and depreciated by 3.8% mainly due to the high demand in domestic foreign exchange market along with high importer demand and net capital outflows.

The total asset base of the Bank surpassed the LKR 50 billion milestone during the year under review and reached LKR 54.3 billion posting a 13.8% increase from 2015, higher than the industry growth rate of 12%, when it recorded LKR 47.7 billion. Core banking business continued to impress with customer deposits and financing making steady headway in terms of growth. Customer financing, fuelled by the growth in SME and Retail segments, increased by 16.3% which compares well with the industry growth rate of 17.7%, to close at LKR 38.4 billion. Many initiatives, as detailed under Retail banking below, were undertaken to mobilise deposits from various channels which resulted in the growth rate surpassing the industry average. Customer deposits

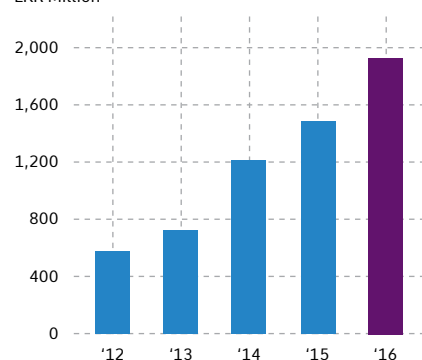
comfortably outperformed the industry growth rate of 16.5% after it grew by a commendable 22% to close the year at LKR 46.9 billion. The Bank maintained a healthy Advance to Deposit ratio throughout the financial year before closing at 82% as opposed to 86% in 2015.

The Bank after recording impressive numbers in 2015, continued to perform well in terms of core banking income. Net financing income posted a strong growth of 30.0% after it reached LKR 1.9 billion from LKR 1.4 billion a year ago which was mainly due to the Bank maintaining a higher percentage of Current Accounts and Savings Accounts (CASA) deposits than its peers in the industry coupled with the increase in customer financing portfolio. Focusing on making further inroads into non-funds based business, Amāna Bank generated LKR 246.5 million as net fees and commission income which reflects a substantial growth of 46.3% when compared with LKR 168.5 million achieved in 2015. Having a steady flow of fee and commission income remains a high priority item in the Board approved 5 year Strategic Plan of the Bank and such encouraging results augurs well for the achievement of long term Key Performance Indicators. Foreign exchange gains and net other operating income aggregated to LKR 262.4 million resulting in a total operating income of LKR 2.4 billion for the year 2016, achieving a growth of 17.7% from LKR 2.0 billion in 2015. The Non Performing Advances Ratio of the Bank was maintained at a commendable 0.89%, down from 0.92% a year earlier. Alongside the impairment on customer financing which amounted to LKR 67.9 million, the Bank had to account for impairment losses on under-performing

capital market investments which substantially increased the total impairment charge on financial assets to LKR 217.1 million. All of the above meant that the Bank ended 2016 with a net operating income of LKR 2.2 billion compared to LKR 2.0 billion a year ago.

Net Financing Income

LKR Million



Total operating expenses amounted to LKR 1.9 billion for the year under review, up from LKR 1.7 billion. Costs incurred for business expansion activities accounted for most of this increase which is expected to bring benefits to the Bank in the years ahead. After accounting for the above, the Bank made an operating profit of LKR 271.0 million for 2016 whilst VAT on Financial Services and Nation Building Tax amounted to LKR 168.2 million resulting in a profit before tax of LKR 102.8 million. The Bank closed the financial year 2016 with a profit for the year of LKR 40.6 million after deducting LKR 62.2 million as tax expenses. Other comprehensive income for the year under review amounted to LKR 1.3 million and after aggregating the profit for the year, the Bank's total comprehensive income reached LKR 41.9 million.

Retail Banking

Deposit Mobilisation

Retail banking continued to be the largest contributor towards the Bank's deposit base with 93% share in total deposits while recording a YoY growth of 22.0%. This growth was fuelled by capitalising on its branch reach, diverse product range and growing customer base. By offering a higher share of profit for selected Term Investments Accounts, the Bank sustained its focus on long term deposits, which achieved a growth of 29.2% in 2016.

To support the growth in long term deposits, the Bank introduced the Flexi Term Investment account, an innovative investment solution which provides customers the flexibility of depositing additional funds to one single account at any given time, thereby facilitating customers to grow their account balances beyond their initial investment. The solution unlike traditional Term Investments does not require the customer to wait till the maturity of their account to deposit additional funds or to go through the hassle of opening multiple Term Investments.

Having reaped success from its high net-worth proposition 'Amāna Bank Prestige' which achieved a portfolio

growth of 56% in 2016, the Bank launched two similar customer propositions to provide superior service namely 'Amāna Bank Vantage' and 'Amāna Bank Expat Gold'.

Amāna Bank Vantage which caters to salaried customers and aspiring businessmen, offers dedicated relationship management services, priority service, preferential rates on financing and avails exclusive Vantage centres at selected branches for customers to carry-out their transactions with comfort and privacy.

Amāna Bank Expat Gold as the name denotes caters to Sri Lanka's growing expatriate community which requires a caring and dedicated financial partner back home to look into their finances as if they are personally attending to it. With personalised one to one banking, special privileges and superior service, Amāna Bank Expat Gold is a platform designed exclusively for Non-Resident Sri Lankans, to cater to their unique and diverse requirements of banking from abroad.

The Bank continued to focus on its Ladies and Children's Savings segments during the year by carrying out various promotional campaigns. The Bank availed a special reward scheme for



Amāna Bank Vantage Centre at Kirulapone Branch

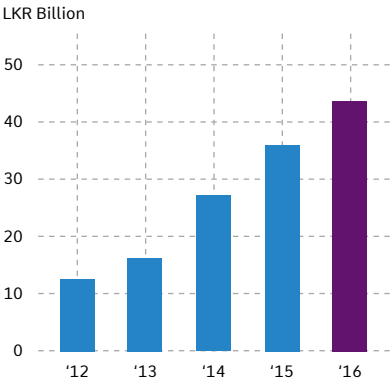


Rewarding a student who excelled at the Grade 5 Scholarship Examinations

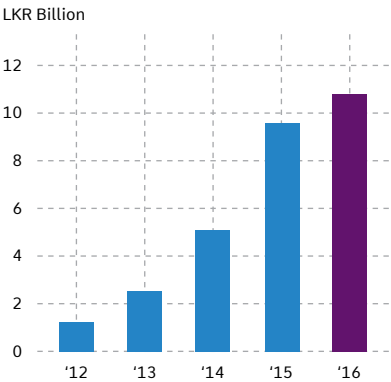
BUSINESS AND OPERATIONS REVIEW

its Children's Savings Account holders who performed exceptionally well at the Grade 5 Scholarship Examinations. Over 100 students who surpassed the respective cut-off marks of their district were rewarded with a credit of LKR 5,000 to their Children's Savings Account balance.

Retail Banking Deposits



Retail Banking Assets



During the year, the Bank's Children's Savings Portfolio grew by 29.4%, while its Ladies and Senior Citizen propositions grew by 44.5% and 51.8% respectively. The Bank's Salary Savings customer account portfolio increased by 36% in 2016.

Towards growing its Non-Resident Sri Lankan segment, as well as promote its newly established Expat Gold proposition and multiple remittance platforms, the Bank embarked on two successful international roadshows in Qatar and Kuwait. In 2016, the Bank's Foreign Currency Account portfolio grew by 19%, whilst achieving an Inward Remittance of LKR 3.69 billion.

Retail Financing

Achieving a significant growth of 94%, the Bank's Personal Financing products consisting of the Easy Payment Plan (which provides financing to purchase

furniture, electronics, household appliances, building materials and other items), Travel Finance, Education Finance and Solar Finance contributed remarkably to the Bank's retail financing portfolio.

A key product the Bank continued to penetrate throughout the year was its award winning Gold Financing facility. Having commenced the year with 11 branches offering Gold Financing, this proposition was further expanded to another 10 branches during the year. As a result of expansion and creating awareness, the Gold Financing portfolio grew by 208% during the year under review, enriching the livelihoods of thousands of customers, who were hitherto deprived of Sharia compliant financial inclusion. The product was also recognised by Global Finance Magazine USA in their Innovators Index for product innovation in Islamic finance.



Partnership with Imperial College of Business Studies to promote affordable Education Financing



Opening of a Gold Financing Unit at Eravur Branch



Opening of Gold Financing unit at Kuliyaipitiya Branch



Opening of Gold Financing Unit at Puttalam Branch

Due to the Monetary Board of Central Bank deciding to reduce the 'Loan-to-Value' ratio for credit facilities in respect of motor vehicles, the Bank had to consolidate the growth in its Vehicle Financing business. However, the Bank overcame this shortfall by achieving a growth of 22% from its Home Financing portfolio.

Recording a Non-Performing Advances ratio of 1.07%, Retail Financing continued to maintain a healthy and quality portfolio.

Offering Convenience

The Bank continued to invest in many initiatives to offer greater customer convenience during 2016.

- ✦ Having launched Internet Banking in 2015, the Bank went on to offer its customers greater convenience and access by launching its very own Mobile Banking application in 2016. With this introduction, Amāna Bank was the first to introduce a mobile banking application to the Islamic Banking industry in the country. Offering a host of banking services at one's finger tips, Amāna Bank Mobile Banking application is available in both Android and iOS platforms. Some of the features including online access to any deposit and advance accounts, view account details (balances, past transactions and pending transactions), enable standing order transactions, fund transfers within own accounts, fund transfers to predefined beneficiary accounts as well as many more features to be included soon.
- ✦ Amāna Bank joined hands with Sri Lanka's largest common ATM Network LankaPay, thereby

providing its customers the convenience of accessing their accounts via 3800+ ATMs island wide. The LankaPay Common ATM Network has grown to become Sri Lanka's largest common ATM Network connecting virtually the entire ATM Network in the country with the participation of 24 member banks and financial institutions.



Partnership with LankaPay Common ATM Network

- ✦ The Bank facilitated the realisation of a significant milestone for the Eastern Province by establishing the first Drive Through ATM in the Province. Located at the Kalmunai Unity Square premises, many customers could access the ATM by either riding their bikes or driving their cars.



Launch of Drive Through ATM in the Eastern Province in Kalmunai

- ✦ Having partnered with Lanka Money Transfer (LMT) last year to enable remittance from the Sri Lankan diaspora community in the Middle

East, Amāna Bank went further to strengthen its remittance platforms by tying up with Al-Zaman Exchange based in Qatar and Ceylon Exchange based in Australia. Through such tie ups Amāna Bank offers same day credit of funds remitted in LKR or USD with competitive exchange rates, no "back end" commissions or fees in Sri Lanka for account credits to Amāna Bank, while also facilitating to remit funds to any other bank account in Sri Lanka.

Card Business

The Bank tied up with over 50 merchants to offer discounts for purchases done through the Debit Card during the festive season. Discounts were offered from categories such as dining, travel, clothing, shopping and leisure. Many year-round card offers and seasonal card offers were also made available for customers to benefit from. Further, the Bank enabled its customers the convenience of paying for goods and services purchased online using the Debit Card. At the end of the year, the Bank had a Debit Card base of 58,642 customers, recording a significant growth of 60% from 2015.

Business Banking

The Bank's Business Banking Unit (BBU) continued to focus on achieving growth through prudent yield management and the strengthening of relationships with its existing customers including new acquisitions through existing client referral and focused market penetration especially in areas of new branch locations. Cross-selling opportunities were pursued in order to increase wallet share by providing bundled financing options including investment and transactional banking products.

BUSINESS AND OPERATIONS REVIEW

Following on, BBU has recorded commendable results for 2016 amidst stiff competition in the industry, rising trend in market rates and the general volatility in our traditional export markets such as Russia / Middle East and Europe. Continued economic instability within these regions had affected our traditional exports of Teas which had an impact on international purchase prices. Adverse weather conditions continued to have a negative impact on agriculture resulting in low yield on crop harvests which in turn had an adverse impact on its stakeholders.

The export earnings of the country recorded a negative growth of 2.2% whereas expenditure on imports increased by 2.5% during the year. However, imports were heavily affected by tax increases and restrictions imposed on concessionary duty permits for vehicle imports, etc. The drop in oil prices reduced the purchasing power of Middle East countries, resulting in a contraction of demand for tea exports. The demand for natural rubber exports too were affected due to a drop in synthetic rubber prices although recovering during the year under review to record an increase of 25%.

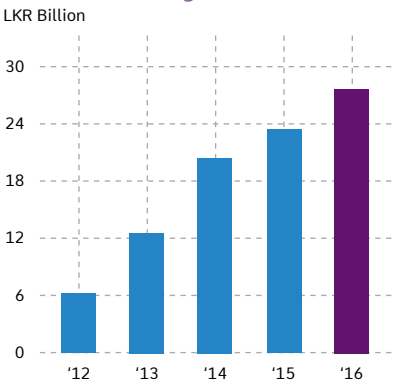
Despite these challenges, Fee Income of BBU generated through import and export business grew by 58.1%, demonstrating its focus on fee income business which was an encouraging upward trend.

Moreover, BBU also played a leading role in financing several Large Development Projects in areas such as Construction, Aviation, Renewable Energy Projects, Health and Agri-related Industries.

During the year under review, the Bank focused on strengthening its presence on trade business, including financing the agricultural and industrial sectors, through targeted marketing of new customers to expand the Corporate/ SME Banking portfolio. Focusing on these sectors also allowed the Bank to pursue cross-sell opportunities by offering outward/inward remittance services and transactional banking services to Trade Services customers.

The Customer Relationship Management Process was also structured to develop relationships at multiple levels, facilitating a better understanding of the client's requirements, positioning the Bank for growth and enhanced performance.

Business Banking Assets



A key thrust area in the Bank's strategic growth agenda, the SME portfolio of advances increased during the year from LKR 12.8 billion to LKR 17.9 billion, reflecting a significant growth of 40.5% and is one of the Bank's primary growth drivers. The SME proposition was rolled out through the Bank's branches, enabling penetration in geographies outside the Western Province.

The growing focus on long term and short term facilities was also seen as the best way to ensure that the quality of the portfolio is maintained. Towards this end, despite an overall YoY growth of 17.8% in BBU advances, the NPA ratio stood at 0.81% as at 31 December 2016.

Reflective on this trend, the Business Banking Unit contributed 62.9% to the total income of the Bank in the year 2016.

Treasury & Financial Institutions

The Bank's Treasury continues to build on the platform from previous years. Client-centricity remains a driving force within the business, and the Bank's Treasury continued to provide comprehensive banking solutions to institutional and corporate clients as well as generating liquidity to support growth and adherence to all prudential ratios throughout the year.

The Treasury focused on increasing internal efficiencies and cost containment by successfully implementing and integrating its Treasury activities through the core banking system to better serve its customers.

In addition, the Treasury directs the Bank's Asset and Liability Management process by providing the Bank's Asset and Liability Management Committee (ALCO) with updates on the market benchmarks and exchange rates movements as well as data on other macroeconomic developments. Based on these inputs, strategies are formulated by the Bank's ALCO for the management of maturity mismatch risks in the balance sheet.

Treasury's aim for 2017 remains to build on its strengths and constantly re-innovate themselves to support and guide the customers on exposure management in current and expected challenging economic environment while continuing to increase its product portfolio and invest funds for the Bank's own account to increase the yield on Treasury assets under management.

The Financial Institutions (FI) department functions in collaboration with Trade Services, Treasury and Business Banking departments of the Bank. The FI unit plays a pivotal role in establishing Correspondent Banking Relationships and also serves as a central point of contact for all the Financial Institutions around the globe. During the year under review, the FI department established 12 RMA's (relationship management application) and opened three Nostro accounts to facilitate and develop the Bank's Trade related business, Remittances & Treasury solutions.

Strategic Planning and New Product Initiatives Department

2016 marked the second year of the 5-year Strategic Plan, articulated by the Management Committee and approved by the Board in 2014. The sustainable strategies adopted during the year are an outcome of the strategic planning processes carried throughout the year and the insight gained from continuous engagement with all stakeholders. This year, the process of strategy formulation took on a more participatory approach, which resulted in an inflow of input, with horizontal and vertical representation from across different divisions, functional teams and tiers of the Bank. A two day Strategic Plan Review Session

was organised by the department for all key members of the Management Committee and Senior Management to facilitate the annual review. Being resolute in strategy and execution through systematic tracking, enabled the Bank as a whole, to achieve a more coherent, logical and strong operational model and set the Bank on a strong growth platform. The implementation of the strategy was monitored throughout the year with regular evaluations of actual achievements.

The New Product Initiatives function, in collaboration with relevant SBUs, focused towards matching the wide array of solutions made available by the mature conventional players of the industry and catering to the unmet needs of the core market, un-banked and under-banked segments subject to Sharia and regulatory approvals and changes in the legal framework to accommodate products.

Branch Operations

Our commitment and strategic focus in improving efficiency continues to be a priority, which allowed us to deliver focused and consistent operational guidelines to the network of branches for operational efficiency, with emphasis on working together across business segments of the Bank. Whilst equally focusing on the cost reduction initiatives which remain a high priority, the Bank concentrated on disciplined expense management with technology, resulting in collective savings and improvements in overall productivity.

Branch operations has attached greater importance to run successful training programmes in order to exchange expert knowledge, meet regulatory and compliance requirements whilst

continuing to enhance the competency levels of staff at branches.

As a result it was possible to identify and develop talent to fill most vacant positions in our network of branches including the new branches that were opened during the year with suitable internal candidates. In the Eastern Province, a branch was opened in Kalmunai Unity Square, the second in Kalmunai, to cater to the increasing demand and to capitalise on business



Kalmunai Unity Square Branch



Frontage of Old Moor Street Branch



Amāna Bank Director Jazri Magdon Ismail accepting a deposit at the Old Moor Street Branch

BUSINESS AND OPERATIONS REVIEW

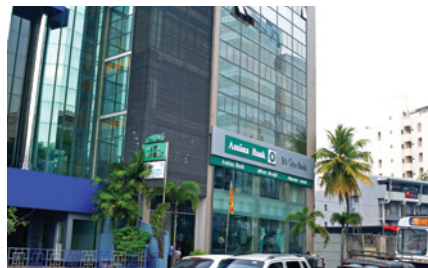
opportunities available in the area. A drive through ATM, which the first of its kind in the Eastern province, was also declared opened by the Chief Executive Officer in the early part of 2016.

Remaining customer focused, it was a significant undertaking to have opened three branches in the Western Province in Old Moor Street, Dematagoda and Kirulapone during the last quarter of the year. The opening of these three branches within a short span was overseen by a dedicated committee consisting of cross-functional departments. The Bank's network of branches expanded to 28 as at the end of 2016 and it expects to reap the full benefit of these new platforms in 2017 and beyond.

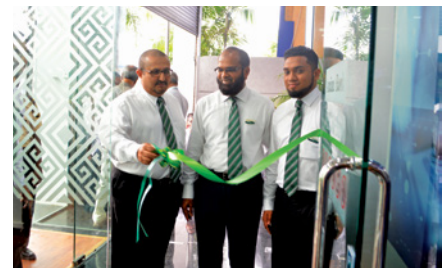
Records of documents of the branches and departments were classified under the retention period indicating the period for which the documents should be retained and to be destroyed thereafter. This Procedure document for the "Retention and Destruction of Documents" was successfully completed and was approved by the Executive Risk Management Committee.

Further, on digital technology, for the first time in Sri Lanka "Real Time Bank Transfers" for payments was kicked off by Lanka Clear. The facility commonly known as the "Common Electronic Fund Transfer Switch" (CEFTS) enables fund transfers within seconds. The Bank is pleased to be associated in this national initiative and is looking forward to make maximum use of the system for its customers in their day to day

transactional requirements. The Bank has also entered into a membership agreement with Lanka Clear for the "Common ATM Switch" (CAS) which links all ATM switches of LankaPay to facilitate domestic transactions. This will provide our customers greater convenience in accessing their accounts for cash withdrawal from anywhere in the country.



Frontage of Kirulapone Branch



Amāna Bank Deputy Chairman Tyeab Akbarally opening the Kirulapone Branch



Amāna Bank Deputy Chairman Tyeab Akbarally accepting the first deposit at Kirulapone Branch



Frontage of Dematagoda Branch



Amāna Bank Director Dr. A. A. M. Haroon opening the Dematagoda Branch



Amāna Bank Sharia Council member Ash Sheikh M. M. A. Mubarak accepting the first deposit at Dematagoda Branch

Central Processing & Trade Services

The successful 'Hub & Spoke Model' over the period 2010 to 2016 was further fine-tuned to obtain the highest level of process optimisation in 2016. This was made possible with the numerous system developments in all the units under the Central Processing Unit (CPU) & Trade Services department. In addition, streamlining and focusing on dedicated inter Bank processes, ensured a high level of efficiency. Continued strict discipline by adhering to operational procedures, policies, compliance, audit and regulatory requirements was maintained over the entire year.

Due to the high focus on system development in the external regulatory institutions like the Central Bank of Sri Lanka (CBSL), the Sri Lanka Customs, and the Lanka Clear, the Bank's in-house systems was also enhanced to cater to their requirements as well. It is pertinent to note that the Bank was one of the first few that opted for the pilot run with Lanka Clear for processing the Clearing Cheques in the Banking system under the 'on-line' Cheque Imaging Truncation System (CITS). This facilitates the processing on images of cheques which is currently in full operation after the successful pilot run.

The Treasury Processing function, which forms a part of the CPU, was supported by the Sungard Treasury system for the past 5 years. This system was discontinued and the Treasury module of the core banking system, i-MAL was implemented during 2016. This has been a successful cost effective transition.

The KYC (know your customer) data entry process commenced in

November 2016. With the support of an outsourced company, all the accounts opened in the Bank have been successfully uploaded into the Compliance 'Compass' system. This is under a directive of the CBSL.

The Facility Disbursements Unit under CPU was amalgamated with the Credit Administration Department to facilitate efficient processing under one umbrella, fostering better communication between the related credit processing units and fast track the front line services.

Trade Services have automated the file generation and upload to the Sri Lanka Customs, CBSL Exchange Control Department and the Sri Lanka Import Control Department websites, to fulfill the reporting requirements of the regulator. Other process developments within the Trade Services have increased the customer service turn-around time and provided valuable management information.

Recruitment of interns resulted in successful training of youngsters, 'hands on' and in-house. Most of them have been absorbed to the permanent cadre as part of the Treasury Processing unit and Trade Services. The rotation of staff members within the CPU Departments have continued for staff personal development, resulting in a team of professional support staff. Some senior experienced staff from CPU were absorbed into the new Branches that were opened during the year, and this has resulted in an effective and efficient service to the customers.

Transaction volumes for the year 2016 have increased by an average of 15% over the previous year, however with

proper deployment of staff; costs have been managed effectively through adequate training, process efficiency and system improvements.

Percentage increase in transaction volumes for the year 2016:

Clearing	23%
Account Processing and Ancillary Services	13%
Cash and Remittances	40%
Treasury Processing	5%
Swift Operations	11%
Trade Services	10%

Offshore Banking Unit

With the challenges and competition in the banking sector, Offshore Banking Unit has shown significant developments in the year 2016.

Comparing with previous year, the customer base has increased by 56.25% in the year 2016. Through this, the Bank looks forward to enhance its foreign currency deposits and advances portfolio at the Offshore Banking Unit. Towards the Bank's profitability, the Offshore Banking Unit made a useful contribution.

For the first time, four Vostro accounts were opened for Exchange houses during the year. Customers of Amāna Bank and other banking institutions receiving Inward remittances were routed through these Vostro accounts. This is one of the reasons for the increase in remittance business in 2016. In the future, the Bank envisages to open more accounts for Exchange Houses with a view to enhance its remittance business.

BUSINESS AND OPERATIONS REVIEW

The Bank has plans to increase its Offshore Banking activities in the coming years and to develop relationships with other Banks & financial institutions worldwide.

Information Technology

The Bank has taken significant strides towards our objective of delivering secure, cost-effective and contemporary technology services to our customers. The progress we have made was recognised by the world renowned 'Global Finance Magazine' which listed Amāna Bank in the magazine's 'Innovator 2016' Index for its novel Gold Financing product which was introduced as an alternative for conventional pawning, which is testimony to our ability to provide top-tier services through cutting edge solutions.

IT with a strong focus on innovation and digitisation through the substantial investment in leading edge information technology, has improved the integration and performance into the Banking and Financial Sector of Sri Lanka. The Bank continues to align technology for the benefit of customers, for regulatory compliance and to reduce information security risks and threats.

Internet Banking for Retail Customers was a new channel launched in 2015 for customer reach and convenience which was further extended to another market segment, Corporate and SME Customers in 2016. Banking at fingertips for the customers via the Mobile Banking application and a drive through ATM for transactions from the vehicle were launched during the year, enabling us to strive towards a portfolio of service delivery channels to customers. Wi-Fi solution was introduced to cater the

needs of the Prestige Banking customers with temporary security token for authentication. This has enabled greater convenience to our high net-worth customers.

With the launch of the remittance platform and above service delivery channels, the Bank was able to cater to the customers beyond geographical boundaries.

The Bank has also integrated with the National Payment Platform which is a national initiative to facilitate digital commerce and online transactions. This has enabled our customers to access over 3,800 ATMs (Lanka Clear Common ATM Switch - CAS) and make real time fund transfers/payments among member Banks (Common Electronic Fund Transfer Switch - CEFTS) in Sri Lanka.

Along with the technology advances, IT also facilitated an Email Solution to cater the marketing needs of the Bank in order to reach out to the customer. Pre-opened accounts were also launched during the year through the core banking application to serve customers faster, reducing the lead time of account opening. IT also improved the clearing process for efficiency through the Cheque Imaging & Truncation System (CITS) - for online image transfer instead of the traditional approach via Compact Disks (CDs).

While enhancing the customer reach and convenience, technology solutions enriched the system reliability and process improvements. Throughout the year we continued to support the refurbishment programme of our branch network. With state-of-the-art technology and a range of interactive

customer experiences, we have been able to implement technology solutions that support the mission and vision of Amāna Bank, capture customer service satisfaction and feedback through the launch of the 'We Care' application developed through the Bank's in-house talents and improve the Management Information Systems in order to have more visibility and transparency for strategic decision making. In addition to the above, we also upgraded the standalone Treasury system to the core banking application for seamless operations as a module.

Among the other key IT solutions launched in order to conform to regulatory compliance in 2016, was the implementation of the Name Screen Solution, which was sourced from a multinational information firm - Thomson Reuters Corporation.

With the banking and financial sector being heavily dependent on technology along with its complex nature, it is crucial to ensure reliability and security of the information systems and infrastructure. Thus, the Bank is exposed to new challenges in securing information assets which the Bank has strategically invested on with significant resources, in protecting the confidentiality and integrity of information and ensure availability of these information assets when required with professional institutions for technical services on cyber threat prevention along with in-house talents and expertise. The Bank has raised IT Security awareness levels among the Bank staff which is also being extended to its customers as well.

"DURING THE YEAR THE BANK ACTIVELY PURSUED A MAJOR PROGRAMME ENSURING ALIGNMENT OF THE PEOPLE STRATEGY WITH THE BANK'S OVERALL BUSINESS AND ORGANISATIONAL GOALS. DETAILED ATTENTION WAS GIVEN TO UPGRADING ALL HR PROCESSES AND SYSTEMS AND TO ENHANCING THE OVERALL KNOWLEDGE AND CAPABILITY OF TEAM MEMBERS."

The challenging market conditions affect every aspect of a business, including IT. The department remains conscious of cost management and the availability of solutions that can provide the return on investment needed to warrant the initial expenditure.

Looking ahead, we will continue to invest in state of art technology so that the Bank is positioned to seize the opportunities of the future while differentiating from the competitors. The Bank is also focusing on creating an internal culture of service and innovation so that the staff are dedicated to anticipate and meet customers' and relevant stakeholders' future needs.

Human Resources

During the year the Bank actively pursued a major programme ensuring alignment of the people strategy with the Bank's overall business and organisational goals. Detailed attention was given to upgrading all HR processes and systems and to enhancing the overall knowledge and capability of team members.

Performance Management

The Bank's performance management system seeks to ensure the delivery of desired business results by inter-relating business objectives with individual performance plans. The Bank continued to invest in a robust performance management programme to ensure the delivery of strong business results. This included institutionalising the Performance Calibration process. The Bank pursued a performance-based, market-driven rewards strategy that included an industry wide compensation and

benefits surveys that enabled the Bank to keep abreast of on-going market trends. Revised minimum salaries were developed in line with the industry standards and regulatory guidelines.

The HR function supports and adds value to the Bank's overall vision and mission by aligning its people strategy to become the financial service provider to work for in the Island. Achieving the goal of becoming an employer of choice to work for is of paramount importance to HR since it translates, in a tangible way, to the highest levels of service by our employees to our loyal and dedicated customer base. The reward strategy continued to support this objective by way of compensation that recognises both short term and sustainable performance. Our total compensation package is a critical component of our recruitment and retention activities, and we have remained focused on enhancing our reward proposition. Incentive and bonus structures have therefore been enhanced to align with individual reward.

Talent Acquisition and Selection

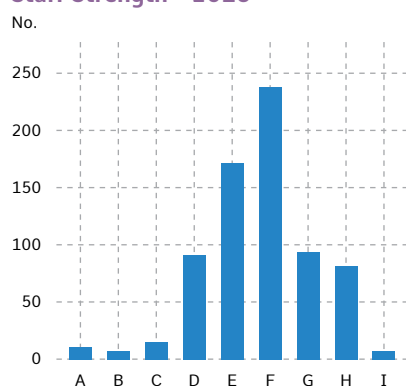
Our goal for the year 2016 was focused towards acquiring the right mix of talent and to ensure timely provision of staff. A total of 192 staff was recruited in 2016, to ensure smooth functioning of business and operations. Our objective is to provide opportunities to young and dynamic individuals, who have shown interest in joining the banking arena and to build a group of individuals to take up higher responsibilities in the future.

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Staff Strength

The staff strength for the year 2016 was 718, this is a measured increase compared to the previous year of 2015. Staff is encouraged to apply internally to fill in the void created via attrition which in turn is a strategy that showed positive results. External recruitments for experienced positions were kept at a minimum.

Staff Strength - 2016

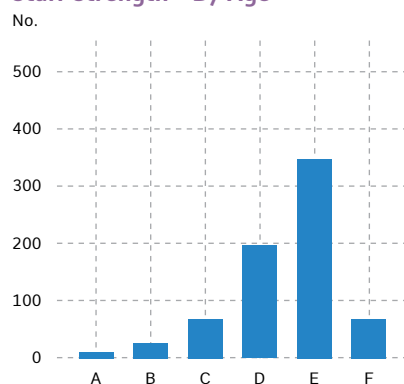


A-Management Committee
B-Assistant Vice Presidents
C-Senior Managers
D-Managers
E-Executive Officers
F-Junior Executive Officers
G-Trainee Banking Associates / Banking Associates
H-Business Development Officers
I-Office Assistants

Staff Strength

Category	2016	
	No. of Employees	Percentage (%)
Management Committee	11	2
Assistant Vice Presidents	7	1
Senior Managers	15	2
Managers	91	13
Executive Officers	172	24
Junior Executive Officers	238	33
Trainee Banking Associates / Banking Associates	94	13
Business Development Officers	82	11
Office Assistants	8	1
Total	718	100

Staff Strength - By Age



A-61 and Above
B-51-60
C-41-50
D-31-40
E-21-30
F-20 and Below

Staff Strength - By Age

Category	2016	
	No. of Employees	Percentage (%)
61 and Above	10	1
51-60	26	4
41-50	68	9
31-40	198	28
21-30	347	48
20 and Below	69	10
Total	718	100

Training and Development

During the latter part of 2015 and the beginning of 2016 the required training was identified via Training Need Analysis, focused groups via heads of departments, Branch Managers and Senior Management staff that paved the way to develop the training calendar covering all the required areas.

Integral to the Bank's Human Resources Management activities was on-going consultative and systematic support to the business through the provision of quality training and the implementation of programmes designed to enhance the leadership capabilities, knowledge and service delivery of all staff thereby providing them with a platform on which to build their overall career progression. HR focused on initiatives geared towards the professional development of employees across Amāna Bank's business units and departments. With access to a tailored curriculum and a focus on improving technical skills and increasing industry knowledge, the Bank's employees are now better placed to offer more strategic insight to customers and help them meet the current and future challenges faced by their businesses. New programmes launched covered technical training across business lines and departments, coaching for sales &

performance and leadership, amongst other development areas. Several members of senior management attended Strategic programmes, as well as those conducted by Harvard Business School. Training on the Bank's products was enhanced for front office staff.

Along with these learning initiatives and in line with the Bank's efforts of pursuing a sustainable growth strategy, succession plans were finalised for all key roles and career development plans have been developed accordingly. During the year, a total of 2,085 trainee days were attended by staff members and marked a significant year for Training and Development as the average satisfaction score reached 84%.

Below is the snapshot of the training programmes held during the year 2016.



Senior Manager -HR addressing a Training Programme



Staff Members at a Training Programme

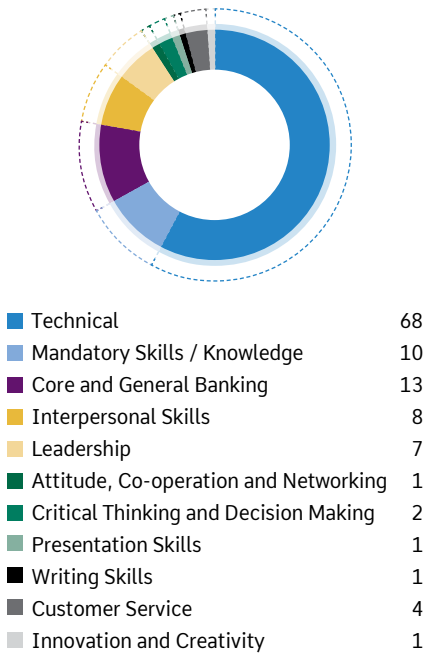


Group Discussion at a Training Programme

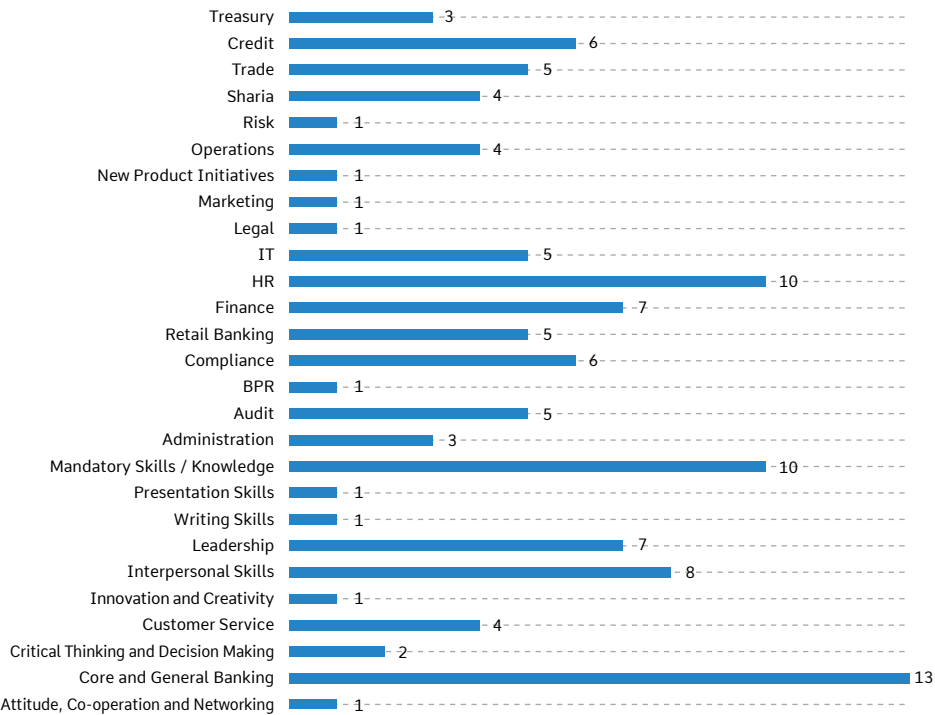


A Role Play in Action

Main Categories of Programmes



Number of Programmes



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'We Care' Initiative

Towards instilling a service excellence culture across the organisation as well as inculcating a customer service ethos, the Bank continued to focus on its 'We Care' Initiative. Driven by a cross functional team, the We Care initiative through multiple programmes was able to foster a service mindset.

Through the initiative, the Bank continued to recognise and reward exemplary customer service moments under the label 'We Care Moment of the Month', where the staff member was not only rewarded but his exemplary service being shared amongst the entire organisation as an inspiration to all.

The We Care Team also expanded its digital feedback platform to all branches during 2016, thereby providing a tool to constantly measure the service levels of the branches. Customer Feedback Tabs are placed in strategic locations in the branch, inviting the customers to rate the Bank's service in terms of if they were happy, unhappy or could improve the service. The feedback received were shared to the branches on a live dashboard, through which branches were encouraged to engage with staff on how to continue improving the service levels.

The Team also established a platform to generate ideas from staff towards service excellence. Labeled 'We Care Idea', the platform encourages staff members to think out of the box in providing solutions which focus on service excellence in products, services and processes.

Marketing and Corporate Communications

Amāna Bank continued its marketing and corporate communication activities along the lines of the Bank's strategic focus, in which success is defined based on the effectiveness of its image strategy, its media & content strategy and the clarity in identifying its key audiences coupled with a commitment to generate an above average Return on Marketing Investment (ROMI).

As part of its image strategy, the Bank emphasised on ensuring consistency and uniformity in all communication activities, while focus was given to strengthen the corporate brand along with other product communications. Further, all communications were done in line with an 'open to all' focus, thereby being both relevant and appealing to all Sri Lankans.

Embracing a very selective media strategy, the Bank continued

to reap success in its marketing communications by having an 'out-stand' approach instead of 'out-shouting' in a scattered and intense media space. Such approach, which was present in the various campaigns executed by the Bank, ensured the impact of the Bank on such selected media was very strong.

Having established a culture of focusing on the effectiveness of its marketing investments through a ROMI analysis on key marketing programmes, the Bank has been successful in instilling a learning culture on key success factors and areas for improvement.

In addition to strengthening the corporate brand through various corporate campaigns, the Bank carried out promotional campaigns giving prominence to the variety of products and services offered with high visibility in selected main stream media as well as below the line (BTL) platforms. The return on investment or the effectiveness of these campaigns and programmes was mirrored by business growth.

Several campaigns were also executed for the new products and services launched by the Bank, which included the launch of the innovative Flexi Term



Amāna Bank CEO Recognising a Staff Member



Official Banking Partner for the Inaugural Islamic Finance Forum of South Asia



Promoting the Children's Savings Gift of the Month Initiative

Investment account. An info-graphic animation was aired on social media to create awareness on the benefits of opening a Flexi Term Investment account.

Segment specific promotions were carried out during the year to promote the Bank's Children's Savings Accounts and Ladies Savings Account while an extensive campaign was initiated to promote the Bank's Term Investment Accounts offering a higher share of profits. A 360 degree promotional campaign to increase usage of the Bank's Debit Card during the festive season was done in partnership with 50 plus merchants. To support the Bank's Gold Financing business, a targeted marketing campaign was executed across the branch network with both above the line (ATL) and BTL communication.

With a view to educate the public and generate interest on its unique banking model, the Bank continued to conduct many public awareness programmes along with the Sharia Supervisory Department. Many workshops and seminars were held in different parts of the country with the participation of Scholars, customers and students under the subject 'Understanding the Practice of Islamic Banking'.



Lead Banking Partner of Ramadan Expo 2016

The Bank continued to invest in digital media to grow its communication reach to a wider and new age audience. The Bank grew its presence in social media through Facebook, Twitter, Instagram, YouTube, LinkedIn while also maintaining a strong web presence.

The Bank once again partnered with the Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Conference, which brought together the local Islamic banking industry to one forum to share knowledge and expertise in driving the industry forward. With an objective of promoting the growing non-interest based banking model in the South Asian region which has firmly taken root in Sri Lanka, Pakistan, Bangladesh and Maldives, Amāna Bank partnered the inaugural Islamic Finance Forum of South Asia as its Lead Banking Partner.

The Bank also partnered many other events as sponsors, including the Annual Conference of the Institute of Certified Management Accounts Sri Lanka, the inaugural National Youth Model United Nations Conference, the AGM of the All Ceylon Hardware Merchants Association, the Annual Convention of the Sri Lanka Muslim Media Forum, Zahira College Soccer 7s, First Global Awards Ceremony as well as the Ramadan Expo Shopping



Amāna Bank Participation at a Fair

Festival. The Bank also contributed towards an international tour of the National Softball Cricket Team.

Awards And Accolades

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2016

For the third consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri Lanka at the World's Best Islamic Financial Institutions Awards 2016 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.

Listed in Global Finance's Innovators Index for Innovation in Islamic Finance

The world renowned 'Global Finance Magazine' recognised and listed Amāna Bank in the magazine's 'Innovators 2016' Index for its novel Gold Financing product which was introduced as an alternative for conventional pawning. This prestigious index recognises the top Banks worldwide that have introduced a break-through product to the marketplace through innovation. The recipients of this elite index were recognised at a ceremony held in London in October which coincided with the annual Global Finance Digital Bank Conference.

Best Islamic Bank in Sri Lanka by The Banker

The Banker provides economic and financial intelligence for the world's financial sector and has built a reputation for objective and incisive reporting. It ranks the world's top

BUSINESS AND OPERATIONS REVIEW

banking institutions as well as Islamic financial institutions. The Banker has been carrying out Islamic Banker of the Year Awards for the last nine years and included Sri Lanka as a new market in its 2016 awards, an indication of the continued global spread of the Islamic banking industry. Amāna Bank was adjudged the inaugural Best Islamic Bank in Sri Lanka awarded by The Banker.

Best Islamic Bank in Sri Lanka - Islamic Finance News Awards

Amāna Bank was awarded the 'Best Islamic Bank in Sri Lanka' accolade for the sixth consecutive year at the global Islamic Finance News poll for 2016 conducted by the Malaysia-based RedMoney Group. The Islamic Finance News Poll 2016 which was concluded in December last year takes an unbiased and all-encompassing approach in selecting the best banks in the world. Islamic finance issuers, investors, financial intermediaries and government bodies from around the world participate by casting their votes for the best players and deals in the various award categories every year.

Gold Award for Islamic Finance Entity of the Year at the Inaugural Islamic Finance Forum of South Asia Awards (IFFSA Awards)

As a result of the Bank's turnaround performance in 2015 and in recognition of the Bank's key role in developing the Islamic banking industry, the Bank was awarded the Gold Award for Islamic Finance Entity of the Year - Sri Lanka at the inaugural IFFSA Awards 2016.

Gold Award for Islamic Finance Deal of the Year at the IFFSA Awards

The Bank was recognised with the Gold Award for Islamic Finance Deal

of the Year at the IFFSA Awards 2016 for having financed Sri Lanka's largest and most modern livestock feed mill - Fortune Agro (Pvt) Ltd, which is a Board of Investment (BOI) approved joint venture between leading poultry providers Bairaha Farms PLC and Farm's Pride (Pvt) Limited.

Silver Award for Islamic Finance Product of the Year at the IFFSA Awards

The Bank was also awarded the Silver Award for 'Islamic Finance Product of the Year' at the IFFSA Awards 2016. The Award was adjudicated for the Bank's innovative Flexi Term Investment Account.

Sri Lanka's 100 Most Valuable Brands

Amāna Bank was ranked 82nd in Sri Lanka's 100 Most Valuable Brands for 2016, a study and ranking index

compiled by Brand Finance, an independent consultancy focused on the management and valuation of brands globally. The ranking index was published in the Brands Annual magazine, which is presented by Media Services, the publishers of the renowned LMD Magazine. The ranking was improved by one position from the previous ranking with a brand value of Rs.324 million and brand rating of B.



Amāna Bank Chairman Osman Kassim collecting the award for IFN's Best Islamic Bank in Sri Lanka



Amāna Bank being recognised by Global Finance Magazine for Product Innovation in Islamic Finance



Chief Risk Officer Ajmal Naleer collecting the award for Islamic Finance Deal of the Year (IFFSA Awards)



VP - Operations and SME Banking M. M. S. Quvylidh collecting the award for Islamic Finance Entity of the Year (IFFSA Awards)



VP - Retail Banking & Marketing Siddeeqe Akbar collecting the award for Islamic Finance Product of the Year (IFFSA Awards)

REPORT ON SHARIA SUPERVISION

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ
الحمد لله رب العلمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, the year under review marks the fifth full year of commercial operations for Amāna Bank.

During the year, the Sharia Supervisory Council (SSC) of the Bank held three Sharia Council meetings to review various products, product modifications, concepts, transactions and processes including the approval of two new product and modifications to two existing products.

New Products Approved by the SSC During the Year

1. Working Capital Facilities for Corporates and SME's on Wakala Bil Istithmar Basis
2. Import Murabaha based on Istijrar Concept

Modifications Made During the Year to Existing Products

1. Travel Finance Facility
2. Education Finance Facility

Assistance in Developing Product Documentation

1. Tripartite Agreement
2. Education Finance
3. Forward Sales Facility
4. Pledge Facility Documentation
5. Murabaha based on Istijrar Concept

Sharia Guidelines Initiated During the Year

1. Sharia Guidelines for Profit Equalisation Reserve
2. Sharia Guidelines on Treatment of the Charity Fund

3. Sharia Guidelines on Online/Automated Sharia Compliance Process
4. Sharia Guidelines on Murabaha for Real Estate Business.

New Concepts Approved By the SSC During the Year

1. Committed Facility Arrangements from Counterparties
2. Service Fee - Credit Study / Feasibility Study
3. Bancatakaful - Capitalisation of Motor Takaful

Sharia Audit and Compliance Reviews

To ensure that all the revenue generated by the Bank strictly adheres to conjunctions of Sharia, the Bank's Sharia Supervision Department actively observed various operational activities of the Bank throughout the year. The credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Security/Sharia documents were reviewed to ensure Sharia compliance whilst offering financing products to the customers.

The Sharia Audit Function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to Sharia Guidelines in each and every activity undertaken by the Bank.

The Sharia Supervision Department will focus on matters pertaining to Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income generated from Advances via Consumer and Business Banking transactions that were audited are as follows:

Income Generated from Consumer Financing (LKR '000)	1,228,477
Income Generated from Business Financing (LKR '000)	2,723,377
Number of Transactions Performed	11,108
Number of Transactions Audited	11,108
Total Gross Advances as at 31 December 2016 (LKR '000)	38,732,202
Gross Non-Performing Advances Ratio (%)	0.89

Moreover, physical inspections were conducted on a random basis and tangible measures were taken to verify the relevant purchase evidences/invoices, further enhancing the controls.

REPORT ON SHARIA SUPERVISION

All financing products were fully audited by the Sharia Supervision Department and their alignment with the guidelines given by the SSC was also verified. The process and the scope of the audit included the following:

- ✦ Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was also confirmed by visiting their premises on sample basis.
- ✦ Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ✦ Sharia documentation and other related security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Local Musharaka, Istisna, Tijara, Wakala, Education Finance and Gold Safekeeping Facility.
- ✦ Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha.
- ✦ Purchase deeds, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka for housing facilities and issuance of timely unit sale receipts.
- ✦ Investments made in Equity with reference to the Equity stock screening criteria.

- ✦ Import finance transactions and related documentation.
- ✦ Extensive reviews of client payment, purchase cycle and periodic assessment of clients' processes.
- ✦ Profit-sharing ratio, pool working, asset and deposit allocation for deposit products.
- ✦ Treasury placements made by the Bank with other Islamic Financial Institutions and Window Operations.

Online Sharia Compliance Process

Sharia Supervision Department carries out Sharia audits of all transactions (100%) executed by the Bank on a post transaction basis, as well as sample based spot audits. The Sharia audit is carried out to ensure Sharia compliance of all our transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank implemented an Online Sharia Compliance Process, which would essentially be a live audit process and the pilot run was launched in October 2016. The Online Sharia Compliance Process will take place at the fund disbursement, deal creation and deal settlement stages.

Murabaha Status Sheet

A system for continuous monitoring of Murabaha transactions is in place whereby the branches extending Murabaha financing are required to submit a monthly report, after thorough review by the branch/department head, to the Sharia Supervision Department for review and continuous monitoring of Murabaha transactions to avoid any Sharia non-compliance.

Training and Development

During the year, 10 internal Sharia training sessions were held in which 298 employees participated. These programmes were conducted with the objective of enhancing the knowledge and skills of staff members on Sharia Principles and Sharia documentation related to the respective contracts.

During the year the Sharia Supervision Department focused on increasing the level of awareness in key stakeholders on Islamic Banking, products offered by the Bank and to inculcate the value of Islamic banking. In this regard 28 external programmes were conducted for Islamic scholars, customers, university lecturers, teachers, students and the general public. The total participation for these programmes was 1,615.

Programme	No. of Sessions		Audience	No. of Participants	
	2016	2015		2016	2015
Internal					
Introduction to Islamic Banking-Our Model	5	1	Newly Recruited Staff	171	26
Sharia Refresher Programme	1	3	Colombo Region Staff	29	167
Workshop on Products	2	-	Branch Managers	46	-
Islamic Banking Products and Documentation	-	7	Internal Staff	-	72
Sharia Productwise Training	1	-	Business Development Officers	25	-
Introduction to Sharia/Islamic Banking & products offered by Amāna Bank	1	-	Newly Recruited Staff	27	-
Session on Sharia by the Sharia Supervisory Council	-	1	Management Committee Members and Managers	-	60
Subtotal	10	12		298	325
External					
Awareness Programme on Islamic Banking	2	5	Islamic Scholars	192	314
Awareness Programme on Islamic Banking	26	8	Academics, Students, Customers, Islamic Scholars and General Public	1,423	534
Subtotal	28	13		1,615	848
Total	38	25		1,913	1,173

Sharia Risk Management Committee

The Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee of the Bank was established to discharge the responsibilities of management on Sharia Compliance. The SRMC met six times during the year in order to take up issues relating to Sharia Audit, Compliance and Risk.

Regional Sharia Audit Units

The regional Sharia units in the Central and Eastern regions are playing a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% audit of transactions and facilitating smooth operations in a timely manner.

Sharia Advisory Services

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an ongoing basis, based on the previous guidelines and resolutions made by the SSC. Further, issues would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department were tabled at the subsequent SSC meetings and ratified by the SSC.

The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities

to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	16
Number of Advisory/ Clearances Provided by the Sharia Supervision Department based on previous guidelines and resolutions	29
Number of Advisory/ Clearances Provided by the Sharia Supervision Department on new issues	468
Total	513

Number of Credit Memorandums reviewed by the Sharia Supervision Department	403
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REPORT ON SHARIA SUPERVISION

External Support

Amāna Bank continues its Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations to be in compliance with Sharia principles.

In this regard, the Bank provides Advisory Services for Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, provide Training as well as monitor Compliance to the requirements of Sharia.

Charity

During the year, an amount of LKR 518,920/- was transferred to the Charity Payable Account. As at 31 December 2016 the total balance in this account amounted to LKR 2,091,023/-.

Statement of Sources and Uses of Charity Fund

	2016 LKR	2015 LKR
Opening balance as at 1 January	1,702,139	1,525,903
Additions during the year		
Purification of Dividends/Disposal Gains of Equity	27,845	13,625
Interest Accumulated in Nostro Accounts	380,433	177,504
Excess Cash	51,700	194,050
Profit Write Off	58,906	65,632
	518,884	450,811
Less: Distribution of Charity	(130,000)	(274,575)
Closing balance as at 31 December	2,091,023	1,702,139

The total amount of LKR 130,000/- that was disbursed from the Charity Account was done with the approval of Head of Sharia Supervision and it was duly reported to the SSC for its concurrence.

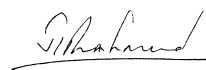
The Way Forward for the Year 2017

- ✦ Continue to ensure the zero tolerance culture on Sharia non-compliance.
- ✦ Implementation of the Online Sharia Compliance Process at all branches/ business units by 2nd Quarter of 2017.
- ✦ Strengthen the Sharia risk management process and mitigation of Sharia violations through the involvement of the Sharia Risk Management Committee.
- ✦ Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- ✦ Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.

- ✦ Facilitate and conduct training sessions as follows to develop Sharia competency levels and instill onus on all stakeholders -
 - Sharia Principles and Islamic Banking for new staff members
 - Sharia Refresher programmes for existing staff members
 - Focused training programmes on Sharia Principles, Documentation and Sharia Compliance
 - Sharia Compliance & Sharia Risk for Management Committee & Other Senior Management staff
 - Focus on a "Talk the Walk" policy for the Bank with regard to the operations and offerings of the Bank.
- ✦ Conduct special awareness programmes for Customers and the General Public, whilst continuing workshops for Islamic Scholars on Islamic Banking.
- ✦ Appointment of Sharia Inspection Officers for Central & Eastern regions in order to facilitate trade transactions and execution of relevant Sharia contracts.

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.

و عليكم السلام ورحمة الله وبركاته



J. Tariq Mahmud
*Acting Head of Sharia Supervision
 Department and Secretary to the Sharia
 Supervisory Council*
 16 Jumaadal Aakhirah 1438A.H.
 16 March 2017

CORPORATE SOCIAL RESPONSIBILITY

"ALONG WITH THE ENGAGEMENT OF THE BANK STAFF, CSR INITIATIVES WERE CARRIED OUT WITH MUCH INTEREST TO ENCOURAGE A CULTURE OF SHARING AND GIVING BACK TO SOCIETY."

The overall focus of the Bank's CSR strategy is towards initiatives that support children, paying attention to their health, education and general well-being amongst other key needs. Along with the engagement of the Bank staff, CSR initiatives were carried out with much interest to encourage a culture of sharing and giving back to society. Highlighted below is a summary of CSR initiatives implemented by the Bank in 2016.

As part of its focus towards the health of children, the Bank continued to partner with the Children's Ward of the Colombo South (Kalubowila) General Hospital. Apart from supporting the ward maintenance, the Bank in 2016 donated a Multi-para Cardiac Monitor as well as a wheel chair for the usage of the ward. The Bank also made a significant contribution towards the maintenance of Children's Ward of

the Nintavur Base Hospital in addition to providing directional and signage boards. The Bank also supported the Kinniya Base Hospital in refurbishing the hospital laboratory.

In the focus area of Children's education, the Bank once again rendered support to the Serendib Education Foundation, through which financial assistance and scholarships were awarded to deserving students who are unable to pursue their studies due to financial difficulties. This was the Bank's fourth consecutive year in supporting the Serendib Education Foundation. The Bank also supported the renovation and building of a playground of an under-privileged nursery located in Colombo 12. The Bank also continued its donation towards the Child Foundation for Inter Religious and Ethnic Harmony in commemoration of World Children's Day.



Celebrating Children's Day at Kalubowila Hospital



Donation of a Wheel Chair to Ward 15B of Kalubowila Hospital



Donation of a Multi-para Monitor to the Kalubowila Hospital



Donation to Refurbish the Playground of an Underprivileged Nursery

CORPORATE SOCIAL RESPONSIBILITY

The Bank continued to associate with the Makola Orphanage by donating school stationery for the new school year. To commemorate the anniversaries of branches, the Bank opened children savings accounts to under privileged children in the branch locality.

The Bank supported the victims who were affected from the severe floods that hit Sri Lanka in May last year. Dry Rations were distributed to victims in Kolonnawa, Wellampitiya, Puttalam and Mawanella.

For the third consecutive year the Bank contributed towards the Ifthar (Break-fast) function organised by the Royal College Old Hostellers Association as part of strengthening inter-faith relationships amongst hostellers. The Bank also contributed towards many other Ifthar functions organised island-wide.

Some of the other key CSR projects implemented by the Bank include donation of pedestal fans for a Temple, installation of street name boards in the Akkaraipattu municipality, and donation to the Sri Lanka Cancer Society.



Donation of School Stationery to Makola Orphanage



Donation of Pedestal Fans to a Temple



Supporting the Refurbishment of the Nintavur Hospital Children's Ward



Providing of Name Boards for Nintavur Hospital



Providing dry Rations, Clothes, and Emergency Supplies to those Affected by the Floods

RISK MANAGEMENT

Banks are exposed to various risks in their day-to-day business operations. Risk is inherent in every level of activity carried out by a bank, but is managed through a process of ongoing identification, measurement and monitoring, with the aid of risk limits and other controls. The major categories of risks are credit, market, liquidity and operational risks. Banks also face other risks including but not limited to reputational, legal, regulatory risks, etc.

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies and procedures approved by its Board of Directors (BOD). The purpose of these policies and procedures is to manage and optimise the risk-reward trade-off. Through the IRM framework, the BOD assesses the risk profile and oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at the minimum on a quarterly basis.

The IRM framework covers identification of potential risks and sources of such risk, the mechanism of managing such information and reporting to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures approved by the BOD inter alia addresses:

- i. A system to aggregate overall risk exposures for monitoring and control
- ii. Measures for risk diversification with limits for various exposures based on risk appetite

- iii. Risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. Capital maintenance considering expected losses and unexpected losses
- v. Capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions
- vi. Disaster recovery and contingency plans

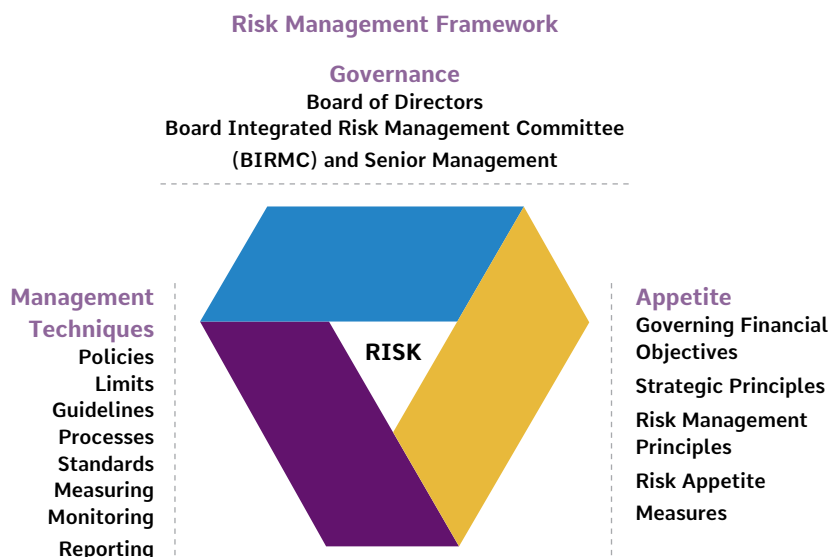
Risk Management Structure

The Risk Management Department (RMD) is mandated to design and operate the Bank's integrated risk management process and is independent of the Bank's business lines. The Bank has developed a risk management framework adhering to Basel II Accord which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the ongoing development and enhancement of the Bank's integrated risk management

infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk - i.e., a way that people and processes ensure that business activities provide an appropriate balance of return for the risks. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Integrated Risk Management Framework document was revised by the Risk Management Department, reviewed by the Board Integrated Risk Management Committee and approved by the Board of Directors.

The Bank's risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:



RISK MANAGEMENT

The Bank has in place a strong risk management framework which is based on the need to assess the Bank’s exposure to risks while minimising adverse impacts of Credit Risk, Market Risk, Liquidity Risk and Operational Risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/ exposures remain aligned to the defined risk appetite and strategy whilst proactively managing risks supported by strong open-minded risk identification.

The Bank’s mission with respect to risk management is to advance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and practices. As such, the Bank has continued to invest in its risk management capabilities in terms of human resources, processes, policies and introduced newer tools during the year under review. The global economic crisis has provided an opportunity for a fundamental restructuring of the approach to risk and regulation in the financial sector. The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a bank with a sound foundation of risk management framework consistent with the bank’s objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is monitored by the following committees:

- ✦ Board Integrated Risk Management Committee (BIRMC)
- ✦ Board Audit Committee (BAC)
- ✦ Board Credit Committee (BCC)
- ✦ Asset and Liability Management Committee (ALCO)
- ✦ Executive Risk Management Committee (ERMC)
- ✦ Operational Risk Management Committee (ORMC)
- ✦ Management Audit Committee (MAC)
- ✦ Executive Credit Committees (ECC)

The Board has defined the risk appetite for the Bank which would then be rolled out to each business line and subsequently to the business unit. The Board is assisted by a number of Board level and Management level committees.

Typical Roles/Responsibilities in Setting Risk Appetite

Stakeholders	Roles/Responsibilities
Board of Directors	Review and approve risk appetite Review strategic objectives and positioning
BIRMC	Understand the risk profile of the Bank and the Bank’s performance against same Set basic goals for the Bank’s risk appetite and strategy, such as ratings or earnings-volatility targets with Senior Management and issue guidelines for Senior Management in implementing Risk Management Policies and Procedures throughout the Bank Ensure that the Risk Function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools
CEO, CRO and Senior Management	Set business strategy Identify availability of capital Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity Oversee monitoring, reporting and governance around the risk appetite process Align business lines and goals within the risk parameters Communicate risk appetite Promote risk culture Communicate and integrate objectives throughout the business processes Embed risk appetite-related goals in performance objectives and compensation rewards

Stakeholders	Roles/Responsibilities
Business/Support Unit Heads	Propose key initiatives in light of economic, risk and competitive outlook Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under Basel II Accord the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

1st Line of Defence: Risk Taking Units

These are the units directly exposed to specific risks daily and must assume primary responsibility in their management. By identifying and analysing risks and shortcomings, instituting regular controls, monitoring and reporting procedures and taking appropriate action, they are in the best position to mitigate or avoid risks. The overall ownership of the risk environment and responsibility to manage the risks therefore reside with them.

2nd Line of Defence: Risk Control Units

This refers to the respective Risk Management Team and the Risk Control Committees, including other control and monitoring departments such as Legal, Compliance and Sharia Supervision. The Risk Management Department shall be responsible for the development and maintenance of the Risk Management Framework and its implementation. Other controlling and monitoring departments are responsible to develop guidelines in managing risks under their purview. Both RMD and controlling/monitoring departments ensure timely receipt of reports and perform

analyses before submitting them to top management and the Board of Directors for their oversight. Where appropriate, they provide support to the risk taking units and initiate changes to policies and procedures.

3rd Line of Defence: Independent Assurance

This refers to the Internal Audit function whose roles and responsibilities under the Risk Management Policy are to provide independent assurance to the Board of Directors on the effectiveness of the Risk Management Framework, that the policy has been implemented with integrity.

Going forward, the Bank aims to leverage the risk management system capabilities to drive the following business benefits:

- Increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- Reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- Adhere to regulatory compliance [i.e. Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), etc.]
- Enhance strategic decisions with foresight into risks.

- Enhance product and services strategy by providing confidence in introducing innovative and profitable offerings.
- Timely detection of risks to reduce losses due to risk events.

During 2016, a prudent risk management approach in line with industry best practices assisted Amāna Bank to reach its current level of growth. In order to achieve this, the Bank was able to cultivate a risk based culture by means of a robust risk management framework throughout all the branches and departments. The Bank's Risk Management Department strategically manages the risks by working closely with the business units at every stage of the process and with the use of credit risk, market risk and operational risk management tools has successfully managed the Non Performing Advances (NPA) ratio at a very low level compared to the industry and work towards strengthening the Risk Control and Self-Assessment (RCSA) process.

Assessment of Capital Adequacy

In order to provide assurance that Amāna Bank has sufficient capital to support all its business and risk taking activities, the Bank has carried out the Internal Capital Adequacy Assessment Process (ICAAP) as required by CBSL.

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio risk exposures, its risk management practices towards its material risks and potential capital planning buffer required in the event of stress.

RISK MANAGEMENT

CBSL, based on the above, directed all licensed commercial banks in Sri Lanka to come up with their ICAAP document and submit the same for regulatory evaluation within six months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document to meet the said requirement.

The compilation of the document is spearheaded by the Management Committee, a cross functional team which consists of resource personnel from Risk, Audit and Finance departments.

ICAAP document helps the Bank meet the following objectives:

- i. Ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. Ensure a comprehensive coverage of risks facing the Bank covering not only the Pillar I risks but also other risks (Pillar II and Pillar III) which are not covered in Pillar I. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: Residual credit risk, under-estimation of credit risk in standardised approach).
- iii. Formulate a process that forms an integral part of the Bank's risk management processes so as to enable the Board of Directors and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.

- iv. Have a process for assessing the overall capital adequacy in relation to the risk profile.
- v. Enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.
- vi. Usage of risk management in general business decisions and budgets, day to day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.
- vii. Embark upon a continuous process of improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

Credit Risk Management Overview

Credit Risk is the loss arising from failure of the counterparty to perform according to its contractual arrangements with the Bank. It includes failure in the repayment of capital plus the Bank's profit/mark-up in full within the agreed tenure and in the agreed currency.

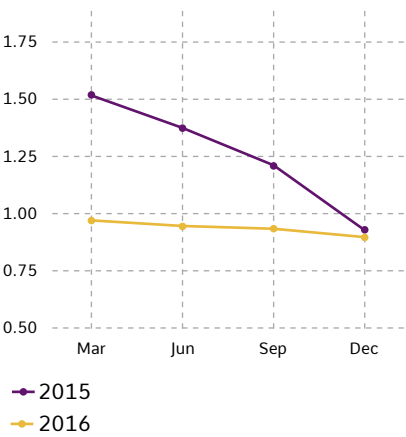
Credit risk arises from the financing and investment activities of the Bank. Risk identification and evaluation hence focuses on identifying sources giving rise to credit risk, which typically revolves around appraisal of the borrower and facility characteristics and the economic/ socio-political and industrial environment to assess the borrower's willingness and ability to repay their obligation to the Bank in full.

Managing Credit Risk Managing Credit Risk through Portfolio Management

One of the key functions of the RMD is to conduct portfolio analysis on a quarterly basis or even more frequently if the need arises. This exercise covers analysis of the portfolio based on industry sectors, products and trends in NPA, etc.

	Non-Performing Advances Ratio (%)	
	2016	2015
March	0.91	1.52
June	0.95	1.38
September	0.93	1.21
December	0.89	0.92

Non-Performing Advances Ratio %



In addition, stress tests/scenario analyses are carried out to assess the impact of any material changes in the external environment with suitable recommendations to restructure the portfolio.

The credit evaluation process follows procedures for pre-clearance of credit proposals, proposals to be prepared in determined formats, financial

appraisal, presentation of credit, independent review of financial and non-financial information such as credit ratings, security & covenants and credit approval based on delegation of authority (DA).

The Board of Directors holds the overall responsibility for implementing the Bank's credit risk management framework. The Board Credit Committee (BCC) has been delegated the responsibility of managing the Bank's credit risks. At an executive level, credit authority has been further delegated to Executive Credit Committees (ECC) which are headed by CEO and CRO. The Credit Risk Management Department conducts independent reviews of the credit risks lying with the business units and makes recommendations on credit policies, prudential limits on sector exposures and reviews Facility Review Mechanism reports in order to make improvements.

The policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre/post credit risk management in line with the risk appetite of the Bank, the regulations of the Central Bank of Sri Lanka and the globally accepted BASEL guidelines.

Culture of Responsible Lending

The Bank has been successful in developing a culture of risk awareness and responsible lending through comprehensive training of the credit team and continuous discussions at regular credit committee meetings which bore results and are reflected in the results, with several key business lines achieving improvements in NPA and impairment positions.

Developments in 2016

- ✦ Employee training on credit appraisal, risk acceptance and overall awareness on Credit Risk.
- ✦ Credit Risk Policy and Credit Procedure Manual of the Bank were reviewed during the year to be in line with the Bank's strategies and risk appetite.

Credit Risk Performance in 2016

The Banks advance portfolio grew by 16.3% during the year, upheld by SME, Corporate and Consumer financing under which the leasing portfolio growth was relatively moderate. Conscious efforts to rebalance the portfolio towards SME and Corporate Banking have resulted in an overall improvement in the risk profile.

Default Risk

Default risk is the key component of credit risk and are potential losses which may arise from the default of a borrower or counterparty. During the year, default risk as measured by the Gross NPA ratio (including Profit in Suspense) improved from 0.92% in 2015 to 0.89% in 2016 with several key business lines recording improvements in credit quality. The healthy portfolio quality is a reflection of stringent pre-credit underwriting standards, intensifying collection efforts and proactive monitoring of the portfolio.

Concentration Risk

Concentration risk is the probability of loss arising from significantly imbalanced credit exposure to a particular individual, group, industry sector or geographical area. The Bank's prudential Single Borrower Exposure Limits are more stringent than the ceiling set by the regulator.

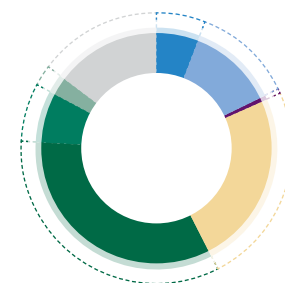
The sector exposure limits, which are also approved by the Board of Directors, are reviewed periodically taking into account changes in internal/ external factors in order to mitigate risk and explore business opportunities.

In order to mitigate the concentration risk, the Bank's appetite for credit exposures is predefined for:

- ✦ Single borrower
- ✦ Group of related borrowers
- ✦ Major economic sectors

Concentration risk is monitored closely, and the relevant limits are reviewed and changed periodically to suit the changes in economic and environmental outlook, Bank's policies and regulatory requirements.

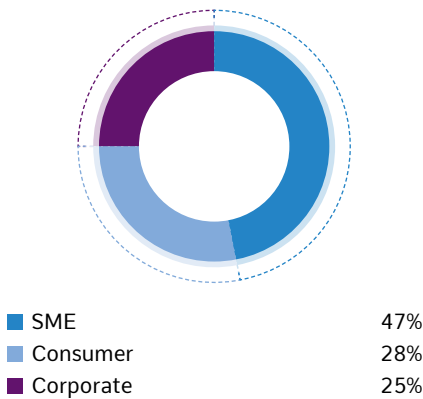
Exposure by Sector



Agriculture & Fishing	6.1%
Manufacturing	11.9%
Tourism	0.5%
Transport	0.0%
Construction	24.1%
Traders	33.4%
New Economy	6.9%
Financial and Business Services	0.0%
Infrastructure	0.0%
Other Services	2.6%
Other Retail Financing	14.5%

RISK MANAGEMENT

Exposure by Segment



Market Risk Management

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.

Rate Risk

The risk of loss due to changes in the level, slope and curvature of the yield curve, the volatility of rates and prepayment rates.

Credit Spread Risk

The risk of loss due to changes in the market price of credit or the creditworthiness of issuers.

Foreign Currency Risk

The risk of loss due to changes in spot and forward prices and the volatility of currency exchange rates.

Equity Risk

The risk of loss due to changes in the prices and the volatility of individual equity instruments and equity indices.

Commodity Risk

The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals.

Market risk mainly arises from activities undertaken by the Bank's Treasury and foreign exchange, equity, commodity and money market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the Board of Directors and the Management have ensured effective monitoring and management of market risk with the following:

- (i) BIRMC reviews market risk policies and limits and obtains approval from Board of Directors for any changes necessary.
- (ii) BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.
- (iii) Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.

As required by the Central Bank of Sri Lanka, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel II. The Bank classifies quoted equity exposures into either Trading or Available for Sale (AFS) portfolios and manages those portfolios separately. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

Objectives of the Methodologies used to Assess Market Risk

Value at Risk (VaR)

VaR is a method of measuring market risk based upon a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data. Changes in VaR between reporting periods are generally due to changes in levels of exposure, volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back Testing is also an important and necessary part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact that abnormally large swings in market factors and periods of prolonged inactivity might have on trading portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its trading and investment portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk

measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity related to AFS portfolios. It is applied globally to each of the major currencies within the Bank's operations.

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities and Off Balance Sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's Market Risk Management, VaR figures are reviewed monthly against the loss limits by ALCO and at every BIRMC.

In practice, the actual trading results will differ from the VaR calculation and

in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

		VaR of Foreign Exchange Exposures	Approved Loss limits for FX Operations	VaR of Equity Portfolio	Approved Loss limits for Equity Operations
		LKR Million	LKR Million	LKR Million	LKR Million
2016	End December	1.62	3	8.04	35
	Daily Average	1.59		6.82	
	High	3.61		8.20	
	Low	0.14		5.76	
2015	End December	0.41	2.16	7.86	35
	Daily Average	0.57		8.43	
	High	2.09		11.65	
	Low	0.05		6.80	

Foreign Exchange Risk

Foreign Exchange Risk in the Bank's unhedged financing and investment activities arises primarily from the Bank's foreign currency operations.

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors. In addition to this, it is managed and monitored against the regulatory/statutory limits approved for the Bank by the Central Bank of Sri Lanka.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in Balance Sheet positions. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis. In addition, the Bank's activities in the trade finance business result in Off Balance Sheet exposures.

The concentration of On and Off Balance Sheet foreign currency risk as at 31 December 2016 and 31 December 2015 are given in the table shown next:

RISK MANAGEMENT

As of 31 December 2016

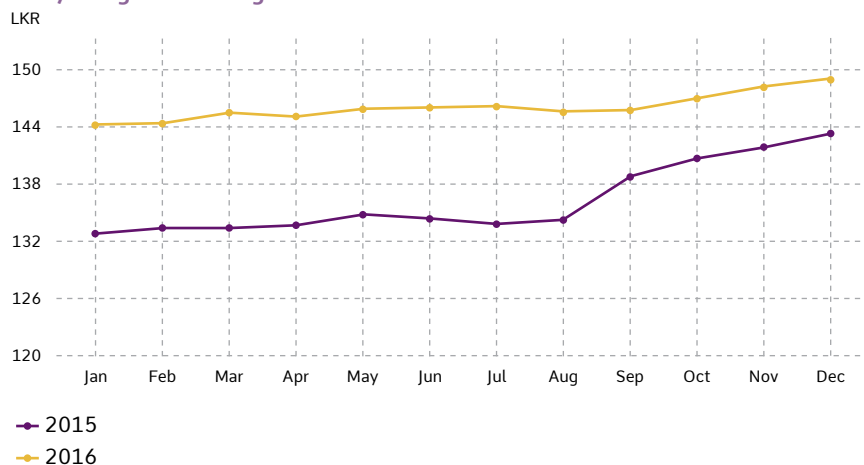
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As of 31 December 2015

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USD/LKR RATE

Daily Weighted Average Rates 2015-2016



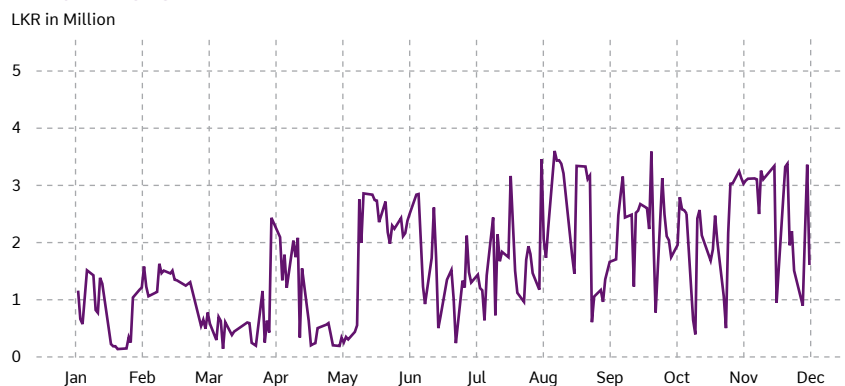
(Source: CBSL Daily Weighted Average Rates)

During the year 2016 the LKR depreciated by 3.8% against the US dollar.

Revaluation of all foreign currency assets and liabilities is carried out daily by i-MAL core banking system.

A graph giving daily VaR figures of the foreign currency exposure is given below:

FX VaR - 2016



Equity Position Risk

The Bank holds investment portfolios for investment purposes. These portfolios expose the Bank to rate risks, credit spread and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is classified as Held for Trading (HFT) and Available for Sale (AFS) portfolios. HFT portfolio comprise of equities purchased with a view to take advantage of short term capital gains. The equities in AFS portfolio are purchased in order to realise capital gains in the medium term and for dividend income.

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in Sharia compliant equities which are listed in the published White List.

RISK MANAGEMENT

The sectorial exposure of equity portfolio comparing with previous year is given below:

2016

Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	49,534,872	43,941,520	87,500,000
Construction	30,508,089	17,360,000	52,500,000
Beverage & Food	6,673,788	6,298,845	52,500,000
Trading	64,580,951	48,872,864	52,500,000
Diversified Holdings	32,242,225	28,539,617	87,500,000
Power	21,738,237	20,385,174	52,500,000
Telecommunications	26,825,954	24,412,500	87,500,000
Sub Total	232,104,116	189,810,520	
Strategic Investments	338,189,617	247,153,217	
Total Equity Portfolio	570,293,733	436,963,737	
Total Approved Portfolio Limit			710,000,000

2015

Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	44,447,433	39,815,089	87,500,000
Motor	4,020,680	3,691,807	52,500,000
Construction	45,509,905	30,173,567	52,500,000
Chemicals	181,005	164,900	52,500,000
Food & Beverages	101,756	102,500	52,500,000
Trading	63,450,606	51,448,782	52,500,000
Power	9,102,692	8,716,732	52,500,000
Diversified Holdings	3,220,612	3,207,203	87,500,000
Telecommunications	7,989,249	8,025,000	87,500,000
Services	5,258,994	5,577,108	52,500,000
Sub Total	183,282,932	150,922,688	
Strategic Investments	300,512,829	337,614,750	
Total Equity Portfolio	483,795,761	488,537,438	
Total Approved Portfolio Limit			710,000,000

The Bank's Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

A graph indicating the daily VaR figures for Total Equity portfolio is given below:

Equity VaR - 2016

LKR Million



Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank's exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank's rate risk is limited due to the business model adopted where majority of customer deposits have been taken on the profit and loss sharing basis.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

Rate Risk

Rate risk arising from the Bank's financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders' equity.

	1 to 30 Days %	1-3 Months %	3-6 Months %	6-9 Months %	9-12 Months %	1-3 Years %	3-5 Years %	5-10 Years %	10-15 Years %	Over 15 Years %	Unclassified %
Scenario I	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Scenario II	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00	-2.00
Scenario III	-1.50	-1.50	-1.25	-1.25	-1.00	1.00	1.00	1.25	1.25	1.50	1.50
Scenario IV	1.50	1.50	1.25	1.25	1.00	-1.00	-1.00	-1.25	-1.25	-1.50	-1.50

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2016				2015		
Behavioural Basis						
Scenario	Rate Risk LKR Million	Impact on CAR %		Scenario	Rate Risk LKR Million	Impact on CAR %
Scenario I	71.75	0.16		Scenario I	(18.13)	-0.04
Scenario II	(104.81)	-0.23		Scenario II	(9.16)	-0.02
Scenario III	(19.19)	-0.04		Scenario III	(26.43)	-0.07
Scenario IV	4.91	0.01		Scenario IV	13.66	0.03

RISK MANAGEMENT

2016				2015		
Contractual Basis						
Scenario	Rate Risk LKR Million	Impact on CAR %		Scenario	Rate Risk LKR Million	Impact on CAR %
Scenario I	(568.49)	-1.26		Scenario I	(614.42)	-1.51
Scenario II	620.55	1.37		Scenario II	673.02	1.66
Scenario III	(367.26)	-0.81		Scenario III	(369.79)	-0.91
Scenario IV	381.29	0.84		Scenario IV	325.96	0.8

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2016

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2016	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056	Yes
Balances with Central Bank of Sri Lanka	920,034,577	984,485,117	294,297,355	272,636,532	345,316,641	2,816,770,223	Yes
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044	Yes
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350	Yes
Balances with Licensed Finance Companies	20,517	-	-	-	-	20,517	Yes
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589	Yes
Financing and Receivables to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	38,451,662,449	Yes
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149	Yes
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725	Yes
Other Non-Financial Assets	73,021,430	52,056,988	101,980,343	-	-	227,058,761	No
Property, Plant and Equipment	-	-	-	-	1,247,590,879	1,247,590,879	No
Intangible Assets	-	-	-	-	269,376,298	269,376,298	No
Deferred Tax Assets	-	-	-	-	146,355,559	146,355,559	No
Total Assets	24,928,019,518	9,593,675,490	11,227,984,213	4,404,299,874	4,161,007,504	54,314,986,599	
Due to Banks	751,963,513	-	-	-	-	751,963,513	Yes
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433	Yes
Due to Customers	12,452,020,203	17,995,746,263	5,319,462,669	4,922,205,708	6,225,854,848	46,915,289,690	Yes
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119	Yes
Other Non-Financial Liabilities	50,755,790	28,896,141	32,523,093	-	-	112,175,024	No
Deferred Benefit Liabilities	-	-	-	-	82,606,302	82,606,302	No
Total Liabilities	13,905,153,128	18,034,356,401	5,356,764,694	4,922,205,708	6,308,461,150	48,526,941,081	
Maturity Gap	11,022,866,390	(8,440,680,911)	5,871,219,519	(517,905,833)	(2,147,453,646)	5,788,045,518	

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2016

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2016	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056	Yes
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	2,816,770,223	Yes
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044	Yes
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350	Yes
Placements with Licensed Finance Companies	20,517	-	-	-	-	20,517	Yes
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589	Yes
Financing and Receivables to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	38,451,662,449	Yes
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149	Yes
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725	Yes
Other Non-Financial Assets	73,021,430	52,056,988	101,980,343	-	-	227,058,761	No
Property, Plant and Equipment	-	-	-	-	1,247,590,879	1,247,590,879	No
Intangible Assets	-	-	-	-	269,376,298	269,376,298	No
Deferred Tax Assets	-	-	-	-	146,355,559	146,355,559	No
Total Assets	26,824,755,163	8,609,190,372	10,933,686,859	4,131,663,342	3,815,690,862	54,314,986,599	
Due to Banks	751,963,513	-	-	-	-	751,963,513	Yes
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433	Yes
Due to Other Customers	29,865,083,824	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	46,915,289,690	Yes
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119	Yes
Other Non-Financial Liabilities	50,755,790	28,896,141	32,523,093	-	-	112,175,024	No
Retirement Benefit Liability	-	-	-	-	82,606,302	82,606,302	No
Total Liabilities	31,318,216,749	14,332,666,143	1,052,811,236	618,252,249	1,204,994,704	48,526,941,080	
Maturity Gap	(4,493,461,586)	(5,723,475,771)	9,880,875,623	3,513,411,093	2,610,696,158	5,788,045,518	

RISK MANAGEMENT

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business units to continue to generate revenue, even under adverse circumstances.

Liquidity risk is managed within the framework of policies and limits that are approved by the Board of Directors. The Board of Directors receive reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

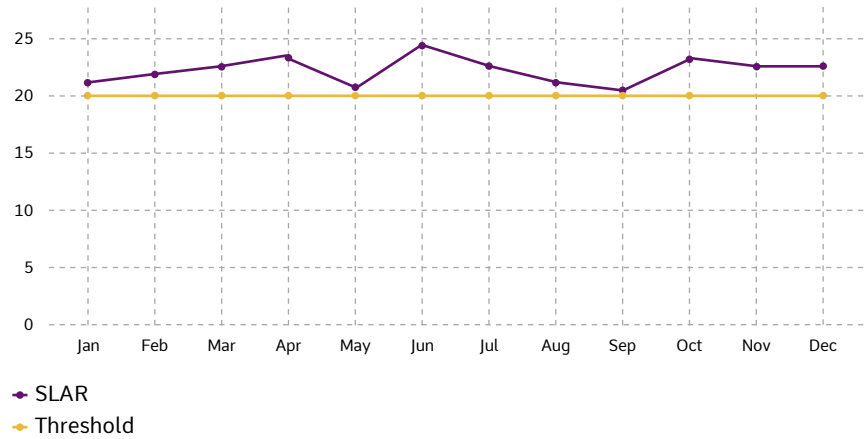
Adequate liquid assets are maintained by the Bank to ensure the Statutory Liquid Assets Ratio (SLAR) is maintained according to regulatory requirements. Liquid assets defined for purposes of the liquidity ratio are mainly cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given next:

Liquid Assets to Liabilities Ratios Trend of SLAR

	2016	2015
Year-end	22.59%	24.39%
Minimum	20.55%	20.09%
Maximum	24.57%	24.39%

Statutory Liquid Asset Ratio - 2016

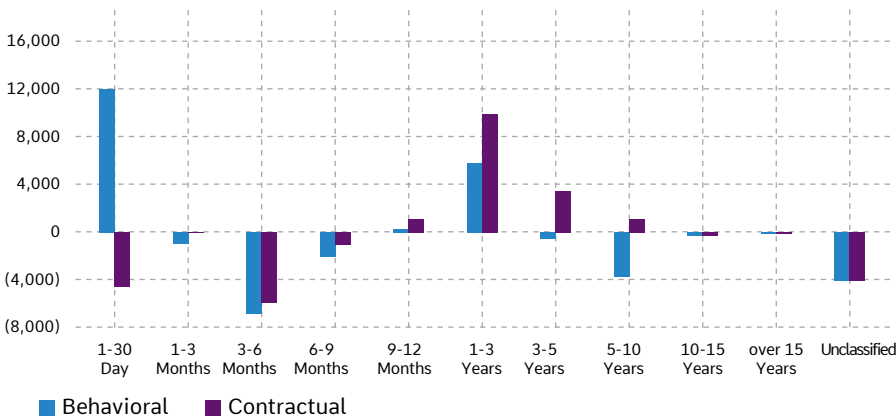
SLAR %



Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:

LKR Million



Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on 10%, 15% and 20%, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR). The stress testing results of exchange exposures as of 31 December 2016 are given below:

Particulars	Scenario I	Scenario II	Scenario III
Adverse Change in Exchange Rate (%)	10	15	20
Net Exposure (LKR)	143,976,998	143,976,998	143,976,998
Exchange Loss (LKR)	14,397,699.81	21,596,549.71	28,795,399.62
Capital Funds - Dec 2016 (LKR)	5,062,521,000	5,062,521,000	5,062,521,000
Capital Adjusted for Loss (LKR)	5,048,123,300	5,040,924,450	5,033,725,600
Risk Weighted Assets -Dec 2016 (LKR)	46,730,933,000	46,730,933,000	46,730,933,000
Adjusted Risk Weighted Assets (LKR)	46,716,535,300	46,709,336,450	46,702,137,600
Capital Adequacy Ratio as at 31 December 2016 (%)	10.83	10.83	10.83
Revised Capital Adequacy Ratio (%)	10.81	10.79	10.78
Decline in CAR (%)	0.03	0.04	0.05

Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on 10%, 20% and 30% in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2016 is given below:

Particulars	Scenario I	Scenario II	Scenario III
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	407,642,130	407,642,130	407,642,130
Revaluation Loss (LKR)	40,764,213	81,528,426	122,292,639
Capital Funds - Dec 2016 (LKR)	5,062,521,000	5,062,521,000	5,062,521,000
Capital Adjusted for Loss (LKR)	5,021,756,787	4,980,992,574	4,940,228,361
Risk Weighted Assets - Dec 2016 (LKR)	46,730,933,000	46,730,933,000	46,730,933,000
Adjusted Risk Weighted Assets (LKR)	46,690,168,787	46,649,404,574	46,608,640,361
Capital Adequacy Ratio as at 31 December 2016 (%)	10.83	10.83	10.83
Revised Capital Adequacy Ratio (%)	10.76	10.68	10.60
Decline in CAR (%)	0.08	0.16	0.23

Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

RISK MANAGEMENT

Operational Risk Management Management of Operational Risk at Amāna Bank

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with the Basel II risk management framework and leading practices, operational risk in the Bank is composed of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance, IT manages the individual risks, which can be classified as operational risk.

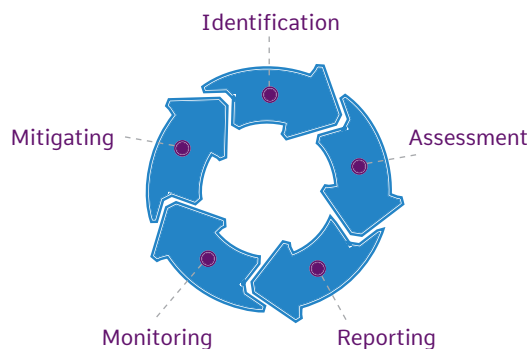
Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring and control associated with the Bank's business operations as an ongoing activity. Operational Risk is recognised as a distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms part of the day to day responsibilities of management at all levels. The objective in managing Operational Risk

is to increase the efficiency and effectiveness of the Bank's resources, minimise losses and utilise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific policies and procedures. Business units implement the Bank's framework, policies and procedures but may customise these to better suit their unique environments.

Business unit/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the Senior Management and the Board of Directors. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank must be identified through analysis of internal factors

and external factors. Risk identification takes into consideration the following:

- ✦ risks arising from control lapses
- ✦ risks identified through root cause analysis of operational events in a timely manner
- ✦ risks arising from potential infrequent but severe events
- ✦ risks arising from change initiatives (example: new products and projects)
- ✦ external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments (RCSAs)

Risk Control and Self-Assessment (RCSA) is a structured means for a Business Line, Supporting Unit, Product Line or Process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSA is conducted by staff of the Bank's unit being assessed (i.e., those who know the process best) with the guidance of the Head of Operational Risk Management Unit, where necessary. As a consequence, RCSA is regarded as an effective Operational Risk Management tool, to be deployed throughout the Bank.

RCSAs will assist business and support units in identifying and assessing the operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if

necessary, establishing action plans to address any identified gaps.

Since the business units have expertise in their functions and the process, Operational Risk Coordinators of respective units, conduct the RCSA which is reviewed and evaluated by the Risk Management Department along with the heat map for escalation to the Management and Board Sub-Committees for their comments and suggestions. It is our aim to continue to strengthen RCSA process.

Key Risk Indicators (KRIs)

The function of KRIs is to allow the early detection of Operational Risk before actual failure occurs. It is an early warning indicator of risks and not losses.

Data collection, analysis and presentation of key risk indicators are carried out on a monthly basis along with root cause identification and follow-up on corrective actions.

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which will maintain a centralised database on all internal risk events and losses (both historical and current). This data will then be classified into various risk categories.

Loss event database is maintained in line with the BASEL and CBSL requirements to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank, are monitored as a source of potential Operational Risk.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, acquisition, integration and projects.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk-Grading matrix. Risks are assigned risk grades (High, Medium and Low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: Financial, Reputational, Regulatory, Human Resources and Business Disruption. The use of the said dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Risk

RISK MANAGEMENT

grades are reassessed periodically to appropriately reflect changes in the environment and the progress of the mitigation plans. Mitigation plans are captured and progress is monitored.

There are different levels of controls operational in the Bank. The following levels of control are distinguished in this respect:

- ✦ Individual level
- ✦ Management control
- ✦ Assessments carried out by specialist units such as Internal/ Group Audit or Compliance
- ✦ Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for Operational Risk control system.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk grades to capture changes in environment that may increase or decrease potential impact of the risks.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigates prior to launch of such products and a similar process is followed during the annual review of existing Product Programmes. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of the consumers, SMEs and

corporate customers of our developing economy. These Product Programmes are approved by all the stakeholders including the Compliance department of the Bank.

Business Continuity Management (BCM)

As an integral component of the Bank's risk management framework, the Bank has deployed a Business Continuity Plan (BCP) enabling it to be adequately prepared to continue its business in the event of a disaster. This plan is not only designed to comply with Central Bank of Sri Lanka's requirements but also with leading practices promoted by Disaster Recovery Institute International (DRI) of USA. The Bank's business continuity strategy is structured to ensure centralised monitoring and reporting and decentralised execution, and is supported by a robust governance process.

The developed BCM contains four different areas, which include, Recovery Plans, Emergency Response Plans, Support Plans and Management System Plans. The Business Continuity Plans so developed are backed by infrastructure to support key services, core systems and critical business processes.

The BIRMC of the Bank approves the Plan and its implementation is coordinated via the Operational Risk Unit of the Bank. The Bank has in place a BCM Steering Committee to establish appropriate policies, standards, strategies and processes. The BCM Working Committee appointed by the BCM Steering Committee to implement the BCM Policy based on key critical units' requirements to address elements of continuity planning (e.g.

identification of critical business processes, delegation of authority, order of succession, alternate operating facilities, communications, and vital records, etc.) and restoration of the Bank's essential functions.

The Bank gives primary importance to ensuring safety of its customers, staff, contractors and other visitors. In this regard, the Bank not only has an able emergency response team but also a team dedicated to support people and families affected.

Management plans within the BCP spells out the tools and processes required to maintain the continued effectiveness of the plan. Business Continuity Plan is periodically reviewed through comprehensive Business Impact Analysis (BIA) to accommodate organisational changes and is subjected to regular drills and testing as well.

BCP Testing/Activation Drills

The Bank has successfully conducted Disaster Recovery (DR) Testing in June 2016 from the Bank's Disaster Recovery Site in respect of its critical business operations.

BCP/DR Drill reports highlighting test results, technical and operational functions, issues encountered, lessons learnt and risk mitigation measures adopted during the testing process were reported to the Regulator with the review and recommendation of the BIRMC and approval of the Board of Directors well within stipulated deadlines of the Regulator. BCP Drill on the additional operations was successfully carried out in 2016.

CORPORATE GOVERNANCE

Corporate Governance is an inherent part of the way in which the Bank undertakes its activities. This is mainly due to the close alignment of the corporate governance standards that closely resemble with the value system on which the Bank was founded upon. Therefore, Corporate Governance is coalesced with the principles and values of the Bank and have received due recognition throughout the trajectory of the Bank. This alignment has been further strengthened by recent developments that have taken place among the various regulators such as Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission of Sri Lanka (SEC) and Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). The Bank therefore has complied with corporate governance principles and continues to comply with recent amendments which have been articulated by SEC and CA Sri Lanka.

The Board of Directors of the Bank are fully committed to ensure that the business is carried on with the accepted corporate governance practices, ensuring transparency and accountability. Further, the Board of Directors has established policies and procedures that govern the day to day affairs of the Bank and adequate internal control mechanisms are in place in a manner that would enhance stakeholder's confidence. The Board and the Board sub-committees meet regularly with the senior management to review policies, procedures and internal control systems, and pro-actively take steps to maintain standard of sound governance. The financial reporting and the preparation of the Financial Statements have been done in accordance with the relevant accounting policies.

In this Annual Report, the Board of Directors has presented their report to the shareholders in page 103.

Further, the Board Audit Committee, Board Integrated Risk Management Committee, Board Human Resources and Remuneration Committee and the Board Nomination Committee have also presented their reports to the shareholders in pages 109, 112, 114, and 115 respectively. The report below sets out in detail the Bank's compliance with the requirements of sound Governance as set out by Direction No. 11 of 2007 issued by the Central Bank of Sri Lanka and subsequent amendments thereof.

Statement of External Auditors

The External Auditors have performed agreed upon audit procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	The responsibilities of the Board	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated through the Bank.	Complied. The Strategic Plan for the period 2015 - 2019 has been approved by the Board which includes strategic objective and corporate values. Strategies and corporate values are monitored and assessed at regular meetings with the Management Committee and cascaded to all staff by each Management Committee member through the use of KPIs, goals and targets.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank approved Strategic Plan contains measurable goals for the period 2015 - 2019. The Board has also approved Integrated Risk Management (IRM) Framework, which includes risk management procedures and mechanism with measurable goals that are in line with the Strategic Plan and is monitored regularly at Board Meetings.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. The Board has discussed the risks arising out of new strategies and the ways and means to mitigate them. Identifying the principal risk and implementation of appropriate risk management is performed by the IRM Framework prudently. The IRM Framework is being monitored through the use of monthly risk dashboard by the Board Integrated Risk Management Committee (BIRMC). BIRMC Chairman's report consisting of BIRMC deliberation that are submitted to the Board periodically to manage and implement appropriate systems to address the risk identified by the Bank.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. The Board approved communication policy is in place that covers the communication to all stakeholders, depositors, creditors, shareholders and clients.
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. The adequacy and the integrity of the Bank's internal control systems and management information system (MIS) is reviewed by the Internal Audit Department and submits a report to the BAC. The BAC has examined report and informed the Board of their satisfaction on the adequacy and integrity of the MIS accordingly.
3 (1) (i) (f)	Identify and designate Key Management Personnel, as defined in the International Accounting Standards, who are in a position to (i) significantly influence policy (iii) direct activities; and (iii) exercise control over business activities, operations and Risk Management.	Complied. The Board has identified and designated the CEO, CFO, VPs, Chief Compliance Officer, Chief Legal Officer & Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer as Key Management Personnel (KMP) as per the CBSL Guideline. Subsequently, with effect from 30 January 2016 the Board has decided to segregate the position of Chief Legal Officer and Company Secretary and has appointed a new Company Secretary.

Rule Number	Rule	Status of Compliance
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. There is a clear segregation of authority and responsibilities between the Directors and the KMPs, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the BNC and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. KMPs required to be on standby for discussion at Board Meetings and Board Sub-Committee meetings as and when the need arises to explain matters relating to their areas, thereby ensuring the oversight of affairs of the Bank by KMPs that is consistent with the Board's policy.
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including	Complied.
	(i) the selection, nomination and election of Directors and Key Management Personnel:	As per the approved Terms of Reference (TOR) of the Board Nomination Committee (BNC), the Board has delegated the functions of selecting, nominating and election of Directors and KMPs to the BNC. Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors
	(ii) the management of conflicts of interest and	Article 32 of the Bank's Articles of Association cover Director's interest and a Director's interest register is maintained at the Board meeting. Further, management of conflict of interest is captured in the Policy of Related Party Transactions that was approved by the Board in December 2016.
	(iii) the determination of weaknesses and implementation of changes where necessary	Bank has a self-evaluation process in place for the Directors. A summary of the self-evaluation is submitted to the Board of Directors where weaknesses and implementation of changes are discussed and reviewed.

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Rule Number	Rule	Status of Compliance
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A Board approved Succession Plan of the Key Management Personnel is in place which has been reviewed by the BNC.
3 (1) (i) (k)	Ensure the Board has regular meetings with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are required to be on standby for discussion at Board Meetings and Board Sub-Committee meetings as and when the need arises to explain matters relating to their areas, thereby establishing communication and monitoring progress towards corporate objectives.
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. On being appointed to the Board, the Company Secretary furnishes the Director with the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance for their information. A presentation was also organised for the Board on Corporate Governance and BASEL III implications. Further, the Chief Compliance Officer submits quarterly compliance reports to the Board which are monitored closely by the Board. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. As per the approved TOR of the BAC oversight of the External Auditors are carried out by the BAC. Article 44 of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM).

Rule Number	Rule	Status of Compliance
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive officer in line with direction 3 (5) of these directions	Complied. Positions of the Chairman and CEO are separated. Further, function and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5).
	BOARD PROCEDURE	
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular board meetings shall normally involve active participation in person of a majority of directors entitled to be present. Obtaining the board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board has held twelve (12) meetings during the year. There was 1 circular resolution passed for the year which was subsequently ratified by Board.
3 (1) (iv)	The Board shall ensure that procedures are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. A formal procedure is in place for Directors to include any matters and proposals in the agenda for regular Board meetings. The Directors inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice is circulated to the Directors 7 days in advance of the Board Meeting providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. In accordance with the Corporate Governance code the Directors have attended the required number of the meetings during the year 2016. The attendances of the Directors are set out in Page 97 of the Annual Report.

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Rule Number	Rule	Status of Compliance
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended) with effect from 19 March 2016.
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. A Board approved process is in place to enable all Directors to have access to the advice and services of the Company Secretary. As a practice all Directors have access to advice and services of the Company Secretary.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved process to enable all Directors to have access to such minutes as per the Corporate Governance code.
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that the minutes clearly contain or refer to the following; a) A summary of data and information used by the Board in its deliberations. b) The matters considered by the Board. c) The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. d) The matters which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. e) The understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. f) The decisions and Board resolutions.	Complied. Detailed minutes are recorded and maintained by the Company Secretary which covers the Board deliberation, decisions and approval of resolutions. The Board minutes also contain the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also contained in the Board minutes.

Rule Number	Rule	Status of Compliance
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.
3 (1) (xii)	Ensure that there is a procedure to determine, report, resolve and to take appropriate action relating to Directors to avoid conflicts of interests, or the appearance of conflicts of interest. A Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern in which a Director has substantial interest, is interested. He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. The Directors informs their interest if any at the Board meeting and a register is maintained by the Board Secretary to record such interests. Accordingly any interests are also recorded in the Board minutes. The Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest. Such Director is not counted in the quorum in such instances.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2016. The Board is aware of the requirement to inform the Director Banking Supervision if such a situation arose of the Bank prior to taking any decision or action in this regard.

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Rule Number	Rule	Status of Compliance
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank has ensured that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential requirements. Further, the Board monitors the capital adequacy ratio and other prudential requirements on a monthly basis. The Board has had discussion with strategic partners with regard to capital raising to meet the capital requirement as stipulated by the regulators.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 67 to 97 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has a self-assessment process which is completed by each Director annually and is filed with the Company Secretary.
3 (2)	THE BOARD'S COMPOSITION	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13	Complied. The Bank's Board comprises of 11 Directors during the year 2016 which is in line with the regulation.
3 (2) (ii) (A)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years.	Complied. There are no Directors who have served for a period exceeding 9 years during the year under review.
3 (2) (ii) (B)	Ensure that any Director serving more than nine years, the transitional provisions have been applied with.	Complied. There are no Directors who have served for a period exceeding 9 years during the year under review.
3 (2) (iii)	Ensure that the number of Executive Directors, including the CEO does not exceed one-third of the number of Directors of the Board.	Complied. Currently, there are no Executive Directors on the Board of the Bank, thus the Bank complies with the requirement.

Rule Number	Rule	Status of Compliance
3 (2) (iv)	The Board shall have at least three independent Non-Executive directors or one third of the total number of the Directors, whichever is higher. The Board shall not consider the Non-Executive Directors independent if he/she; a) Holds directly and indirectly shareholdings of more than 1 percent of the Bank. b) Has currently or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10 per cent of the regulatory capital of the Bank. c) Has been employed by the Bank during the two year period immediately preceding the appointment as Director. d) Has had a close relation; who is a Director, CEO, a member of Key Management Personnel, a material shareholder of the Bank or another bank (a "close relation" means the spouse or a financially dependent child). e) Represents a specific stakeholder of the Bank. f) Is an employee or Director or a material shareholder in a company or business organisation: (i) Which currently has a transaction with the Bank as defined in, or (ii) In which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or (iii) In which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10 per cent of the regulatory capital of the Bank.	Complied. The Board has 4 independent non-executive Directors out of a total of 11 Directors in the year under review. The independent non-executive Directors appointed to Board comply with the regulatory requirements.

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Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No alternative Director has been appointed to represent the Independent Directors during the year 2016.
3 (2) (vi)	The Bank shall have a process to evaluate the appointment of Independent Directors, who possess credible track records and/or have necessary skills and experience to bring an independent judgment to bear in issues of strategy, performance and resources.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Board Nomination Committee (BNC) has a formal documented process for the appointment of Independent Directors to the Board. Such Independent Directors possess the necessary skills and experience to bring an independent judgment on Bank issues. Mr. Dilshan Hettiaratchi was appointed as an Independent Director with the recommendation of the BNC and approved by the Board on 25 June 2016.
3 (2) (vii)	The Board shall ensure that the Board meetings are duly constituted only where the quorum includes more than 50% of the Directors out of which 50% should include Non-Executive Directors.	Complied. Currently, there are no Executive Directors on the Board of the Bank, therefore the concern does not arise.
3 (2) (viii)	The Board shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on pages 97 and 18 to 21 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Board Nomination Committee (BNC) has a formal documented process for the appointment of Directors to the Board. Such Directors possess the necessary skills and experience to bring an independent judgment on Bank issues. Mr. Dilshan Hettiaratchi was appointed as an Independent Director with the recommendation of the BNC and approved by the Board on 25 June 2016.

Rule Number	Rule	Status of Compliance
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments are subject to election at the next AGM. Mr. Ruzly Hussain retired at the age of 70 years and Mr. Dilshan Hettiaratchi was appointed as an Independent Director with effect from 25 June 2016.
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: (a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and (b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. Mr. Ruzly Hussain's retirement at the age of 70 years was communicated to the relevant authorities accordingly.
3 (2) (xii)	Ensure that there is a process where the Board shall identify whether a Director or an employee of the Bank is appointed, elected or nominated as a Director of another bank.	Complied. Such a situation has not arisen during the year 2016. However, Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	Criteria to Assess the Fitness and Propriety of Directors	
	In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	

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Rule Number	Rule	Status of Compliance
3 (3) (i)	A Director shall not exceed the age of 70 years to serve in the Board.	Complied. Mr. Ruzly Hussain retired at the age of 70 years. All other Directors are below the stipulated age limit in the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. During the year under review none of the Directors have held Directorship of more than 20 companies.
3 (4)	Management Functions Delegated by the Board	
3 (4) (i)	The Board shall approve the delegation arrangements and ensure that it is in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall be responsible for the matters in 3 (1) (i) even in the instances such actions are delegated. The Board shall not delegate any matters to the Board committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not empowered delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank.
3 (5)	The Chairman and the Chief Executive Officer	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and the positions are held by two individuals who are appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.

Rule Number	Rule	Status of Compliance
3 (5) (ii)	The Chairman shall be a Non-Executive Director. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director the Board has appointed an Independent Director, Dato' Tajudin B. H. Abdul Rahman as the Senior Director. Designation of Senior Director is disclosed on page 19 of the Annual Report. Dato' Tajudin B. H. Abdul Rahman is due to retire on 29 October 2017, which position will be filled accordingly.
3 (5) (iii)	The Board shall disclose in its corporate governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. A Board approved process to identify relationship of the Board Members is in place and maintained at the Board Secretary's division. Further, the Board members submit annual declarations to this effect and the Director's interest register is updated regularly. The Relationships among the Directors are given below:- <u>Family Ties</u> 1. The Chairman, Mr. Osman Kassim and Dr. A. A. M. Haroon 2. Mr. Ruzly Hussain (Retired w.e.f. 7 April 2016) and Mr. J. M. Ismail <u>Business Relationship</u> 3. The Chairman, Mr. Osman Kassim and Mr. Harsha Amarasekera.
3 (5) (iv)	The Chairman shall; (a) Provide leadership to the Board (b) Ensure that the Board works effectively and discharges its responsibilities; and (c) Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self - evaluation process is in place that ensures that Chairman provides leadership to the Board, ensures that the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda of the Board meeting. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Company Secretary uses the standard agenda for Board Meetings which has been approved by the Chairman.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Chairman ensures that the Board is adequately briefed on matters arising at the Board meetings. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation. The Board papers are forwarded to the Board members seven days prior to the meeting.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Board has a self-evaluation process that encourages all Directors to make full and active contribution to the affairs of the Bank. Further, the Chairman also encourages all Directors to make full and active contribution to the affairs of the Bank.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the Board's self-evaluation process for Non-Executive Directors assesses the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a non-executive Director and does not get involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues.
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO is the apex executive-in-charge of the day-to-day management of Bank's operations and business.

Rule Number	Rule	Status of Compliance
3 (6)	Board Appointed Committees	
3 (6) (i)	The Bank shall have at least the following committees; 3(6)(ii) - Audit Committee 3(6)(iii) - Human Resources and Remuneration Committee 3(6)(iv) - Nomination Committee 3(6)v) - Integrated Risk Management Committee Each Committee shall report directly to the Board Each Committee shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee. The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Complied. The Board has established four Board Sub-Committees, namely Board Audit Committee (BAC), Board Human Resources and Remuneration Committee (BHRRC), Board Nomination Committee (BNC) and Board Integrated Risk Management Committee (BIRMC) as per the regulatory requirement. Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings. Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees. Individual Reports of each Committee are included in the Annual Report. Refer pages 109 to 115 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possess qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a non-executive, independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-executive Directors.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	Complied. The appointment of External Auditors for audit services in compliance with the relevant statutes has been recommended by the BAC. The BAC has discussed issues raised by the External Auditors in line with CBSL guidelines issued to the External Auditors from time to time and Bank's responses to the issues. Based on the IFRS requirements the application of the relevant accounting standards were taken into consideration for the year 2016. There has been no resignation or dismissal of the External Auditor in the year 2016. The Audit Engagement Partner has changed after completing five years of service and a new Partner was appointed with effect from 10 May 2016.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objective and the effectiveness of the audit process in accordance with SLAuS.	Complied. The BAC reviews and monitors the External Auditor's independence through the Engagement Letter and that the audit is carried out in accordance with the SLAuS for the year 2016. Further, the External Auditors are independent as they present their reports directly to the BAC.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: (i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and (iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A Board approved policy is in place to engage the External Auditors to provide non-audit services.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The External Auditors have submitted the financial statement audit plan for 2016 and the BAC has discussed the nature and scope of the audit with the External Auditors in accordance with the SLAuS.
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and receive the following from the Financial Controller; (i) Major judgmental areas (ii) Any changes in accounting policies and practices (iii) The going concern assumption; and (iv) The compliance with relevant accounting standards and other legal requirements; and (v) In respect of the annual financial statements the significant adjustments arising from the audit.	Complied. The BAC has a process to review, discuss and approve the quarterly financial statements, year end audited financial statements of the Bank and the reports prepared for disclosure presented by the CFO. Such financial statements are recommended for approval by the Board of Directors by the BAC.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit in the absence of the executive management.	Complied. The Committee has met the External Auditors to discussed issues, problems and reservation arising from the financial audit in the absence of the executive management.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; (iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Complied. The BAC reviews and monitors the Internal Audit Department (IAD) function and the progress of the internal audit plan. The BAC has discussed the internal audit plan for 2016 at the beginning of the year and the BAC reviews the adequacy of the scope and functions in line with the Board approved Internal Audit Policy. The internal audit plan for the year 2016 based on the risk control assessment has been approved by the BAC. Progress reports of the audit finding are discussed and appropriate actions are taken based on the IAD recommendations which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor was carried out at the BAC meeting on 22 February 2017. The retirement of the Chief Internal Auditor with effect from 31 December 2016 was discussed at the BAC meeting on 22 February 2017. The retirement of the Chief Internal Auditor with effect from 31 December 2016 was discussed at the BAC meeting on 22 February 2017. Internal Audit Department reports directly to the BAC. Hence it is independent and the audits are performed with impartiality, proficiency and due professional care.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. BAC has considered major findings of internal investigation and management's responses thereto are discussed in detail with suitable action points agreed upon and recorded in the minutes of the BAC meeting.
3 (6) (ii) (l)	The committee shall meet the External Auditors at least twice a year without the Executive Directors being present.	Complied. The BAC met the External Auditors twice during the year 2016 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet at least four times a year and has maintained minutes of such meeting.	Complied. The BAC has had five meetings in the year 2016.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee (ii) The number of audit committee meetings held in the year (iii) Details of attendance of each individual Director at such meetings	Complied. The Board has disclosed the required information in pages 109 to 111 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee may be the Company Secretary or the head of Internal Audit who shall keep and record detailed minutes of the meetings.	Complied. The Head of the Internal Audit has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.
3 (6) (ii) (q)	The committee shall review and ensure that the "whistle blower" policy is in place which covers the process of dealing with; (i) The improprieties in financial reporting, internal control or other matters. (ii) In relation to (i) the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters, and (iii) Appropriate follow-up action.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action.

Rule Number	Rule	Status of Compliance
3 (6) (iii)	Human Resource And Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy relating to Directors, CEO and Key Management Personnel of the Bank by review of the "Terms of reference" and minutes.	Complied. A Board approved benefits policy is in place which determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel and document the same.	Complied. The goals and targets of each KMP have been set out based on the balance scorecard principle aligned to the 2016 Business Plan that is in line with the Strategic Plan. The BHRRC has agreed that the 2016 Business Plan be considered as the KPI for the CEO. A Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has considered the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2016.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The Board approved Terms of Reference of the BHRRC addresses this rule. The CEO was not present at meetings when matters relating to the CEO were being discussed.
3 (6) (iv)	Nomination Committee	
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. A Board approved policy / procedure on selection and appointment of new members to the Board, CEO and Key Management Personnel recommended by the Board Nomination Committee (BNC) is in place. Accordingly, Board has approved the appointment of Mr. Dilshan Hettiaratchi as an Independent Director on 25 June 2016 with the recommendation of the BNC.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by a Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has reviewed the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2016.
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved criteria for the appointment or promotion to the post of CEO recommended by the BNC is in place. Job Descriptions for other KMPs has been presented to the BNC for review and subsequently approved at the Board meeting held on 30 January 2016.
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The BNC ensures that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria by evaluating the signed declarations submitted by the Directors, CEO and Key Management Personnel. Further, fit and proper certificate has been obtained from Central Bank of Sri Lanka for all appointments of Directors and KMP.
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. A Board approved Policy & Procedure for the appointment of new Directors is in place. BNC has discussed a succession plan and identify a suitable candidate for the Director, who retired in April 2016 and subsequently appointed the candidate as a Director accordingly. The Succession Plan for the Management Committee has been reviewed and approved by the Board on 25 June 2016.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Complied. The Committee is Chaired by an Independent Director and the Committee comprises of two Independent Directors and one Non-Independent Director. The CEO is present at meetings only by invitation.

Rule Number	Rule	Status of Compliance
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks.	Complied. The BIRMC consists of 3 Non-Executive Directors, CEO and CRO who satisfy the said criteria.
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Complied. On a monthly basis, BIRMC has implemented a procedure to assess the risk of the Bank through the use of dashboards. These dashboards which covers the below mentioned risks are shared with BIRMC members monthly for monitoring:- ✦ Credit Risk ✦ Market Risk ✦ Liquidity Risk ✦ Operational Risk ✦ Enterprise Risk, Strategic Risk, Legal Risk and Reputational Risk Not applicable as the Bank does not have any subsidiaries or associate companies.
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees namely ECC 1, ALCO & ERMIC through the minutes and reports submitted by these committees at the subsequent BIRMC meeting. Further, the TORs of all these committees are evaluated and reviewed by the BIRMC annually.
3 (6) (v) (d)	The committee shall review and consider all risk indicators which have gone beyond the specific quantitative and qualitative risk limits in accordance to the Bank's policies and the regulatory and supervisory requirements.	Complied. The BIRMC has reviewed the dashboard on the risk tolerance and considered all risk indicators which have gone beyond the specific quantitative and qualitative risk limits and corrective actions are taken promptly for any deviations to mitigate the effects.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee met quarterly and held four meetings during the year 2016.
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank specific risks and the limits are identified by the relevant committees such as ALCO, ERMC and ORMC and as such the decisions are taken collectively.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. Risk assessment report is a part of the BIRMC Chairman's report which is submitted at the subsequent Board meeting informing the BIRMC's deliberation and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. The Bank has appointed Mr. Irshad Iqbal, a KMP as the Chief Compliance Officer with effect from 1 January 2016. The Compliance function assesses the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through the quarterly compliance status reports. The Compliance function also performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function currently assesses the internal controls and policies on all areas of business operations through the confirmation submitted by the respective departments and branches.

Rule Number	Rule	Status of Compliance
3 (7)	Related Party Transactions	
3 (7) (i)	The Bank establish and document a process to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as "related parties" for the purpose of this Direction; a) Any of the Bank's subsidiary companies; b) Any of the Bank's associate companies; c) Any of the Directors of the Bank; d) Any of the Bank's Key Management Personnel; e) A close relation of any of the Bank's Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest.	Complied. The Board has reviewed the Policy on Related Party Transactions which was approved at the December 2016 Board meeting, that covers types of specific related parties and related party transactions as noted in the Direction and to avoid any conflicts of interest that may arise from any related party transactions.
3 (7) (ii)	The Bank shall identity and report the following types of transactions been identified as transactions with related parties that is covered by this Directions. a) The grant of any type of accommodation, as defined in the Monetary Board's Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board has reviewed the Policy on Related Party Transactions which was approved at the December 2016 Board meeting, that covers types of specific related parties and related party transactions as noted in the Direction and to avoid any conflicts of interest that may arise from any related party transactions.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; (I) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. (II) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. Board approved Policy on Related Party Transactions contains provisions of this rule to ensure compliance. In order to further strengthen the corporate governance the Bank has appointed Related Party Transactions Review Committee at the end of 2015.

Rule Number	Rule	Status of Compliance
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to any Key Management Personnel unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation and that this accommodation be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. All such accommodation has to be approved at the Board level meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, that steps have been taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7) (v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.

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Rule Number	Rule	Status of Compliance
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions as and when such transactions take place. Additionally such transactions are verified by the relevant authorities (Finance Department). Further, as per the Bank's practice, the Bank does not grant waiver of fees and /or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above. The Bank did not encounter such a situation during the year under review.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.
3 (8)	Disclosure	
3 (8)(i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepare and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.

Rule Number	Rule	Status of Compliance
3 (8)(ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report; a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above. d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Complied. Refer Statement of Directors' Responsibility, on pages 117 to 118. Refer Directors' Statement on Internal Control over Financial Reporting on pages 100 to 101. Refer Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting on page 102. Refer Profiles of Directors, on pages 18 to 21 Transactions with the Bank: a) Financing and Receivables: Nil b) Financing Income: Nil c) Deposits: LKR 76,482,732 d) Financing Expenses: LKR 5,987,860 e) Commitment and Contingencies: Nil Total fees/remuneration paid by the Bank: Refer Note 11 to the Financial Statements on page 149.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance																	
	e) Total net accommodation as defined in 3(7) (iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>NIL</td><td>NIL</td></tr><tr><td>KMPs</td><td>156,847,274</td><td>3.10%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>710,085,610</td><td>14.03%</td></tr><tr><td>Material Shareholder</td><td>757,273,943</td><td>14.96%</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	NIL	NIL	KMPs	156,847,274	3.10%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	710,085,610	14.03%	Material Shareholder	757,273,943	14.96%		
Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital																	
Directors of the Bank	NIL	NIL																	
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A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	710,085,610	14.03%																	
Material Shareholder	757,273,943	14.96%																	
	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	<table><tr><th>Nature of Transaction</th><th>KMPs (LKR)</th></tr><tr><td>Remuneration</td><td>151,440,289</td></tr><tr><td>Accommodation granted</td><td>156,847,274</td></tr><tr><td>Deposits</td><td>64,641,177</td></tr></table>	Nature of Transaction	KMPs (LKR)	Remuneration	151,440,289	Accommodation granted	156,847,274	Deposits	64,641,177									
Nature of Transaction	KMPs (LKR)																		
Remuneration	151,440,289																		
Accommodation granted	156,847,274																		
Deposits	64,641,177																		
	g) To obtain the external Auditor's report of the compliance with the Corporate Governance Directions and confirmation by the Board of Directors.	The External Auditor's certification on compliance with these Corporate Governance Directions has been obtained by the Bank. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report published in the Annual Report.																	
	h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 98 to 99.																	
	i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Monetary Board has not directed the Bank to disclose any lapses.																	

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Related Party Transactions Review Committee		Board Capital Raising Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Osman Kassim	12	12			6	7					1	1			3	4
Mr. Tyeab Akbarally	12	12			7	7					2	2			3	4
Dr. A.A.M. Haroon	10	12			5	7										
Dato' A.T.B.H. Abdul Rahman	8	12	2	5					4	4			4	4		
Mr. Harsha Amarasekera	11	12	3	4			6	6								
Mr. M. Jazri Magdon Ismail	12	12	5	5			6	6	4	4	2	2	4	4	4	4
Mr. Ruzly Hussain (retired w.e.f. 7 April 2016)	2	3			2	2	4	4			1	1	1	1		
Mr. Haseeb Ullah Siddiqui	10	12														
Mr. Wahid Ali Bin Mohd. Khalil	12	12														
Mr. M. Wahidul Haque	8	12														
Mr. Rajiv Nandlal Dvivedi	11	12	4	5					4	4			4	4	3	4
Mr. P Dilshan R Hettiaratchi (appointed w.e.f. 25 June 2016)	6	7	1	1	4	5	2	2			1	1	2	2	3	4

Please refer profiles of Board of Directors from pages 18 to 21 for additional details.

BANK'S COMPLIANCE WITH PRUDENTIAL REQUIREMENTS

Amāna Bank, being a conscious bank has enabled a unique organisational culture and ethics, placing highest priority for effective management of compliance through practices and procedures focused at covering all aspects of banking activity. The Board of Directors have formulated a Compliance Policy that sets out the Terms of Reference of the Chief Compliance Officer and the framework for compliance function based on the consultative document on compliance by the BASEL Committee on Banking Supervision. The Compliance department functions as an independent unit within Amāna Bank and is headed by the Chief Compliance Officer (CCO). The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC).

The Compliance department addresses effective compliance management across the Bank with the support and coordination of the CEO and senior management for adherence with the compliance policy of the Bank. In this context the Compliance department continuously engages with the Management Committee and the executive management to oversee and assess the level of compliance by obtaining management confirmations and where necessary initiating corrective action. The Compliance department also provides advice and guidance to the Management and staff in respect of matters relating to compliance with laws, rules and regulations and standards of conduct. Additionally, the department also reviews the level of compliance with statutory requirements and the internal procedures at branches

and other departments by periodic compliance reviews conducted by compliance staff. All exceptions that were identified had been escalated to either the Executive Risk Management Committee or the Board Integrated Risk Management Committee or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

The Compliance department is established to assist in the optimum development, implementation and management of compliance functions of the Bank. This includes the facilitation of the day-to-day challenges in interpretation and understanding of regulations, proactively take initiatives to highlight common industry wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the industry. The functions and activities of the Compliance department are critical to the overall health of the Bank's business and its key performance benchmarks are independent of direct business profitability targets.

Monitoring of Compliance

The Compliance function takes an overview approach in this and monitors the compliance with statutory requirements through process assurances obtained from relevant department heads, based on the sign-off given by the heads of business units on a quarterly compliance report, and focuses on exception reports to follow-up on non-compliance issues. In addition the Compliance department also carries out regular reviewing, depending on the severity of the potential impact of the risk

event. A quarterly compliance report is submitted to the Board of Directors and BIRMC in this respect which covers;

- ✖ Compliance with Statutory/ mandatory reporting requirements
- ✖ Status of compliance with the key compliance requirements under the Directions issued by Central Bank of Sri Lanka
- ✖ Significant non-compliance events if any
- ✖ Regulatory/potential breaches if any

With the continuation of the compliance review programme, the Compliance department monitors and prepares compliance risk assessments to evaluate the effectiveness of the controls in place to manage the risk of non-compliance with important CBSL Directions and Exchange Control Regulations. In this process any areas where there is risk of actual or potential breach or non-compliance, necessary action is taken to strengthen controls and take corrective action. The Compliance function works closely with the relevant business unit or departments in these matters playing an advisory role. The Board has adopted necessary steps to avoid conflicts of interest and compliance to Directions with regard to Related Party Transactions and has ensured the required disclosures in line with the Directions, regulatory requirements and accounting standards.

Anti-Money Laundering (AML) Compliance

The Compliance Department has taken steps from the inception of the Bank to address the Bank's compliance with regulations such as

Know Your Customer (KYC) and Anti-Money Laundering (AML) functions. Appropriate mechanisms have been devised by the Compliance department to identify and assess the regulatory compliance requirements which are then disseminated to the business/operations departments on a regular basis. Further, during the year the Compliance function introduced a risk categorisation form to be completed at the time of opening the account for all customers.

The Bank has established a sound framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated Compass Anti Money Laundering system to manage AML/CFT risks. The Compliance department pays special attention to any suspected money laundering transactions reported by the business units and carries out investigation to ensure adherence. The Bank acquired World Check name screening system for the screening of customers and counterparties to monitor against international sanctions as per prudential requirements.

New Product Development

The Compliance department plays a key role in product development to ensure legal and regulatory compliance. The Compliance department along with

the Legal department ensures that the new product structures are cleared for regulatory and legal compliance within the normal regulatory and legal framework of the country.

Capacity Building on Compliance

Capacity building on compliance through various internal and external training forms a critical building block of the Bank's Compliance plan to instill an organisation wide compliance culture. Internal training and orientation for new recruits include training modules on compliance. Existing and new staff are provided training throughout the year to ensure that sufficient numbers of trained staff members are present in all branches and departments.

Some of the key training programmes that were conducted during the year included:

- ✦ Compliance forum was held for all staff as refresher training on the AML/CFT system with the introduction the risk categorisation form.
- ✦ An awareness programme was conducted to all staff on the new FIU rules that came into effect in January 2016 by representative of the Financial Intelligence Unit of CBSL.
- ✦ Two Forums on Exchange Control regulations were conducted through the Institute of Bankers of Sri Lanka by a representative of the CBSL.
- ✦ An awareness programme was conducted to the Board of Directors by an eminent Chartered Accountant on Corporate Governance and Basel III requirements.

- ✦ Three induction programmes have been conducted by the Compliance team for the Bank's staff on AML and KYC throughout the year

Information Technology Systems for Compliance

The Bank already has a web based name screening process for Anti-Money Laundering and Regulatory Compliance function. Further, the Bank has implemented Compass AML/CFT Software Solution to strengthen the Bank's ability to deal with the AML and CFT function effectively with the increasing business activities.

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Responsibility

In line with the Banking Act Direction No 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

Key Features of the Process Adopted in Applying in Reviewing the Design and Effectiveness of the Internal Control System Over Financial Reporting

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- ✦ Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- ✦ The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings

in respect of any non-compliance.

Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.

- ✦ The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management: and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 109 to 111.
- ✦ In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.
- ✦ The Bank adopted the new Sri Lanka Accounting Standards comprising LKAS and SLFRS in 2012. The

processes and procedures initially applied to adopt the aforementioned Accounting Standards were further strengthened during the subsequent years based on the feedback received from the External Auditors, Internal Audit Department, Regulators and the Board Audit Committee. The Bank will continue to further strengthen the controls over the processes and relevant management information systems and its reports for impairment of Financing and Receivables as well as Financial Statement Disclosures related to Risk Management. Bank has also recognised the need to introduce an automated financial reporting process in order to comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments more effectively and efficiently.

- ✱ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them. The recommendations made by the External Auditors in 2016, in connection with the internal control system over financial reporting will be dealt with in the future.

Confirmation

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting

Standards and regulatory requirements of the Central Bank of Sri Lanka.

Review of The Statement by External Auditors

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2016 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on page 102 of this Annual Report.

By Order of the Board,



Osman Kassim

Chairman - Board of Directors



Jazri Magdon Ismail

Chairman Board Audit Committee

27 February 2017
Colombo

INDEPENDENT ASSURANCE REPORT ON DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING



Ernst & Young
Chartered Accountants
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Sri Lanka

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APAG/DMI/AD

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Introduction

We were engaged by the Board of Directors of Amāna Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2016.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Responsibilities and Compliance with SLSAE 3050

Our responsibility is to issue a report to the Board on the Statement based on the work performed. We conducted our engagement in accordance with Sri Lanka Standard

on Assurance Engagements (SLSAE) 3050 - Assurance Report for Banks on Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka.

Summary of Work Performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

27 February 2017
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Contents of this Report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities and best accounting practices. This Report was approved by the Directors.

General

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2016. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014.

Amāna Bank PLC is a licensed commercial bank under the Banking Act No.30 of 1988 and amendments thereto.

Completion and the contents of this report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities for listed companies in the financial services industry and best accounting practices.

Principal Activities

The principal activities of the Bank are the provision of commercial banking and related services.

Compliance and Corporate Governance for Licensed Commercial Banks in Sri Lanka

The Board of Directors of the Bank has adopted a comprehensive policy on

compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) have established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on KYC (Know Your Customer) and AML (Anti Money Laundering). The Compliance Department monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

The Bank also complies with the Banking Act Direction No.11 of 2007 on Corporate Governance issued by CBSL and compliant with the provisions of the said direction. The Corporate Governance Report is disclosed in pages 67 to 97.

In addition, the Bank is currently a listed entity and is in compliance with the Directions of the Securities and Exchange Commission of Sri Lanka, Continuing Listing Rules of the Colombo Stock Exchange and all other relevant authorities. The Board of Directors also hereby confirms that the Bank is compliant with section 9 of the Listing Rules of Colombo Stock Exchange pertaining to related party transactions.

Financial Results

	2016 LKR	2015 LKR
Net Operating Income	2,216,095,045	2,064,304,990
Total Operating Expenses	(1,945,016,888)	(1,693,340,866)
Operating Profit Before Value Added Tax	271,078,157	370,964,125
Value Added Tax on Financial Services & Nation Building Tax	(168,266,307)	(152,248,222)
Profit Before Tax	102,811,850	218,715,903
Tax Expenses	(62,171,499)	(60,086,657)
Profit for the Year	40,640,351	158,629,246
Other Comprehensive Income for the Year Net of Tax	1,259,302	538,128,423
Total Comprehensive Income for the Year Net of Tax	41,899,653	696,757,669

Property, Plant and Equipment and Depreciation

Details of the property, plant and equipment of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 25 to the Financial Statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Donations

During the year under review, the Bank made donations amounting to LKR 795,000/- (2015 - LKR 6,800/-)

Events After the Reporting Date

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 43 to the Financial Statements.

Accounting and Valuation Methods

For the year under review, the financial statements were prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

Stated Capital and Shareholders

The Stated Capital of the Bank is LKR 5,866,808,141/- (1,250,695,267 shares)

Financial Statements

The Financial Statements of the Bank are given in pages 128 to 183.

Accounting Policies

The Accounting Policies adopted in the preparation of Financial Statements are given in pages 133 to 146.

Directors

The following were Directors of Amāna Bank PLC during the year ended 31 December 2016:

- 1) Mr. Osman Kassim
(Chairman, Non-Executive, Non-Independent Director)

- 2) Mr. Tyeab Akbarally
(Deputy Chairman, Non-Executive, Non-Independent Director)
- 3) Dato' Ahmad Tajudin Bin Haji Abdul Rahman
(Non-Executive, Independent Senior Director)
- 4) Dr. Aboobacker Admani Mohamed Haroon
(Non-Executive, Non-Independent Director)
- 5) Mr. Mohamed Jazri Magdon Ismail
(Non-Executive, Independent Director)
- 6) Mr. Ruzly Hussain
(Non-Executive, Independent Director) - retired w.e.f. 7 April 2016
- 7) Mr. Haseeb Ullah Siddiqui
(Non-Executive, Non-Independent Director)
- 8) Mr. Wahid Ali Bin Mohd. Khalil
(Non-Executive, Non-Independent Director)
- 9) Mr. Harsha Amarasekera, PC
(Non-Executive, Non-Independent Director)
- 10) Mr. Mohammed Wahidul Haque
(Non-Executive, Non-Independent Director)
- 11) Mr. Rajiv Nandlal Dvivedi
(Non-Executive, Independent Director)
- 12) Mr. Pradeep Dilshan Rajeeva Hettiaratchi
(Non-Executive, Independent Director) - appointed w.e.f. 25 June 2016

Alternate Directors

The following were Alternate Directors of Amāna Bank PLC during the year ended 31 December 2016:

- 1) Mr. Huzefa Inayetally Akbarally
(Alternate Director to Mr. Tyeab Akbarally)

- 2) Dato' Wan Ismail Wan Yusoh
(Alternate Director to Mr. Wahid Ali Bin Mohd. Khalil) - resigned w.e.f. 23 April 2016
- 3) Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)
- 4) Mr. Kevin Mark Pocock
(Alternate Director to Mr. Harsha Amarasekera) - resigned w.e.f. 23 April 2016
- 5) Mr. Faheemul Huq (Alternate Director to Mr. Mohammed Wahidul Haque)
- 6) Mr. Mohd. Muazzam Mohamed
(Alternate Director to Mr. Wahid Ali Bin Mohd. Khalil) - appointed w.e.f. 28 May 2016

Rotation of Directors

In terms of Article 29 (6) of the Articles of Association of the Company one-third of the Directors shall retire from office at each Annual General Meeting. The following Directors retire by rotation and stand for re-appointment at the Annual General Meeting of Amāna Bank.

- a) Mr. Mohamed Jazri Magdon Ismail
- b) Mr. Haseeb Ullah Siddiqui
- c) Mr. Wahid Ali Bin Mohd. Khalil
- d) Mr. Harsha Amarasekera

Interest Register

The Directors' interest in shares has been disclosed in the Interest Register.

Directors' Remuneration and Other Benefits

Directors' remuneration in respect of the Bank for the financial year ended 31 December 2016 is given in Note 11 to the Financial Statements.

Directors' Interest in Contracts

As at 31 December 2016, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 42 to the Financial Statements.

As required by the Section 168 (1) (e) of the Companies Act No. 07 of 2007, the Bank maintains an Interests Register. We wish to confirm that all Directors have made declarations as required by the Sections 192 (1) and (2) of the Companies Act aforesaid and all related entries were made in the Interests Register during the year under review. The share ownership of Directors is disclosed on page 105. The Interests Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

Directors' Investments in Shares

The shareholdings of Directors who held office as at 31 December 2016 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Osman Kassim	438,520	0.03
Mr. Tyeab Akbarally	26	0.00
Dato' A. Tajudin B.H. Abdul Rahman	Nil	Nil
Dr. A. A. M Haroon	08	0.00
Mr. Mohamed Jazri Magdon Ismail	13,500	0.00
Mr. Haseeb Ullah Siddiqui	Nil	Nil
Mr. Wahid Ali Mohd. Khalil	Nil	Nil
Mr. Harsha Amarasekera, PC	Nil	Nil
Mr. Wahidul Haque	Nil	Nil
Mr. Rajiv Nandlal Dvivedi	Nil	Nil
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	Nil	Nil
Mr. Mohd. Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Mohd. Khalil)	Nil	Nil
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	01	0.00
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	Nil	Nil
Mr. Faheemul Huq (Alternate Director to Mr. Mohammed Wahidul Haque)	Nil	Nil

Board Committees

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by the Monetary Board of the Central Bank of Sri Lanka. Accordingly the following committees have been constituted by the Board:

- ✦ Board Audit Committee
 1. Mr. Mohamed Jazri Magdon Ismail - Chairman
 2. Dato' A. Tajudin B. H. Abdul Rahman - Member
 3. Mr. Rajiv Nandlal Dvivedi - Member
 4. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 24 September 2016)

The report of the Board Audit Committee is given on page 109 to 111 which forms part of the Annual report of the Board of Directors.

- ✦ Board Integrated Risk Management Committee
 1. Mr. Rajiv Nandlal Dvivedi - Chairman
 2. Dato' A. Tajudin B.H. Abdul Rahman - Member
 3. Mr. Mohamed Jazri Magdon Ismail - Member
 4. Mr. Mohamed Azmeer (CEO) - Member
 5. Mr. Ajmal Naleer - Member (appointed with effect from 1 January 2016)

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

The report of the Board Integrated Risk Management Committee is given on page 112 to 113 which forms part of the Annual report of the Board of Directors.

- ✦ Board Nomination Committee
- 1. Mr. Jazri Magdon Ismail - Chairman
- 2. Mr. Harsha Amarasekera - Member
- 3. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 25 June 2016)

The report of the Board Nomination Committee is given on page 115 which forms part of the Annual report of the Board of Directors.

- ✦ Board Human Resources and Remuneration Committee
- 1. Mr. Tyeab Akbarally - Chairman
- 2. Mr. Jazri Magdon Ismail - Member
- 3. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 20 August 2016)

The report of the Board Human Resources & Remuneration Committee is given on page 114 which forms part of the Annual report of the Board of Directors.

- ✦ Related Party Transactions Review Committee
- 1. Mr. Jazri Magdon Ismail - Chairman
- 2. Mr. Rajiv Nandlal Dvivedi - Member
- 3. Dato' A. T. B. H. Abdul Rahman - Member
- 4. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 25 June 2016)

The report of the Related party Transactions Review Committee is given on page 116 which forms part of the Annual Report of the Board of Directors.

In addition to the above mandatory Board appointed Committees the Board of Directors has also appointed a Board Credit Committee which oversees the Credit approval functions of the Bank.

- ✦ Board Credit Committee
- 1. Mr. Tyeab Akbarally - Chairman
- 2. Mr. Osman Kassim - Member (appointed with effect from 31 May 2016)
- 3. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 28 May 2016)

Auditors

The Financial Statements for the year ended 31 December 2016 have been audited by Messrs' Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs' Ernst & Young, Chartered Accountants were paid LKR 3,892,970/- as Audit fees by the Bank.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

Annual Report

The Directors approved the Financial Statements together with the reviews which forms part of the Annual Report. The appropriate number of copies have been submitted to the Central Bank of Sri Lanka, Sri Lanka Accounting and Auditing Standard Monitoring Board,

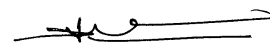
the Registrar of Companies and the Colombo Stock Exchange.

Annual General Meeting

The Annual General Meeting will be held on 16 June 2017 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Baudhaloka Mawatha, Colombo 7.

The notice of the Annual General Meeting is given on page 206.

By Order of the Board



Mrs. Samitha Dayani de Silva
Company Secretary

22 April 2017
Colombo

DIRECTORS' INTEREST IN CONTRACTS

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Current Limit 2016 LKR	Amount 2016 LKR	Amount 2015 LKR
Mr. Tyeab Akbarally	Amāna Takaful PLC	Chairman	Due to Other Customers		242,320,310	94,231,415
Mr. Osman Kassim		Director	Financing and Receivables to Other Customers	164,200,000	119,978,635	102,615,873
Dr. A. A. M. Haroon		Director	Financial Investments Held for Trading/Available for Sale		247,153,217	343,191,858
			Other Financial Assets		62,933,049	10,814,287
Mr. Osman Kassim	Expolanka Holdings PLC and Group	Director	Due to Other Customers		17,039,414	50,293,681
Mr. Harsha Amarasekera		Director	Financing and Receivables to Other Customers	1,009,030,000	863,262,756	600,749,903
			Financial Investments Held for Trading/Available for Sale		28,539,617	3,207,203
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other		60,337,399	
Mr. Osman Kassim	A.P.I.I.T. Lanka (Pvt) Limited	Chairman	Due to Other Customers		288,265,591	162,439,040
Mr. Osman Kassim	Aberdeen Holdings Limited and Group*	Director	Due to Other Customers		13,606,417	31,719,973
			Financing and Receivables to Other Customers	380,000,000	361,210,742	1,303,346,111
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other			9,959,283
Mr. Osman Kassim	Alhasan Foundation	Chairman	Due to Other Customers		1,090,806	643,002
Mr. Osman Kassim	Amāna Takaful (Maldives) PLC	Director	Due to Other Customers		11,076,957	10,288,903
Mr. Osman Kassim, Chairman of the Bank is the Chairman of Vidullanka PLC, Crescentrating (Pvt) Limited (Singapore) and also a Director of Pak Kuwait Takaful PLC, Rokfam (Pvt) Limited and Crescentrating (Pvt) Limited (Japan).						
Dr. A. A. M. Haroon	Vanguard Industries (Pvt) Limited	Chairman	Due to Other Customers		18,069	15,144,044
			Financing and Receivables to Other Customers	174,000,000	133,828,952	96,139,686
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other		31,067,282	35,512,537
Dr. A. A. M. Haroon	Amāna Holdings Limited	Director	Due to Other Customers		6,393,092	128,962
			Financing and Receivables to Other Customers			10,503,062
Dr. A. A. M. Haroon	Amāna Capital Limited	Director	Due to Other Customers		730,947	805,483
Dr. A. A. M. Haroon	Amāna Asset Management Limited	Director	Due to Other Customers		274,291	17,909,750

DIRECTORS' INTEREST IN CONTRACTS

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Current Limit 2016 LKR	Amount 2016 LKR	Amount 2015 LKR
Dr. A. A. M. Haroon, a Director of the Bank is the Chairman of Liberty Textiles Exports (Pvt) Limited, Liberty Textiles Mills (Pvt) Limited, Lucky Industries (Pvt) Limited, Lucky Property Developers (Pvt) Limited, Master Apparels (Pvt) Limited, Colombo Medi Lab (Pvt) Limited, Vanguard Trading Company (Pvt) Limited and is also a Director of Vidullanka PLC.						
Mr. Harsha Amarasekera	Delmege Forsyth & Company Limited	Director	Due to Other Customers		496,215	75,574
			Financing and Receivables to Other Customers	400,489,500	392,468,210	393,070,131
			Letters of Guarantee, Shipping Guarantees & Other		4,319,800	23,115,948
Mr. Harsha Amarasekara, a Director of the Bank is the Chairman of Chemanex PLC, CIC Holdings PLC, Bensons (Pvt) Limited and CIC Agri Business (Pvt) Limited and a Director of Amaya Leisure PLC, Taprobane Holdings PLC, Vallibel One PLC, Vallibel Power Erathna PLC, Chevron Lubricants Lanka PLC, Royal Ceramic PLC, Ceylon Hotel Holdings (Pvt) Limited, Galle Face Management Company (Pvt) Limited, Millennium Airlines (Pvt) Limited, Millennium Investments Lanka (Pvt) Limited, The Hill Club Company Limited and Link Natural Products (Pvt) Limited.						
Mr. Tyeab Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Other Customers		612,146	596,578
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally	Akbar Pharmaceuticals (Pvt) Limited	Director	Due to Other Customers		90,116	87,824
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally, a Director of the Bank is also a Director of A B Properties (Pvt) Limited, A B Development (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Zahra Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Apperals (Pvt) Limited, Falcon Developments (Pvt) Limited, Quick Tea (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Mosaic Art (Pvt) Limited, Onally Holdings PLC and Flinth Commercial Park (Pvt) Limited.						
Mr. Huzefa Akbarally, an Alternate Director of the Bank is a Director of A B Properties (Pvt) Limited, A B Developments (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Developments (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Quick Tea (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Terraqua International (Pvt) Limited, Daily Life Renewable Energy Limited, Diyaviduli (Pvt) Limited, Seguwantiv Windpower (Pvt) Limited, Vidatamuni Windpower (Pvt) Limited, Terraqua Kokavita (Pvt) Limited, Flinth Commercial Park (Pvt) Limited, Cleanco Lanka (Pvt) Limited, Greensands (Pvt) Limited and Wind Force (Pvt) Limited.						
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, GTPL (Pvt) Limited, Faber Capital Lanka (Pvt) Limited and Sagasolar Power (Pvt) Limited.						
Mr. Rajiv Dvivedi, a Director of the Bank is also a Director of Candor Securities Limited, Candor Asset Management (Pvt) Limited, Candor Capital (Pvt) Limited, Candor Shared Services (Pvt) Limited, Shanghai Harvest Network Technology (China), China Risk Finance (China) and Accordion Partners (USA).						
Mr. Wahidul Haque, a Director of the Bank as at 31 December 2016, is the Chairman of AB Bank Limited, AB Investment Limited, AB Securities Limited, Cashlink Bangladesh Limited and AB Exchange (UK) Limited.						
Mr. M. F. M. Hadad, an Alternate Director of the Bank is a Director of Paragon Mangement Services (Pvt) Limited, Serendib Grand (Pvt) Limited and Acer Events Management Services Limited.						
Mr. Mohd. Muazzam Mohamed, an Alternate Director of the Bank is a Director of BIMB Securities Sdn Bhd, Al-Wakalah Nominees (Tempatan) Sdn Bhd and BIMB Securities (Holdings) Sdn Bhd.						

*Vidullanka PLC is a member of Aberdeen Holdings Group

BOARD AUDIT COMMITTEE REPORT

1. Composition of the Board Audit Committee

The Board Audit Committee conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2016 comprised of four Non-Executive Directors, all of them being Independent. The Chairman of the Committee, Mr. Mohamed Jazri Magdon Ismail is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the Board Audit Committee during the year under review and their attendance at the Committee meetings held during the year:

BAC Members	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Jazri Magdon Ismail (Chairman) (Non-Executive, Independent Director)	5/5
Dato' A. Tajudin B. H. Abdul Rahman (Non-Executive, Independent Senior Director)	2/5
Mr. Harsha Amarasekera (Non-Executive, Non-Independent Director) Resigned w.e.f. 24 September 2016	3/4
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	4/5
Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director) Appointed w.e.f. 24 September 2016	1/1

The Chief Internal Auditor functions as the Secretary to the Board Audit Committee.

2. Role of the Board Audit Committee

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks;

- Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with Sri Lanka Accounting Standards.
- Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- Recommending appointment or re-appointment of the External Auditor for audit services in compliance with the relevant statutes.

- Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- Ensuring an Audit Charter and a comprehensive Internal Audit Manual and Guidelines are in place.
- Monitoring the effectiveness of the Bank's Internal Audit Function.
- Reviewing the adequacy of the scope, functions and resources of the Internal Audit Department and ensuring that appropriate actions are taken on the findings and recommendations of the Department.

3. Regulatory Compliance

The role and functions of the Board Audit Committee are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

4. Meetings

The Audit Committee met five times during the year under review. The Chief Executive Officer, Chief Internal Auditor and the Chief Financial Officer attended these meetings by invitation. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended three (3) meetings held during the year. Further where necessary, Key Management Personnel

BOARD AUDIT COMMITTEE REPORT

from pertinent business and support departments of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such departments. Such invitations were extended to ensure that the committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

5. Financial Reporting

The Board Audit Committee as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2016, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No 7 of 2007, the Banking Act No 30 of 1988 and amendments thereto.

6. Risks and Internal Controls

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2016, as required by the Banking Act Direction No 11 of 2007, Corporate Governance

for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 100 to 101 of the Annual Report, titled "Directors' Statement on Internal Controls over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Controls over Financial Reporting. This report is given on page 102 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2016 that the Bank's Internal Control over financial reporting is effective.

7. External Audit

The Board Audit Committee reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the audit process and assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2016.

As part of the Committee meetings held during the year, the External Audit approach and procedures, including matters relating to the scope of such audit and the External Auditors' independence were discussed with the External Auditors. Further, the Committee met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the

Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern. Moreover committee also reviewed the External Auditor's Management Letter - 2015 and the management's responses thereto.

8. Internal Audit

During the year, the Board Audit Committee reviewed the independence, objectivity & performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Department's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Department's resource requirements.

'Management Audit Committee' which is an Executive level Management Committee headed by the CEO discusses Audit Reports issued by the Internal Audit Department and follows-up on actions taken by the auditees to resolve such issues before they are submitted to the Board Audit Committee.

9. Oversight on Regulatory Requirements

The Chief Compliance Officer of the Bank submitted quarterly reports to the Committee on the extent to which the Bank was in compliance with the regulatory requirements. The Committee reviewed and discussed the report presented including the procedures established and accordingly Directions were provided to the Management where relevant to ensure

that the Bank is in compliance with the requirements of the relevant Regulatory Authorities.

10. Professional Advice

The Committee has the authority to seek external professional advice on matters within its purview.

11. Whistle Blowing

During the year, the Bank enhanced the internal Whistle Blowing scheme which promotes legitimate channels for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof.

12. Committee Evaluation

The annual evaluation of the Board Audit Committee was carried out by the members of the Board and the Committee has taken note of the feedback received.



Jazri Magdon Ismail

Chairman - Board Audit Committee

27 February 2017

Colombo

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

1. Composition of the Committee

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was appointed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met four times during the year 2016 and the attendance is as follows:

Member	Meetings Attended/ Meetings Eligible to Attend
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	4/4
Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Director)	4/4
Dato' A. Tajudin B.H. Abdul Rahman (Non-Executive, Independent Senior Director)	4/4
Mr. Mohammed Azmeer (Chief Executive Officer)	4/4
Mr. Ajmal Naleer (Chief Risk Officer)	4/4

2. Regulatory Compliance

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

3. Meetings

Vice President - Operations and SME Banking, Manager - Risk Middle Office and Manager Operational Risk attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its role and responsibilities. After every BIRMC meeting, a report from the BIRMC Chairman along with the respective BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

4. Role and Responsibilities of the BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request different kinds of information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. Its main responsibilities include the following:

- (i) Ensure that the Bank has a comprehensive risk management policy and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- (ii) Review and recommend the risk appetite/tolerance for the Bank at all levels of business, to the Board for adoption.
- (iii) Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- (iv) Reviewing the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk control and mitigation processes.
- (v) To oversee all management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC I) and the Asset and Liability Committee (ALCO).
- (vi) Ensuring that there are clear and independent reporting lines and responsibilities for risk management functions.
- (vii) Apprising the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.

- (viii) Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- (ix) Take appropriate actions against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- (x) Submit an update on key matters discussed and resolved at the next Board meeting, prior to the issuance of the BIRMC minutes.
- (xi) Establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

5. Risk Management and Internal Controls

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2016. In

pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Department (RMD) with the objective of effectively managing the core functions of risk: credit, market, liquidity and operational risks.

6. Committee Evaluation

The Risk Management Department has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. The results of such exercises were also escalated to the relevant management levels and taken up for discussions at BIRMC meetings for creating awareness and appropriate action. It is our aim to continue to strengthen RCSA process.

The Risk Management Department implemented a Risk Dashboard and is maintaining the dashboard to assess all risks in the Bank and helps the Management to mitigate potential risk, which is escalated to the Board of Directors.

Risk Management Department has conducted a Business Continuity Plan (BCP) drill successfully with a negligible number of issues compared to previous drills. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee (BAC). BCP/DR test result was recommended by the BIRMC to be tabled for the approval of the Board of Directors for onward submission to CBSL.

BIRMC has reviewed major policies during the year 2016 and recommended for onward submission to Board of Directors for approval.

In 2016, the Bank continued to be aggressive in terms of balance sheet growth, pursuing industry benchmarked performances. In this backdrop, the Bank managed the overall risk profile successfully, whilst ensuring that the right balance is maintained between risk and rewards, without hindering business growth. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with Basel II, Basel III and CBSL requirements of effective risk management practices.



Rajiv Nandlal Divedi
Chairman - Board Integrated Risk Management Committee

28 April 2017
Colombo

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Tyeab Akbarally (Non-Executive, Non-Independent Director, Chairman)
2. Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Director)
3. Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director appointed w.e.f. 20 August 2016)

All three (3) Directors in the Committee are Non-Executive Directors with two (2) being Independent Directors.

Authority and Responsibilities

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving and updating the Human Resource Policies as per recommendation from CEO.
- (ii) Approval of Remuneration
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.
- (iv) Approving periodic Human Resource Policy and Procedure revisions.

Meetings

The Committee held two meetings during the year under review. Meetings are held as and when necessary after providing sufficient notice to all members.



Tyeab Akbarally

Chairman - Board Human Resources and Remuneration Committee

28 April 2017
Colombo

BOARD NOMINATION COMMITTEE REPORT

Constitution of the Board Nomination Committee

Amāna Bank's Board Nomination Committee (BNC) constitutes of (3) Non Executive Directors, majority of whom are Independent Directors as named below:

- ✦ Mr. Jazri Magdon Ismail - Chairman (Non-Executive, Independent Director)
- ✦ Mr. Harsha Amarasekera - Member (Non Executive, Non-Independent Director)
- ✦ Mr. Dilshan Hettiaratchi - Member (Non Executive, Independent Director) appointed w.e.f. 25 June 2016.
- ✦ Mr. Ruzly Hussain, former Chairman of the Committee retired w.e.f. 31 March 2016.

Brief profiles of the Members of the Committee are given on Pages 18 to 21 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

Responsibilities of the Board Nomination Committee

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, CEO and Key Management Personnel (KMP).
- (ii) Considering and recommending (or not recommending) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.

- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- (iv) Ensuring that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

Frequency of Meetings

The Committee is required to meet as and when necessary and at least twice during a financial year.

Authority

The Board Nomination Committee has the authority to seek any information that it requires from any officer or employee of the Bank. In connection with its duties, the BNC is authorised by the Board to take such independent advice (including legal or other professional advice at the Bank's expense) as it considers necessary, including requests for information from, or commissioning investigations by external advisers.

Performance During The Year

During the year 2016, the BNC held six Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

BNC is actively involved in the selection and appointments of Directors and KMP to ensure that they are fit and proper persons to hold their offices.

Following the retirement of Mr Ruzly Hussain, (former Chairman BNC) as at end March 2016, the Board of Directors also re-constituted the BNC at the 67th Board Meeting held on 25 June 2016.



Jazri Magdon Ismail
Chairman - Board Nomination Committee

28 April 2017
Colombo

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Composition of the Related Party Transactions Review Committee

The Board Related Party Transaction Review Committee (The Committee) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the "Code") and Section 9 of the Listing Rules of the Colombo Stock Exchange (the "Rules").

The Committee comprises of the following four Independent, Non-Executive Directors.

- ✦ Mr. Jazri Magdon Ismail - Chairman (Non-Executive, Independent Director)
 - ✦ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
 - ✦ Dato' A. T. B. H. Abdul Rahman - Member (Non-Executive, Independent Senior Director)
 - ✦ Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
- Mr. Mohamed Azmeer - who is the CEO joins by invitation

The Committee is assisted by the following staff members:

- ✦ Mr. Ali Wahid (Chief Financial Officer)
- ✦ Mr Irshad Iqbal (Chief Compliance Officer)
- ✦ Mr. Ajmal Naleer (Chief Risk Officer)
- ✦ Mr. M. M. S. Quvylidh (VP Operations & SME Banking)
- ✦ Mr. Numair Cassim (Acting Chief Internal Auditor)

- ✦ Mr. C. Amrit CanagaRetna (VP Business Banking)
- ✦ Mr. Fazly Marikar (Head of Strategic Planning & New Products Initiatives)

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

Meetings

The committee meets quarterly as stipulated by the regulations. During 2016 the Committee held four meetings.

The Company Secretary functions as the Secretary to the Committee.

Terms of Reference and Scope of Operations

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the "Code" and the "Rules" with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

The Committee relies on the integrity of periodically reportable related party transactions of Board Members, Key Management Personnel and other relevant individuals and entities which are identified by an automated data capturing process.

Wherever necessary the Committee escalates the related party transaction for approval of the Board.

Reporting to the Board

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Jazri Magdon Ismail

Chairman

Related Party Transactions Review Committee

28 April 2017
Colombo

STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on page 127.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2016, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act. In addition, the Financial Statements of the Bank have been signed by three Directors and the Company Secretary of the

Bank on 25 February 2017 as required by the Sections 150 and 152 of the Companies Act and other regulatory requirements. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2016, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 are in agreement with the underlying books of accounts and are in conformity with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit

Committee. The Report of the said Committee is given on pages 109 to 111.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 128 to 183 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgments have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regards, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 100 and 101 of this Annual Report.

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders a soft copy

STATEMENT OF DIRECTORS' RESPONSIBILITY

each in a CD containing the Annual Report within the stipulated period of time. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

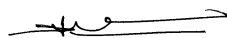
The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on page 127.

regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

28 April 2017
Colombo

Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions,

INDEPENDENT SHARIA SUPERVISORY COUNCIL REPORT

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ
الحمد لله رب العلمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

To the Shareholders of Amāna Bank PLC

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2016.

The management is responsible for ensuring that the Bank conducts its business in accordance with the Sharia rules and principles and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to report to you.

We had three (3) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with Sharia rules and principles and also with the specific rulings and guidelines issued by us. We conducted our review which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank. We planned and performed our review so as to obtain all the information and explanations which we considered necessary in order to

provide us with sufficient evidence to give reasonable assurance that the Bank has not violated Sharia rules and principles.

Based on the above, in our opinion:

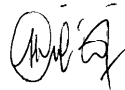
1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2016, that we have reviewed are in compliance with the Sharia rules and principles.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with Sharia rules and principles.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mohd. Nazri Chik
Vice-Chairman



Ash-Sheikh M.M.A. Mubarak
Member



Ash-Sheikh Mufti M.I.M. Rizwe
Member



Ash-Sheikh Mufti Muhammad Hassan Kaleem
Member

SHARIA GOVERNANCE

The cornerstone of the unique business model of Amāna Bank rests on Sharia rules and principles which are the foundation for the practice of Islamic banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with Sharia rules and principles.

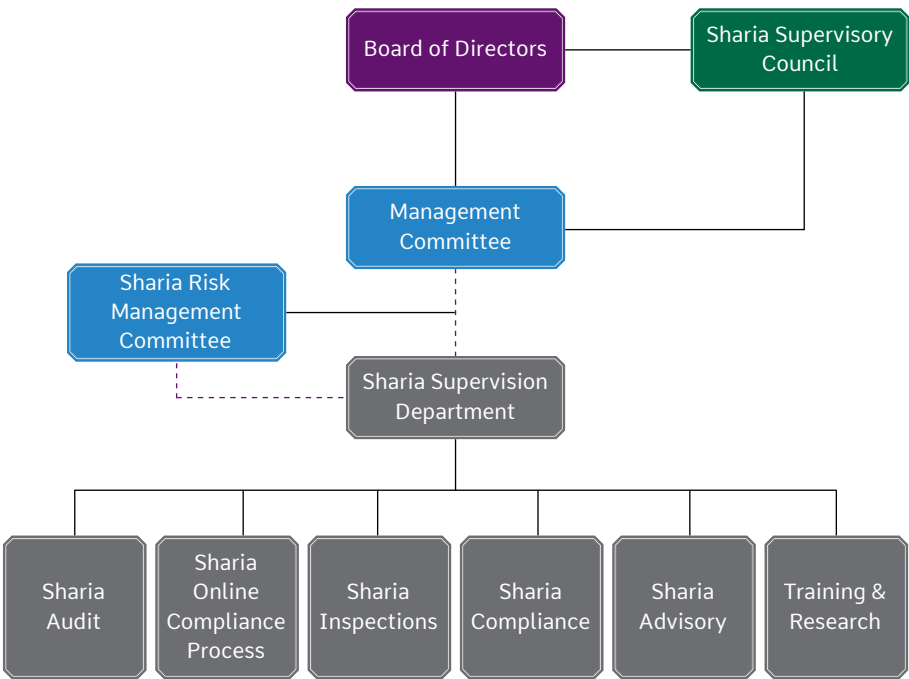
In this regard Amāna Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) as the apex body. The standards issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed report on the status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

Sharia Supervisory Council (SSC)

Functionally, the SSC reports to the Bank's shareholders reflecting the status of the Council as an independent body of the Bank. The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC

The SSC is assisted by the internal Sharia Supervision Department that performs six (6) compliance functions namely Sharia Audit, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research.

The diagram below describes the framework:



—— Functional Reporting Line
----- Administrative Reporting Line

Composition of the SSC

The composition of the SSC would be a minimum of three (3) members. As at 31 December 2016, the SSC has five (5) members comprising of two (2) local scholars and three (3) foreign scholars.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic banking, capital market, takaful, waqf, zakat, halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experiences in the academia as well as in the industry definitely support the depth and breadth of the Sharia deliberations.

Responsibilities of the Bank Towards Sharia Compliance

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with Sharia rules and principles, the responsibility for compliance therewith rests with the management of the Bank.

Therefore, it is crucial that the Bank works hand-in-hand with the SSC to ensure that all business activities, products, services and operations are in compliance with Sharia. Therefore, it is the responsibility of the Bank to perform the following:

- (i) To refer all Sharia issues in its business operations to the SSC for decision;
- (ii) To adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) To provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
- (iv) To ensure that the SSC is familiar with the operations and business of the Bank;
- (v) To provide the SSC access to all relevant records, transactions, manuals and relevant information, as required by its members in performing their duties; and
- (vi) To recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) To comply with SSC decisions and establish Sharia requirements in its entire products, services, legal documentations and activities;
- (ii) The Bank shall not act in contravention to the SSC decisions to suit its convenience.

Sharia Risk Management Committee

At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee of the Bank to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the Acting Head of Sharia Supervision and its

membership comprises of several management members. The SRMC met six times during the year in order to take up issues relating to Sharia Audit, Compliance and Risk.

Authority of the SSC

The SSC assumes the following authority based on its TOR:

- (i) The decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) The SSC has the right to check the assets and liabilities of the Bank.
- (iii) The SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) In the event that the Bank is unable to provide information requested of it, which results in the SSC's inability to carry on its role and responsibilities, it will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened to look into this matter.
- (v) The SSC has the right to accept or reject any activity carried out by the Bank based on Sharia rules and principles.

SSC Meetings

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Three (3) SSC meetings were held during the financial year ended 31 December 2016, as follows:

Date of Meeting	Percentage of Members Attendance (%)
9 May 2016	100
22 September 2016	100
15 December 2016	80

In between the meetings, the Bank refers its Sharia issues in its daily operation to the Executive Committees of the SSC that is comprised of two (2) appointed members for guidance and decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence.

Appointment and Re-appointment of SSC Members

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institution (AAOIFI).
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

SHARIA GOVERNANCE

IFSB - 10 (2009), Guiding Principles on Sharia Governance Systems for IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) Issuance of relevant Sharia pronouncements/resolutions;
- b) Dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) An internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of non-compliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) An annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

The status of Amāna Bank’s Sharia Governance to IFSB -10 is summarised as follows:

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by Amāna Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC has also appointed an Executive Committee comprising of two (2) members of the SSC, ensuring timely adequate access to the Bank.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ✦ clear terms of reference regarding its mandate and responsibility; ✦ well-defined operating procedures and lines of reporting; and ✦ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting. (c) The Bank consists of a dedicated Sharia Supervision Department (SSD) comprising of officers with appropriate qualifications and experience. The SSD is; ✦ the first point of reference for Sharia compliance issues, with an advisory/consultancy role is delegated by the SSC; ✦ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ✦ provide input for executive decisions to be made by the senior management. (d) The SSC comprises of respected and accepted scholars with high standards of professional ethics and conduct.

Guiding Principle		Status
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfills acceptable fit and proper criteria.	The members of the SSC and officers of the SSD has met the "Fit and Proper" criteria which covers; ✦ good character - that is, honesty, integrity, fairness and reputation; and ✦ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	Though the Bank does not invest in training for members of the SSC, the Bank invests on continuous professional development of the staff of the SSD.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	A formal assessment is not carried out of the SSC.
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the Chief Sharia Officer of Bank Islam Malaysia who has a shareholding of 14.44% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later he rejoined Bank Islam as its Head of Sharia in 2011. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.

SHARIA GOVERNANCE

Guiding Principle	Status
Principle 3.2: In order to fulfill their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and on an ongoing basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event that the Bank is unable to provide information requested of it, which results in the SSC inability to carry on its role and responsibilities, it will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened to look into this matter.
Part IV:	Confidentiality
Principle 4.1: Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency
Principle 5.1: The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members. The SSC takes due care in the Dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

A close-up photograph of a hand holding a magnifying glass. The lens of the magnifying glass is focused on a bright yellow circular area. Inside this circle, the text "ENVISIONING SUPERIORITY IN SERVICE AND CARE" is written in bold, white, uppercase letters. Below the text is a white line-art icon of two hands, one above the other, with the top hand's fingers slightly curled as if holding or supporting the bottom hand. The background of the entire image is a solid yellow color.

ENVISIONING SUPERIORITY IN SERVICE AND CARE



We understand that superior service will always be our most valuable competitive advantage to build and preserve. Hence everyone of us pledge our commitment with a badge on our chest stating that 'We Care' and that we truly want to be and are honoured to be Your Bank.

FINANCIAL REPORTS

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130	Statement of Financial Position
131	Statement of Changes in Equity
132	Statement of Cash Flows
133	Notes to the Financial Statements

INDEPENDENT AUDITORS' REPORT



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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMĀNA BANK PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amāna Bank PLC ("the Bank"), which comprise of the statement of financial position as at 31 December 2016, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation of the financial statements that

give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Bank as at 31 December 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion, scope and limitations of the audit are as stated above.
- b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank and,
 - the financial statements of the Bank, comply with the requirements of section 151 of the Companies Act No. 07 of 2007.

27 February 2017
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

STATEMENT OF PROFIT OR LOSS

Year ended 31 December	Note	2016 Rs.	2015 Rs.
Financing Income	4	4,039,624,179	2,885,931,540
Financing Expenses	5	(2,115,335,249)	(1,405,258,772)
Net Financing Income		1,924,288,930	1,480,672,767
Net Fees and Commission Income	6	246,568,285	168,555,950
Net Trading Income	7	257,454,611	390,234,591
Net Other Operating Income	8	4,961,144	27,659,037
Total Operating Income		2,433,272,970	2,067,122,345
Impairment on Financial Assets	9	(217,177,926)	(2,817,355)
Net Operating Income		2,216,095,045	2,064,304,990
Personnel Expenses	10	1,025,032,323	896,614,338
Depreciation of Property, Plant and Equipment	25	162,620,642	150,818,192
Amortisation of Intangible Assets	26	78,634,792	40,881,465
Other Operating Expenses	11	678,729,131	605,026,871
Total Operating Expenses		1,945,016,888	1,693,340,866
Operating Profit Before Value Added Tax on Financial Services & Nation Building Tax		271,078,157	370,964,125
Value Added Tax on Financial Services & Nation Building Tax		(168,266,307)	(152,248,222)
Profit Before Tax		102,811,850	218,715,903
Tax Expenses	12	(62,171,499)	(60,086,657)
Profit for the Year		40,640,351	158,629,246
Earnings Per Share	13	0.03	0.13

The Accounting Policies and Notes on pages 133 through 183 form an integral part of the Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December	Note	2016 Rs.	2015 Rs.
Profit for the Year		40,640,351	158,629,246
Other Comprehensive Income / Expense			
Other Comprehensive Income to be reclassified to Profit or Loss in Subsequent Periods:			
Financial Investments - Available for Sale:			
Net Gain/(Loss) on Financial Investments - Available for Sale		(131,461,592)	10,182,244
Reclassification to Profit or Loss as Impairment		126,042,840	-
Net Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods:		(5,418,752)	10,182,244
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Revaluation Surplus on Property, Plant and Equipment	25	-	533,340,869
Deferred tax Effect on Revaluation Surplus	27	-	(5,541,360)
Re-measurement Gain on Defined Benefit Plans	33	9,275,075	203,709
Deferred Tax Effect on Defined Benefit Plans	27	(2,597,021)	(57,039)
Net Other Comprehensive Income not to be reclassified to Profit or Loss in Subsequent Periods:		6,678,054	527,946,180
Other Comprehensive Income for the Year Net of Tax		1,259,302	538,128,423
Total Comprehensive Income for the Year Net of Tax		41,899,653	696,757,669

The Accounting Policies and Notes on pages 133 through 183 form an integral part of the Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December	Notes	2016 Rs.	2015 Rs.
Assets			
Cash and Cash Equivalents	15	5,686,924,056	5,016,458,817
Balance with Central Bank of Sri Lanka	16	2,816,770,223	2,292,887,937
Derivative Financial Assets	17	59,483,044	61,037,310
Placements with Banks	18	4,662,466,350	3,624,928,993
Placements with Licensed Finance Companies	19	20,517	954,528,071
Financial Investments - Held for Trading	20	45,181,589	59,474,357
Financing and Receivables to Other Customers	21	38,451,662,449	33,073,596,195
Financial Investments - Available for Sale	22	394,775,149	432,056,080
Other Financial Assets	23	307,321,725	315,749,183
Other Non Financial Assets	24	227,058,761	257,216,898
Property, Plant and Equipment	25	1,247,590,879	1,271,732,452
Intangible Assets	26	269,376,298	236,502,947
Deferred Tax Assets	27	146,355,559	145,702,993
Total Assets		54,314,986,599	47,741,872,233
Liabilities			
Due to Banks	28	751,963,513	2,955,277,882
Derivative Financial Liabilities	29	98,341,433	67,405,185
Due to Other Customers	30	46,915,289,690	38,467,460,755
Other Financial Liabilities	31	566,565,119	341,597,683
Other Non Financial Liabilities	32	112,175,024	113,063,448
Retirement Benefit Liability	33	82,606,302	74,070,679
Total Liabilities		48,526,941,081	42,018,875,633
Shareholders' Funds			
Stated Capital	34	5,866,808,141	5,866,808,141
Statutory Reserve Fund	35	17,263,212	15,231,195
Other Reserves	36	(243,794,538)	(261,525,053)
Revaluation Reserve	37	526,908,060	527,799,509
Retained Earnings		(379,139,357)	(425,317,193)
Total Equity		5,788,045,518	5,722,996,600
Total Liabilities and Shareholders' Funds		54,314,986,599	47,741,872,233
Commitments and Contingencies	41	26,191,124,490	18,413,142,582

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Ali Wahid
Chief Financial Officer



Mohamed Azmeer
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by:



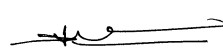
Osman Kassim
Chairman



Tyeab Akbarally
Deputy Chairman



Jazri Magdon Ismail
Director



Mrs. Dayani De Silva
Company Secretary

The Accounting Policies and Notes on pages 133 through 183 form an integral part of the Financial Statements.

25 February 2017
Colombo

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2016	Notes	Stated Capital		Statutory Reserve Fund	Other Reserves		Revaluation Reserve	Retained Earnings	Total
		Stated Capital	Capital Funds Raised Pending Allotment of Shares		Revenue Reserve	Available for Sale Reserve			
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2015		5,866,808,141	-	7,299,733	(216,926,328)	(54,780,969)	-	(576,161,646)	5,026,238,931
Profit for the Year		-	-	-	-	-	-	158,629,246	158,629,246
Other Comprehensive Income	36	-	-	-	-	10,182,244	527,799,509	146,670	538,128,423
Transfers to Statutory Reserve Fund	35	-	-	7,931,462	-	-	-	(7,931,462)	-
As at 1 January 2016		5,866,808,141	-	15,231,195	(216,926,328)	(44,598,725)	527,799,509	(425,317,193)	5,722,996,600
Profit for the Year		-	-	-	-	-	-	40,640,351	40,640,351
Other Comprehensive Income	36	-	-	-	-	(5,418,752)	-	6,678,054	1,259,302
Transfers to Statutory Reserve Fund	35	-	-	2,032,018	-	-	-	(2,032,018)	-
Reclassifying to Profit or									
Loss as Impairment	36	-	-	-	-	23,149,267	-	-	23,149,267
Transferred to Retained Earnings	37	-	-	-	-	-	(891,449)	891,449	-
As at 31 December 2016		5,866,808,141	-	17,263,212	(216,926,328)	(26,868,210)	526,908,060	(379,139,357)	5,788,045,518

The Accounting Policies and Notes on pages 133 through 183 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 December	Note	2016 Rs.	2015 Rs.
Cash Flow from Operating Activities			
Financing Income Received		3,647,182,488	2,837,479,587
Fees and Commission Received		259,454,298	169,021,490
Financing Expenses Paid		(1,935,626,877)	(1,337,511,370)
Foreign Exchange Income Received		262,797,902	390,175,384
Gratuity Payments Made	33	(5,497,940)	(4,477,070)
Payments to Employees and Suppliers		(1,685,128,294)	(1,605,790,969)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		543,181,577	448,897,052
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(5,235,284,268)	(7,621,151,689)
Other Financial Assets		188,517,071	(216,921,197)
Other Non Financial Assets		30,158,137	48,973,060
Balance with Central Bank of Sri Lanka		(523,882,286)	(1,256,461,963)
Increase / (Decrease) in Operating Liabilities			
Increase / (Decrease) in Due to Other Customers		8,125,166,346	9,319,800,559
Increase / (Decrease) in Due to Banks		(2,200,900,000)	2,951,400,000
Increase / (Decrease) in Other Liabilities		180,381,697	(86,118,265)
Net Cash Flow from Operating Activities		1,107,338,272	3,588,417,557
Cash Flows From/(Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(181,573,000)	(79,158,094)
Proceeds from Sale of Property, Plant and Equipment		-	2,579,000
Acquisition of Intangible Assets		(78,987,029)	(37,618,427)
Investments in Placements with Licensed Finance Companies		951,104,893	202,719,544
Investments in Placements with Banks		(1,048,104,648)	(311,171,166)
Dividend Received from Financial Assets		8,100,398	6,963,248
Sale / (Acquisition) of Financial Investments - Available for Sale		(96,698,548)	24,756,902
Sale / (Acquisition) of Financial Investments - Held for Trading		9,284,901	(8,413,442)
Net Cash Flows Used in Investing Activities		(436,873,033)	(199,342,435)
Cash Flows From/(Used In) Financing Activities			
Net Cash Flows From Financing Activities		-	-
Net Increase / (Decrease) in Cash and Cash Equivalents		670,465,239	3,389,075,122
Cash and Cash Equivalents at the Beginning of the Year		5,016,458,817	1,627,383,695
Cash and Cash Equivalents at the End of the Year	15	5,686,924,056	5,016,458,817
A. Reconciliation of Operating Profit			
Profit before Taxation		102,811,850	218,715,903
Depreciation of Property, Plant and Equipment	25	162,620,642	150,818,192
Amortisation of Intangible Assets	26	78,634,792	40,881,465
(Profit)/Loss on Disposal of Property, Plant and Equipment	8	-	(1,647,624)
Impairment for Financing and Receivables to Other Customers and Financial Assets	9	217,177,926	2,817,355
Provision for Gratuity	33	-	20,548,878
(Increase)/Decrease in Placement Income Receivable		13,969,952	7,417,683
Increase/(Decrease) in Profit Payable		179,708,372	67,747,401
Other Non Cash Items		(198,743,216)	(46,961,883)
Dividend Income (Net)		(7,500,800)	(6,963,248)
Gratuity Payments	33	(5,497,940)	(4,477,070)
		543,181,577	448,897,052

The Accounting Policies and Notes on pages 133 through 183 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 480, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange.

The staff strength of the Bank as at 31 December 2016 was 718 (2015 - 640).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, advances against gold, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2016 were authorised for issue in accordance with a resolution of the Board of Directors on 25 February 2017.

2.1 BASIS OF PREPARATION

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except

for Derivative Financial Instruments, Financial Assets at Fair value through Profit or Loss, Financial Assets Available for Sale and Freehold Land and Building, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 40.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or

to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank. Positions recognised on a net basis in the Statement of Financial Position primarily include balances with Central Bank that are pending realisation.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

NOTES TO THE FINANCIAL STATEMENTS

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The method used to determine the fair value of Property, Plant and Equipment are disclosed in Note 25 to the Financial Statements.

b. Impairment of Available for Sale Financial Instruments

The Bank reviews equity instruments classified as available-for-sale investments at each reporting date to assess whether they are impaired as explained in Note 2.3.3 (g). The interpretation of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Bank evaluates, among other factors, historical share price movements, and the duration and extent

to which the fair value of an investment is less than its cost.

The impairment methodology and application for available-for-sale investments is disclosed in more detail in Note 2.3.3 (g), Note 9 and 22.

c. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 38.

d. Impairment losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Notes 2.3.3.g. (i), 21.4 and Note. 39.3 (a) and (c).

e. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 27.

f. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 33.

g. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income / (Expenses)' in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices. Derivatives are categorised as trading

unless they are designated as hedging instruments.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately unless the derivative is designated and effective as a hedging instrument.

Derivative assets/liabilities represent the Promissory Forward exchange transactions as at the reporting date. There are no Derivative Financial Instruments that qualify for hedge accounting.

2.3.3 Non- Derivative Financial Instruments

a. Date of Recognition

All non-Derivative Financial Assets and Liabilities are initially recognised on the trade date, (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial

Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Financing Income. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Classification and Subsequent Measurement of Financial Assets

At the inception a Financial Asset is classified into one of the following:

- i. Financial Investments at Fair Value through Profit or Loss
 - a. Financial Investments - Held for Trading
 - b. Financial Investments designated at Fair Value through Profit or Loss
- ii. Held to Maturity Financial Investments
- iii. Advances and Receivables
- iv. Financial Investments - Available for Sale

The subsequent measurement of Financial Assets depends on their classification.

NOTES TO THE FINANCIAL STATEMENTS

i. Financial Investments at Fair Value through Profit or Loss

A Financial Investment is classified as Fair Value through Profit or Loss if it is held for trading or is designated at Fair Value through Profit or Loss.

a. Financial Investments - Held for Trading

Financial Investments acquired or incurred principally for the purpose of selling or repurchasing it in the near term or it is part of a portfolio that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Financial Investments - Held for Trading are recorded in the Statement of Financial Position at fair value; Changes in fair value, results if buying and selling and dividend income are recognised in Net Trading Gain according to the terms of the contract or when the right to the payment has been established.

This has been classified in the Statement of Financial Position as "Financial Investments - Held for Trading".

Details of Financial Investments - Held for Trading are given in Note 20 to the Financial Statements.

b. Financial Investments Designated at Fair Value through Profit or Loss

The Bank designates Financial Investments at Fair Value through Profit or Loss in the following circumstances:

- ✖ Such designation eliminates or significantly reduces measurement or recognition inconsistency that would otherwise arise from measuring the assets.

- ✖ The assets are part of a group of Financial Assets, Financial Liabilities or both, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

- ✖ The asset contains one or more embedded derivatives that significantly modify the cash flows that would otherwise have been required under the contract.

Financial Investments designated at Fair Value through Profit or Loss are recorded in the Statement of Financial Position at fair value. Changes in fair value are recorded in the Statement of Profit or Loss.

The Bank has not designated any Financial Assets upon initial recognition as designated at Fair Value through Profit or Loss.

ii. Held to Maturity Financial Investments

Held to Maturity Financial Investments are non-derivative Financial Assets with fixed or determinable payments and fixed maturities, which the Bank has the intention and ability to hold to maturity. After the initial recognition, Held to Maturity Financial Investments are subsequently measured at amortised cost using the Effective Profit Rate (EPR) less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EPR. The amortisation is included in "Financing Income" in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or Loss.

The Bank has not classified any Financial Assets upon initial recognition as Held to Maturity Financial Investments.

iii. Advances and Receivables

Advances and Receivables include non-derivative Financial Assets with fixed or determinable payments that are not quoted in an active market, other than:

- ✖ those that the Bank intends to sell immediately or in the near term and those that the Bank upon initial recognition designates as at fair value through profit or loss.
- ✖ those that the Bank, upon initial recognition, designates as available for sale.
- ✖ those for which the Bank may not recover substantially all of its initial investment, other than because of credit deterioration.

Advances and Receivables are subsequently measured at amortised cost using the Effective Profit Rate (EPR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EPR. The amortisation is included in "Financing Income" in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or Loss in 'Impairment on Financial Assets'.

Advance and Receivables have been classified in the Statement of Financial Position as,

(i) Cash and Cash Equivalents

Cash and cash equivalents as referred to in the Statement of Financial Position and Statement of Cash Flows, comprises of cash in hand and balances with banks on demand or with an original maturity of three months or less.

(ii) Balance with Central Bank of Sri Lanka

The Monetary Law Act requires that all commercial banks operating in Sri Lanka maintain reserves against all deposit liabilities ("Due to Other Customers") denominated in Sri Lankan Rupees.

(iii) Placement with Banks**(iv) Placements with Licensed Finance Companies****(v) Financing and Receivables to Other Customers****iv. Financial Investments - Available for Sale**

Financial Investments Available for Sale consists of equity investments. Equity investments classified as Available for Sale are those which are neither classified as Held for Trading nor designated at Fair Value through Profit or Loss.

The Bank has not designated any Financing and Receivables to Other Customers as Available for Sale.

After initial measurement, Available for Sale Financial Investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity (Statement of Comprehensive Income) in the Available for Sale Reserve. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is

recognised in the Statement of Profit or Loss in 'Net Other Operating Income/(Expenses)'. Where the Bank holds more than one investment in the same security, gains or losses arising from the disposal of the investment is calculated based on the weighted average basis.

Dividends earned whilst holding Available for Sale Financial Assets are recognised in the Statement of Profit or Loss in 'Net Other Operating Income/(Expenses)' when the right to receive the dividend is established. The losses arising from impairment of such assets are recognised in the Statement of Profit or Loss in 'Impairment on Financial Assets and removed from the 'Available for Sale Reserve'.

Details of Financial Investments - Available for Sale are given in Note 22 to the Financial Statements.

e. Financial Liabilities

Initial recognition and measurement of Financial Liabilities within the scope of LKAS 39 are classified as Due to Banks, Due to Other Customers (Deposits) and Other Financial Liabilities. The Bank determines the classification of its Financial Liabilities at initial recognition.

The Bank classifies Financial Liabilities into Financial Liabilities at Fair Value through Profit or Loss or Other Financial Liabilities in accordance with the substance of the contractual arrangement and the definitions of Financial Liabilities.

The Bank recognises Financial Liabilities in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the Financial Liability.

i. Financial liabilities at Fair Value through Profit or Loss

Financial Liabilities at Fair Value through Profit or Loss include Financial Liabilities Held for Trading or designated as such upon initial recognition. Subsequent to initial recognition, Financial Liabilities at Fair Value through Profit or Loss are measured at fair value, and changes therein are recognised in Statement of Profit or Loss.

Upon initial recognition, transaction costs directly attributable to the acquisition are recognised in Statement of Profit or Loss as incurred. The criteria for designation of Financial Liabilities at Fair Value through Profit or Loss upon initial recognition are the same as those of Financial Assets at Fair Value through Profit or Loss.

As at the reporting date the Bank does not have any Liabilities under this classification.

ii. Financial Liabilities at Amortised Cost

Financial Liabilities including Due to Banks, Due to Other Customers and Other Financial Liabilities are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EPR method.

Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EPR. The EPR amortisation is included in 'Finance Expenses' in the Statement of Profit or Loss. Gains or losses are recognised in the Statement of Profit or Loss when the liabilities are derecognised.

NOTES TO THE FINANCIAL STATEMENTS

The details of the Bank's Financial Liabilities at amortised cost are shown in Note 28, 29, 30 and 31 to the Financial Statements.

f. De-recognition of Financial Assets/ Liabilities

(i) De-recognition of Financial Assets

A Financial Asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- ✦ The rights to receive cash flows from the asset have expired
- ✦ The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
- ✦ The Bank has transferred substantially all the risks and rewards of the asset or,
- ✦ The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Bank has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

(ii) De-recognition of Financial Liabilities

A Financial Liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing Financial Liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification, is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original Financial Liability and the consideration paid is recognised in the Statement of Profit or Loss.

g. Impairment of Financial Assets

The Bank assesses at each reporting date whether there is any objective evidence that a Financial Asset or a group of Financial Assets is impaired. A Financial Asset or a group of Financial Assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event'), and that loss event (or events) has an impact on the estimated future cash flows of the Financial Asset or the group of Financial Assets that can be reliably estimated.

(i) Financial Assets Carried at Amortised Cost

For Financial Assets carried at Amortised cost (Placements with Banks, Placements with Licensed Finance Companies, Financing and Receivables to Other

Customers and Other Financial Assets), the Bank first assesses individually whether objective evidence of impairment exists for Financial Assets that are individually significant, or collectively for Financial Assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed Financial Asset, it includes the asset in a group of Financial Assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- (a) Customer is experiencing significant financial difficulties.
- (b) Breach of covenants or conditions.
- (c) Economic and legal reasons relating to the customers financial difficulty.
- (d) Likelihood of client becoming bankrupt / insolvent.
- (e) Concessions given to customer in view of deteriorating financial condition.
- (f) Statutory indicators such as new regulations / government policies would prevent the operations to repay the dues as agreed.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets' carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred) discounted at the asset's original effective rate. If the facility has a variable rate, the discount rate for measuring any impairment loss

is the current effective rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the Statement of Profit or Loss. Financing Income continues to be accrued on the reduced carrying amount and is accrued using the profit rate used to discount the future cash flows for the purpose of measuring the impairment loss.

- Individually Assessed Financing and Receivables to Other Customers

Impairment on individual significant Financing and Receivables to Other Customers are identified by the management based on the circumstances evidencing overdue payment of profit/return, downward adjustment of risk rating and breach of contract terms. In order to ascertain presence of such evidence, the Bank uses a detailed questionnaire, which is completed by the respective Customer Relationship Manager, who has a better understanding of the customer's financial condition as at each reporting date.

If there are any indications of impairment, the future cash flows with regard to the financing is estimated. Subsequently, amortised cost and the impairment loss are calculated.

Allowance amount is decided considering many integrated factors, i.e. possibility of achieving the business plan, ability to withstand the financial difficulties, projected cash flows should bankruptcy ensue, supplementary financial support, net realisable value of collateral and timing of anticipated cash flows.

- Collectively Assessed Financing and Receivables to Other Customers

For the purpose of a collective evaluation of impairment, the Bank determines the provisioning for collective assessment

using data in relation to the performance of its financing portfolio using Net Flow Rate method. Under this methodology the movement in the outstanding balance of customers are classified into categories over the periods and are used to estimate the amount of financial assets that will eventually be written off as a result of the events occurring before the reporting date which the Bank is not able to identify on an individual financing basis, and that can be reliably estimated.

Impairment is assessed on a collective basis for following two categories of financing and receivables to other customers.

- ✖ To cover losses which have been incurred but have not yet been identified on financing and receivables to other customers subject to individual assessment; and
- ✖ For financing and receivables to other customers that are not considered as individually significant

In addition to the above, economic factors both at macro-economic and at Bank levels are considered in arriving at the collective assessment.

See Note 9 for details of impairment losses on Financial Assets carried at amortised cost.

- Reversal of Impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the financial asset impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

(ii) Financial Investments - Available for Sale

For Available for Sale financial investments, the Bank assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of equity investments classified as Available for Sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss, is removed from equity and recognised in the Statement of Profit or Loss. Impairment losses on equity investments are not reversed through the Statement of Profit or Loss; increases in the fair value after impairment are recognised in Statement of Comprehensive Income.

(iii) Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on

NOTES TO THE FINANCIAL STATEMENTS

data provided by third parties such as independent professional valuers.

- Collateral Repossessed

The Bank's policy is to sell the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

- Rescheduled Financing and Receivables to Other Customers

Financing and Receivables to Other Customers (facilities) whose original terms have been modified including those subject to forbearance strategies are considered rescheduled facilities. This may involve extending the payment arrangements and the agreement of new facility conditions. If the renegotiations are on terms that are not consistent with those readily available in the market, this provides objective evidence of impairment. Once the terms have been renegotiated, any impairment is measured using the EPR as calculated before the modification of terms and the facility is no longer considered past due. Management continually reviews renegotiated facilities to ensure that all criteria are met and the future payments are likely to occur. The facilities continue to be subjected to an individual or collective impairment assessment, calculated using the EPR of the Original facility.

(iv) Write-off of Financial Assets Carried at Amortised Cost

Financial assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

2.3.4 Reclassification of Financial Instruments

The Bank does not reclassify any Financial Instrument into the 'Fair value through Profit or Loss' category after initial recognition. Further, the Bank does not reclassify any Financial Instrument out of the 'Fair value through Profit or Loss' category if upon initial recognition it was designated as at Fair value through Profit or Loss.

The Bank reclassifies non - derivative financial assets out of the 'Held for Trading' category and into the 'Available for Sale' or 'Advances and Receivables', categories as permitted by the Sri Lanka Accounting Standard (LKAS 39) "Financial Instruments: Recognition and Measurement". Further, in certain circumstances, the Bank is permitted to reclassify Financial Instruments out of the 'Available for Sale' category and into the 'Advances and receivables' category.

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a Financial Asset reclassified out of the Available for Sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EPR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EPR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the Statement of Profit or Loss.

Reclassification is at the election of management, and is determined on an instrument by instrument basis.

2.3.5 Offsetting Financial Instruments

Financial Assets and Financial Liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.3.6 Determination of Fair Value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principle or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 1 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from

the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 1 valuation) nor based on a valuation technique that uses only data from observable markets (Level 2 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in Statement of Profit or Loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take into account of the credit risk of the Bank and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Bank believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. An external valuer is involved for valuation of non-financial assets (Freehold Land and Buildings).

The Bank recognises transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

An analysis of fair values of Financial Instruments and non-financial assets (Freehold Land and Buildings) are provided in Note 38 and Note 28 respectively.

2.3.7 Other Financial Assets

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.8 Other Non-Financial Assets

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.9 Property, Plant and Equipment

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously

recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

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Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2016	2015
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office & Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

2.3.10 Intangible Assets

The Bank's Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2016	2015
Computer Software	10 years	10 years

The useful lives of Intangible Assets are assessed to be either finite or indefinite. Intangible Assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end.

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.11 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

When the Bank is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are

accounted for on a straight-line basis over the periods of the leases and are included in 'Other Operating Expenses' and 'Other Operating Income', respectively.

2.3.12 Retirement Benefit liability

(a) Defined Benefit Plan - Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2015 by a qualified actuary using projected unit credit method.

The principal assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the date of Statement of Financial Position that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 33 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.13 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.14 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the Statement of Financial Position date.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue act No.10 of 2006 and amendments thereto at the rates specified in Note 12 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled,

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based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax On Financial Services

The Bank's total value addition is subjected to a 11% or 15%, as applicable for certain months. Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

(d) Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act, No. 9 of 2009 and subsequent amendments thereto with effect from 1 January 2014. NBT on Financial Services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services.

2.3.15 Equity Reserves

The reserves recorded in equity (Statement of Comprehensive Income) on the Bank's Statement of Financial Position include 'Available for Sale' reserve which comprises of changes in fair value of Financial Investments - Available for Sale.

2.3.16 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from trading activities include all gains and losses from changes in fair value and related Income or Expense and Dividends for Financial Assets and Financial Liabilities that are classified as 'Held for Trading'.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.17 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss in Impairment for Financing and Receivables to Other Customers. The premium received is recognised in the Statement of Profit or Loss in 'Net Fees and Commission Income'.

on a straight line basis over the life of the guarantee.

2.3.18 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- Consumer Banking: Individual customers' deposits and consumer financing including overdrafts, asset financing, lease financing, advances against gold, home and property financing.
- Business Banking: Trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities and deposits of corporate and SME customers.
- Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.19 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 13 to the Financial Statements.

2.3.20 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - "Statement of Cash Flows" whereby gross cash receipts and gross cash payments of operating activities, finance activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value. The cash and cash equivalent include cash in hand and balances with banks.

2.3.21 Standards Issued But Not Yet Effective

The following Sri Lanka Accounting Standards have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31 December 2016.

2.3.21.1 SLFRS 15 - Revenue from Contracts with Customers

The objective of this Standard is to establish the principles that an entity shall apply to report useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from a

contract with a customer.

SLFRS 15 will become effective on 01 January 2018.

Pending the completion of the detail impact analysis, possible impact from SLFRS 15 estimable as of the reporting date.

2.3.21.2 SLFRS 9 - Financial Instruments

In December 2014, the Institute of Chartered Accountant of Sri Lanka issued the final version of SLFRS 9 Financial Instruments which reflects all phases of the financial instruments project and replaces LKRS 39 Financial Instruments, Recognition and Measurement. The standard introduces new requirements for classification and measurement of impairment, and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Retrospective application is required. But comparative information is not compulsory. The adoption of SLFRS 9 will have an effect on the classification and measurement of the Bank's Financial Assets, but no impact on the classification and measurement of the Bank's Financial Liabilities. Pending completion of the detail impact analysis, possible impact from SLFRS 9 is not estimable as of the reporting date.

The Bank has set up a implementation team with members from its Finance team to prepare for SLFRS 9 implementation. The Project is chaired by the Chief Financial officer, and is managed within the Bank's transformation framework. The Project has clear individual work streams for classification, measurement and impairment and will be implemented with the following key phases:

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Diagnostic Phase

1. Phase 1 & 2 - Gap Analysis on the Expected Credit Loss Model
2. Phase 3 - Gap Analysis on the Financial Asset Classification

Implementation Phase

1. Phase 4 - Development of the Expected Credit Loss Model in line with SLFRS 9 Financial Instruments
2. Phase 5 - Implementation of Financial Asset Classification

The team is expecting to perform a parallel run in 2017 and go live in 2018.

2.3.21.3 SLFRS 16- Leases

The Institute of Chartered Accountant of Sri Lanka issued the new standard for accounting for leases - SLFRS 16 Leases in January 2016. The new standard does not significantly change the accounting for leases for lessors. However, it does require lessees to recognise most leases on their balance sheets as lease liabilities, with the corresponding right-of-use assets. Lessees must apply a single model for all recognised leases, but will have the option not to recognise 'short-term' leases and leases of 'low-value' assets. Generally, the profit or loss recognition pattern for recognised leases will be similar to today's finance lease accounting, with interest and depreciation expense recognised separately in the statement of profit or loss.

SLFRS 16 is effective for annual periods beginning on or after 1 January 2019. Early application is permitted provided the new revenue standard, SLFRS 15, is applied on the same date. Lessees must adopt SLFRS 16 using either a full retrospective or a modified retrospective approach.

The Bank does not anticipate early adopting SLFRS 16 and pending the completion of the detail impact analysis.

2.3.21.4 Amendments to LKAS 7 Statement of Cash Flows

In September 2016, the Institute of Chartered Accountant of Sri Lanka issued amendments to LKAS 7 Statement of Cash Flows with the intention to improve disclosures of financing activities and help users to better understand the reporting entities' liquidity positions. Under the new requirements, entities will need to disclose changes in their financial liabilities as a result of financing activities such as changes from cash flows and non-cash items (e.g., gains and losses due to foreign currency movements). The amendment is effective from 1 January 2017.

The Bank is currently evaluating the impact of these amendments.

2.3.21.5 Amendments to IAS 12 Income Taxes

In September 2016, through issuing amendments to LKAS 12, the Institute of Chartered Accountant of Sri Lanka clarified the accounting treatment of deferred tax assets of debt instruments measured at fair value for accounting, but measured at cost for tax purposes. The amendment is effective from 1 January 2017. The Bank does not anticipate that adopting the amendments would have an impact on its financial statements.

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2016 Rs.	Business Banking 2016 Rs.	Total Banking 2016 Rs.	Treasury 2016 Rs.	Unallocated / Elimination 2016 Rs.	Total 2016 Rs.
Income						
Financing Income	1,228,476,578	2,723,377,105	3,951,853,682	79,956,370	7,814,127	4,039,624,179
Net Fee and Commission Income	97,646,216	138,454,560	236,100,776	-	10,467,509	246,568,285
Net Trading Gain	-	-	-	257,454,611	-	257,454,611
Other Operating Income	-	-	-	4,961,144	-	4,961,144
Total Income	1,326,122,794	2,861,831,665	4,187,954,458	342,372,126	18,281,635	4,548,608,219
Profit/(Loss) After Tax			105,586,783	72,454,301	(137,400,733)	40,640,351
Total Assets	10,767,386,340	27,684,276,109	38,451,662,449	11,974,078,364	3,889,245,786	54,314,986,599
Total Liabilities	43,664,119,861	3,251,169,829	46,915,289,690	755,292,849	856,358,542	48,526,941,081

	Consumer Banking 2015 Rs.	Business Banking 2015 Rs.	Total Banking 2015 Rs.	Treasury 2015 Rs.	Unallocated / Elimination 2015 Rs.	Total 2015 Rs.
Income						
Financing Income	845,732,921	1,919,911,921	2,765,644,843	100,879,687	19,407,010	2,885,931,540
Net Fee and Commission Income	77,909,067	87,562,811	165,471,878	-	3,084,072	168,555,950
Net Trading Gain	-	-	-	390,234,591	-	390,234,591
Other Operating Income	-	-	-	26,011,413	1,647,624	27,659,037
Total Income	923,641,989	2,007,474,732	2,931,116,721	517,125,691	24,138,706	3,472,381,118
Profit/(Loss) After Tax			146,457,361	102,084,373	(89,912,489)	158,629,246
Total Assets	9,572,234,011	23,501,362,184	33,073,596,195	12,413,617,194	2,254,658,844	47,741,872,233
Total Liabilities	35,851,850,547	2,615,610,208	38,467,460,755	2,957,801,907	593,612,970	42,018,875,633

4. FINANCING INCOME

	2016 Rs.	2015 Rs.
Financing Income	3,959,380,611	2,757,353,785
Finance Income Accrued on Impaired Financial Assets	287,198	27,698,067
Placement Income	79,956,370	100,879,687
Total	4,039,624,179	2,885,931,540

NOTES TO THE FINANCIAL STATEMENTS

5. FINANCING EXPENSES

	2016 Rs.	2015 Rs.
Financing Expenses on Due to Other Customers	2,094,028,674	1,381,905,220
Expenses on Other Liabilities	21,306,575	23,353,552
Total	2,115,335,249	1,405,258,772

6. NET FEES AND COMMISSION INCOME

	2016 Rs.	2015 Rs.
Trade Related Services	86,938,476	73,841,310
Other Banking & Financial Services	159,629,808	94,714,641
Total	246,568,285	168,555,950

7. NET TRADING INCOME

	2016 Rs.	2015 Rs.
Gain/(Loss) on Financial Investments - Held for Trading	(5,343,291)	59,206
Foreign Exchange Income		
- From Banks	233,369,115	359,495,821
- From Customers	29,428,786	30,679,563
Total	257,454,611	390,234,591

Gain/(Loss) on Financial Investments - Held for Trading includes the results of buying and selling, and changes in the fair value of equity securities. Foreign Exchange Income includes gains and losses from spot and promissory forward transactions.

8. NET OTHER OPERATING INCOME

	2016 Rs.	2015 Rs.
Income from Dividends	7,500,800	6,963,248
Gain/(Loss) from Disposal of Financial Investments - Available for Sale	(2,539,656)	19,048,165
Gain/(Loss) on Disposal of Property, Plant and Equipment	-	1,647,624
Total	4,961,144	27,659,037

9. IMPAIRMENT ON FINANCIAL ASSETS

	2016 Rs.	2015 Rs.
Financing and Receivables to Other Customers (Note 21.4)		
- Individual Impairment Charge/(Reversal)	40,155,565	(255,420)
- Collective Impairment Charge	27,830,253	3,072,775
	67,985,818	2,817,355
Impairment on Available for Sale Financial Assets	9.1 149,192,107	-
	217,177,926	2,817,355

9.1 Impairment on Available for Sale Financial Assets

The impairment on Available for Sale financial assets is recognised for the equity instruments that met objective evidence of impairment, where a 'significant' or 'prolonged' decline in the fair value of the investment below its cost is observed. Accordingly, the cumulative loss measured as the difference between the acquisition cost and the current fair value of those investments, is transferred from Other Comprehensive Expenses/Available for Sale Reserve and recognised in the Statement of Profit or Loss.

10. PERSONNEL EXPENSES

	2016 Rs.	2015 Rs.
Salaries and Bonus	742,672,074	667,452,576
Defined Contribution Plan - EPF/ETF	98,606,086	83,861,658
Defined Benefit Plan - Gratuity	23,308,637	20,548,878
Other Staff Related Expenses	160,445,526	124,751,226
Total	1,025,032,323	896,614,338

11. OTHER OPERATING EXPENSES

	2016 Rs.	2015 Rs.
Directors' Emoluments	12,510,317	11,735,484
Auditors' Remuneration		
- Audit Fee and Expenses	3,892,970	2,798,957
- Non Audit Service	1,080,000	1,440,000
Professional and Legal Fees	26,703,099	23,921,656
Office Administration and Establishment Expenses	430,765,094	366,367,826
Advertising and Promotion	40,188,702	40,924,988
Deposit Insurance Premium	55,301,132	33,378,868
System Support Fee	68,076,757	77,402,666
Others	40,211,059	47,056,426
Total	678,729,131	605,026,871

NOTES TO THE FINANCIAL STATEMENTS

12. INCOME TAX EXPENSES

	2016 Rs.	2015 Rs.
<i>Current Tax:</i>		
Current Tax Expense	64,421,386	49,962,015
Under Provisions in Respect of Previous Year	999,701	-
<i>Deferred Tax:</i>		
Deferred Taxation Charged/(Reversal) (Note 27)	(3,249,587)	10,124,642
Income Tax Expense Reported in the Statement of Profit or Loss	62,171,499	60,086,657

12.1 A Reconciliation Between Current Tax Expense and the Product of Accounting Profit

	2016 Rs.	2015 Rs.
Accounting Profit before Income Tax	102,811,850	218,715,903
Statutory Tax Rate	28%	28%
At the Statutory Income Tax Rate	28,787,318	61,240,453
Income Exempt from Tax	(14,697,599)	(5,015,049)
Non Deductible Expenses	712,102,478	576,911,202
Deductible Expenses	(624,256,702)	(556,245,109)
Adjustment for Tax Losses Arisen / (Utilised)	(37,514,110)	(26,929,481)
Income Tax Expense / (Reversals)	64,421,386	49,962,015

The effective income tax rate for 2016 is 60.47% (2015 - 27.48%).

13. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and share data used in the Earnings Per Share computations.

	2016 Rs.	2015 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	40,640,351	158,629,246
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue	1,250,695,267	1,250,695,267
Earnings Per Share	0.03	0.13

14. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

14.1 Analysis of Financial Instruments by Measurement - as at 31.12.2016

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in LKAS 39 and by headings of the Statement of Financial Position.

	Held for Trading Rs.	Advances and Receivables Rs.	Held to Maturity Rs.	Available for Sale Rs.	Total As at 31.12.2016 Rs.
Financial Assets					
Cash and Cash Equivalent	-	5,686,924,056	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	-	2,816,770,223	-	-	2,816,770,223
Derivative Financial Assets	59,483,044	-	-	-	59,483,044
Placements with Banks	-	4,662,466,350	-	-	4,662,466,350
Placements with Licensed Finance Companies	-	20,517	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	45,181,589
Financing and Receivables to Other Customers	-	38,451,662,449	-	-	38,451,662,449
Financial Investments - Available for Sale	-	-	-	394,775,149	394,775,149
Other Financial Assets	-	307,321,725	-	-	307,321,725
Total Financial Assets	104,664,633	51,925,165,320	-	394,775,149	52,424,605,102
Financial Liabilities					
Derivative Financial Liabilities	98,341,433	-	-	-	98,341,433
Due to Other Customers	-	46,915,289,690	-	-	46,915,289,690
Other Financial Liabilities	-	566,565,119	-	-	566,565,119
Total Financial Liabilities	98,341,433	47,481,854,809	-	-	47,580,196,242

14.2 Analysis of financial instruments by measurement - as at 31.12.2015

	Held for Trading Rs.	Advances and Receivables Rs.	Held to Maturity Rs.	Available for Sale Rs.	Total As at 31.12.2015 Rs.
Financial Assets					
Cash and Cash Equivalent	-	5,016,458,817	-	-	5,016,458,817
Balance with Central Bank of Sri Lanka	-	2,292,887,937	-	-	2,292,887,937
Derivative Financial Assets	61,037,310	-	-	-	61,037,310
Placements with Banks	-	3,624,928,993	-	-	3,624,928,993
Placements with Licensed Finance Companies	-	954,528,071	-	-	954,528,071
Financial Investments - Held for Trading	59,474,357	-	-	-	59,474,357
Financing and Receivables to Other Customers	-	33,073,596,195	-	-	33,073,596,195
Financial Investments - Available for Sale	-	-	-	432,056,080	432,056,080
Other Financial Assets	-	315,749,183	-	-	315,749,183
Total Financial Assets	120,511,667	45,278,149,196	-	432,056,080	45,830,716,943
Financial Liabilities					
Derivative Financial Liabilities	67,405,185	-	-	-	67,405,185
Due to Other Customers	-	38,467,460,755	-	-	38,467,460,755
Other Financial Liabilities	-	341,597,683	-	-	341,597,683
Total Financial Liabilities	67,405,185	38,809,058,438	-	-	38,876,463,623

NOTES TO THE FINANCIAL STATEMENTS

15. CASH AND CASH EQUIVALENTS

	2016 Rs.	2015 Rs.
Cash in Hand	1,077,321,444	1,141,098,971
Balances with Banks	4,609,602,612	3,875,359,846
Total	5,686,924,056	5,016,458,817

16. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2016 Rs.	2015 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	2,816,770,223	2,292,887,937
	2,816,770,223	2,292,887,937

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2016, the minimum cash reserve requirement was 7.5% (2015 - 6%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

17. DERIVATIVE FINANCIAL ASSETS

	2016 Rs.	2015 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	59,483,044	61,037,310
Total	59,483,044	61,037,310

18. PLACEMENTS WITH BANKS

	2016 Rs.	2015 Rs.
Saving Deposits	5,327,390	4,437,909
Term Deposits	4,657,138,959	3,620,491,084
Total	4,662,466,350	3,624,928,993

19. PLACEMENTS WITH LICENSED FINANCE COMPANIES

	2016 Rs.	2015 Rs.
Saving Deposits	20,517	1,123,961
Term Deposits	-	953,404,110
Total	20,517	954,528,071

20. FINANCIAL INVESTMENTS - HELD FOR TRADING

	2016 Rs.	2015 Rs.
Investment in Equity Securities - Quoted (20.1)	45,181,589	59,474,357
	45,181,589	59,474,357

20.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares 2016	2015	Carrying Value 2016 Rs.	Carrying Value 2015 Rs.
Access Engineering PLC	-	406,215	-	9,383,567
Amāna Takaful PLC	4,522,886	3,718,072	4,070,597	5,577,108
Bairaha Farms PLC	25,843	-	4,690,505	-
C.W. Mackie PLC	258,813	253,922	14,157,071	14,702,084
Chevron Lubricants Lanka PLC	-	16,000	-	5,504,000
Dankotuwa Porcelain PLC	225,000	225,000	1,597,500	1,912,500
Dipped Products PLC	30,000	30,000	2,604,000	3,300,000
Expolanka Holdings PLC	617,139	395,951	3,887,976	3,207,203
Renuka Agri Foods PLC	554,600	25,000	1,608,340	102,500
Lanka IOC PLC	368,000	-	11,665,600	-
Panasian Power PLC	300,000	100,000	900,000	350,000
Tokyo Cement Company (Lanka) PLC	-	25,039	-	1,226,911
Tokyo Cement Company (Lanka) PLC - Non voting	-	266,245	-	10,516,678
United Motors Lanka PLC	-	40,172	-	3,691,807
Total Carrying Value			45,181,589	59,474,357

21. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

Summary	2016 Rs.	2015 Rs.
Gross Financing and Receivables to Other Customers	38,732,202,095	33,287,572,358
Less: Individual Impairment	(85,923,164)	(47,189,934)
Less: Collective Impairment	(194,616,482)	(166,786,229)
Total	38,451,662,449	33,073,596,195

NOTES TO THE FINANCIAL STATEMENTS

21.1 By Product

Summary	2016 Rs.	2015 Rs.
Overdraft	2,170,215,391	701,251,591
Trade Finance	2,708,831,633	2,401,645,476
Lease Receivables	6,081,726,045	6,122,478,332
Staff Facilities	611,367,628	401,481,712
Term Financing:		
- Short Term	9,131,049,658	7,832,809,071
- Long Term	16,319,833,131	15,105,539,763
Gold Facilities	710,271,972	230,435,099
Others	998,906,636	491,931,315
	38,732,202,095	33,287,572,358
Less: Individual Impairment	(85,923,164)	(47,189,934)
Less: Collective Impairment	(194,616,482)	(166,786,229)
Total	38,451,662,449	33,073,596,195

21.2 By Currency

	2016 Rs.	2015 Rs.
Sri Lanka Rupees	35,811,758,460	29,572,347,798
United States Dollars	2,916,449,183	3,688,985,331
Others	3,994,452	26,239,230
	38,732,202,095	33,287,572,358
Less: Individual Impairment	(85,923,164)	(47,189,934)
Less: Collective Impairment	(194,616,482)	(166,786,229)
Total	38,451,662,449	33,073,596,195

21.3 By Industry

Agriculture and Fishing	6,160,408,026	5,117,272,093
Manufacturing	6,592,654,957	5,179,482,411
Tourism	881,087,317	572,752,682
Transport	591,201,547	1,543,985,881
Construction	4,967,031,651	4,400,963,523
Trading	8,851,862,984	6,780,077,639
New Economy	293,950,069	125,608,670
Financial and Business Services	629,427,568	390,683,375
Infrastructure	380,881,207	593,702,229
Services	2,144,168,044	2,003,147,254
Consumers	7,239,528,725	6,579,896,600
	38,732,202,095	33,287,572,358
Less: Individual Impairment	(85,923,164)	(47,189,934)
Less: Collective Impairment	(194,616,482)	(166,786,229)
Total	38,451,662,449	33,073,596,195

21.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, is as follows:

	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
As at 1 January 2015	53,948,775	163,713,454	217,662,229
Charge/(Write Back) for the year	(255,420)	3,072,775	2,817,355
Amounts Written Off	(6,503,421)	-	(6,503,421)
As at 31 December 2015	47,189,934	166,786,229	213,976,163
Charge/(Write Back) for the year	40,155,565	27,830,253	67,985,818
Amounts Written Off	(1,422,335)	-	(1,422,335)
As at 31 December 2016	85,923,164	194,616,482	280,539,646

22. FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

	2016 Rs.	2015 Rs.
Investments in Securities		
Equities - Quoted (22.1)	391,782,149	429,063,080
Equities - Unquoted (22.2)	2,993,000	2,993,000
	394,775,149	432,056,080

22.1 Investment in Equity - Quoted

	No. of Ordinary Shares 2016	No. of Ordinary Shares 2015	Carrying Value 2016 Rs.	Carrying Value 2015 Rs.
Access Engineering PLC	700,000	900,000	17,360,000	20,790,000
Amāna Takaful PLC	270,091,800	225,076,500	243,082,620	337,614,750
C.W. Mackie PLC	634,658	634,658	34,715,793	36,746,698
Chevron Lubricants Lanka PLC	112,600	50,000	17,689,460	17,200,000
Dialog Axiata PLC	2,325,000	750,000	24,412,500	8,025,000
Expolanka Holdings PLC	3,912,959	-	24,651,642	-
Haycarb PLC	-	1,000	-	164,900
Kelani Tyres PLC	-	2,000	-	155,000
Textured Jersey Lanka PLC	515,200	-	22,050,560	-
Lanka IOC PLC	-	57,258	-	2,124,272
Vallibel Power Erathna PLC	888,588	701,400	7,819,574	6,242,460
Total			391,782,149	429,063,080

NOTES TO THE FINANCIAL STATEMENTS

22.2 Investment in Equity - Unquoted

	No. of Ordinary Shares 2016	2015	Carrying Value 2016 Rs.	Carrying Value 2015 Rs.
Lanka Clear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted Available for Sale investments are recorded at cost and the Bank intends to hold them for the long term.

23. OTHER FINANCIAL ASSETS

	2016 Rs.	2015 Rs.
Deposits, Prepayments and Advances	96,535,011	34,769,920
Pre-paid Staff Costs	144,539,265	119,976,288
Other Receivables	66,247,448	161,002,975
Total	307,321,725	315,749,183

24. OTHER NON - FINANCIAL ASSETS

	2016 Rs.	2015 Rs.
Stationery Stock	6,223,554	9,591,712
Prepayments & Advances	146,675,090	143,284,319
Tax Receivables	74,160,117	104,340,867
Total	227,058,761	257,216,898

25. PROPERTY, PLANT AND EQUIPMENT

	Freehold Land and Building	Improvements to Leasehold Premises	Furniture and Fittings	Office Equipment	Computer Equipment	Motor Vehicles	Computer Servers	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost or Valuation:								
As at 1 January 2015	358,971,300	155,699,965	111,401,177	296,785,069	169,322,814	16,976,047	87,011,479	1,196,167,850
Additions	4,384,600	28,021,828	17,667,791	19,620,982	13,260,522	8,278,520	3,821,862	95,056,105
Revaluation (Note 25.5)	533,340,869	-	-	-	-	-	-	533,340,869
Transfer*	(4,696,769)	-	-	-	-	-	-	(4,696,769)
Disposals	-	-	-	-	-	(2,423,021)	-	(2,423,021)
As at 31 December 2015	892,000,000	183,721,794	129,068,967	316,406,051	182,583,336	22,831,545	90,833,341	1,817,445,034
Additions	278,542	40,438,046	20,546,302	44,020,047	22,078,570	233,100	10,884,463	138,479,069
Revaluation (Note 25.5)	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-
As at 31 December 2016	892,278,542	224,159,839	149,615,269	360,426,097	204,661,905	23,064,645	101,717,804	1,955,924,103
Depreciation								
As at 1 January 2015	3,185,314	79,562,221	40,826,330	147,374,694	72,323,101	7,159,803	50,906,918	401,338,382
Disposals	-	-	-	-	-	(1,747,222)	-	(1,747,222)
Transfer*	(4,696,769)	-	-	-	-	-	-	(4,696,769)
Depreciation Charge for the Year	1,511,454	24,366,482	21,807,381	54,042,592	31,876,010	1,369,703	15,844,571	150,818,192
As at 31 December 2015	-	103,928,704	62,633,710	201,417,286	104,199,111	6,782,283	66,751,489	545,712,582
Disposals	-	-	-	-	-	-	-	-
Depreciation Charge for the Year	2,382,530	27,347,509	25,968,993	54,771,369	33,756,717	1,620,473	16,773,051	162,620,642
Transfer*	-	-	-	-	-	-	-	-
As at 31 December 2016	2,382,530	131,276,212	88,602,703	256,188,655	137,955,827	8,402,756	83,524,539	708,333,224
Net Book Value:								
As at 31 December 2016	889,896,012	92,883,627	61,012,566	104,237,442	66,706,078	14,661,889	18,193,264	1,247,590,879
As at 31 December 2015	892,000,000	79,793,090	66,435,257	114,988,764	78,384,225	16,049,262	24,081,853	1,271,732,452

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

25.1 During the year, the Bank acquired Property Plant and Equipment to the aggregate value of Rs.138,479,069/- (2015 - Rs.95,056,105/-). Cash payments amounting to Rs.181,573,000/- (2015 - Rs.79,158,094/-) were made during the year for purchase of Property Plant and Equipment.

25.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs.273,800,018/- (2015 - LKR 84,451,467/-) which are still in use at the date of the Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

25.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

25.4 No assets have been pledged by the Bank.

25.5 The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 31 December 2015 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consist of Office properties in Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation methods, assumptions and measurement hierarchy

Fair value of the land and building is determined at LKR 892,000,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building during the year.

Key valuation assumptions used are:

Significant unobservable valuation input:

Landing : Price per perch LKR 11,500,000

Building : Price per square foot LKR 3,000 - LKR 3,600

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of fair value of revalued land and buildings:

	Rs.
As at 1 January 2015	533,340,869
Level 3 Revaluation Recognised due to Change in Accounting Policy to Revaluation Model	-
As at 31 December 2016	533,340,869

If Freehold Land and Buildings were measured using the cost model, the carrying amounts would be as follows:

	Cost Rs.	2016 Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	2015 Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	63,056,198	(6,247,699)	56,808,500	63,056,198	(4,696,769)	58,359,429
Net Carrying Amount	363,355,900	(6,247,699)	357,108,201	363,355,900	(4,696,769)	358,659,131

25.6 The details of the Land and Building owned by the Bank are as follows;

	Extent		2016 Valuation		2015 Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road Colombo - 03	70.80	22,718	813,850,000	78,150,000	813,850,000	78,150,000

26. INTANGIBLE ASSETS

	Computer Software Rs.	Total Rs.
Cost:		
As at 1 January 2016	383,930,986	383,930,986
Additions	111,508,143	111,508,143
Disposal	(54,498,329)	(54,498,329)
As at 31 December 2016	440,940,800	440,940,800
Amortisation		
As at 1 January 2016	147,428,039	147,428,039
Amortisation charge for the year	78,634,792	78,634,792
Disposal	(54,498,329)	(54,498,329)
As at 31 December 2016	171,564,503	171,564,503
Net Book Value:		
As At 31 December 2016	269,376,298	269,376,298
As at 31 December 2015	236,502,947	236,502,947

NOTES TO THE FINANCIAL STATEMENTS

27. DEFERRED TAX

	Statement of Financial Position		Statement of Profit or Loss		Statement of Comprehensive Income	
	2016	2015	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liability						
Capital Allowances for Tax Purposes	333,283,796	325,209,855	(8,073,942)	(119,345,117)	-	(5,541,360)
	333,283,796	325,209,855				
Deferred Tax Assets						
Defined Benefit Plans	(23,129,765)	(20,739,790)	4,986,995	4,500,106	(2,597,021)	(57,039)
Unused Tax Losses	(456,509,591)	(450,173,058)	6,336,534	104,720,369	-	-
	(479,639,356)	(470,912,848)				
Deferred Income						
Tax Income / (Expense)			3,249,587	(10,124,642)	(2,597,021)	(5,598,398)
Net Deferred Tax Liability / (Asset)	(146,355,559)	(145,702,993)				

Deferred tax assets have been recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

28. DUE TO BANKS

	2016 Rs.	2015 Rs.
Balances Due to Banks	751,963,513	2,955,277,882
Total	751,963,513	2,955,277,882

29. DERIVATIVE FINANCIAL LIABILITIES

	2016 Rs.	2015 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	98,341,433	67,405,185
Total	98,341,433	67,405,185

30. DUE TO OTHER CUSTOMERS

	2016	2015
	Rs.	Rs.
30.1 Total Amount Due to Other Customers	46,915,289,690	38,467,460,755

30.2 By Product

Demand Deposits	2,863,712,363	2,996,262,929
Savings Deposits	19,002,309,432	16,075,778,348
Time Deposits	25,049,267,895	19,395,419,478
Total	46,915,289,690	38,467,460,755

30.3 By Currency

Sri Lanka Rupees	41,507,697,806	34,133,568,205
United States Dollars	4,721,110,066	3,639,797,855
Others	686,481,818	694,094,695
Total	46,915,289,690	38,467,460,755

31. OTHER FINANCIAL LIABILITIES

	2016	2015
	Rs.	Rs.
Accrued Expenses	100,098,418	145,693,105
Balances Held in Margin	97,845,342	58,132,143
Cheques Pending Realisation	281,245,863	106,049,240
Other Liabilities	82,653,812	26,946,689
Sundry Creditors	4,721,684	4,776,506
Total	566,565,119	341,597,683

32. OTHER NON - FINANCIAL LIABILITIES

	2016	2015
	Rs.	Rs.
Statutory Payable	112,175,024	113,063,448
Total	112,175,024	113,063,448

NOTES TO THE FINANCIAL STATEMENTS

33. RETIREMENT BENEFIT LIABILITY - GRATUITY

	Note	2016 Rs.	2015 Rs.
At 1 January		74,070,679	58,202,580
Expenses recognised in the Statement of Profit or Loss	33.1	23,308,637	20,548,878
Actuarial Gain	33.2	(9,275,074)	(203,709)
Benefits paid		(5,497,940)	(4,477,070)
At 31 December		82,606,302	74,070,679

33.1 Expenses Recognised in the Statement of Profit or Loss

Current Service Cost	15,793,176	15,601,659
Finance Cost	7,515,461	4,947,219
Components Recognised in the Statement of Profit or Loss	23,308,637	20,548,878

33.2 Expenses Recognised in the Statement of Comprehensive Income

Recognition of Actuarial Gain	(9,275,074)	(203,709)
Components Recognised in Statement of Comprehensive Income	(9,275,074)	(203,709)

As at 31 December 2016 the gratuity liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs. Piya S Goonetilleke & Associates, a firm of professional actuaries.

Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

	2016	2015
Discount Rate	12.50%	10.19%
Salary Increment Rate	9.0%	9.0%
Age of Retirement	55	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

33.3 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Statement Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (Decrease) in Discount Rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in Results for the Year (LKR Mn.)		Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in the Liability (LKR Mn.)	
		2016	2015	2016	2015
1%	-	5.21	5.75	(5.21)	(5.75)
(1%)	-	(5.99)	(6.70)	5.99	6.70
	1%	(5.92)	(6.95)	5.92	6.95
	(1%)	5.24	7.96	(5.24)	(7.96)

33.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2016 Rs.	2015 Rs.
Less than 1 Year	16,835,071	10,901,251
Between 1 and 2 Years	26,466,899	28,423,336
Between 2 and 5 Years	36,619,669	21,973,155
Beyond 5 Years	128,917,890	67,809,218
Total expected payments	208,839,529	129,106,960

34. STATED CAPITAL

	2016		2015	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	1,250,695,267	5,866,808,141	1,250,695,267	5,866,808,141
Total	1,250,695,267	5,866,808,141	1,250,695,267	5,866,808,141

NOTES TO THE FINANCIAL STATEMENTS

35. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the Reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

35.1 Statutory Reserve Fund

	2016 Rs.	2015 Rs.
Balance as at 1 January	15,231,195	7,299,733
Transfers During the Year	2,032,018	7,931,462
Balance as at 31 December	17,263,212	15,231,195

36. OTHER RESERVES

	Revenue Reserve Rs.	Available for Sale Reserve Rs.	Total Rs.
As at 1 January 2015	(216,926,328)	(54,780,969)	(271,707,297)
Transferred During the Year	-	-	-
Net Gain on Financial Investments - Available for Sale	-	10,182,244	10,182,244
As at 31 December 2015	(216,926,328)	(44,598,725)	(261,525,053)
Reclassifying to Profit or Loss as Impairment	-	23,149,267	23,149,267
Net Gain/(Loss) on Financial Investments - Available for Sale	-	(5,418,752)	(5,418,752)
As at 31 December 2016	(216,926,328)	(26,868,210)	(243,794,538)

36.1 Revenue Reserve

Revenue Reserve includes expenses incurred on issuance of Ordinary Shares.

36.2 Available for Sale Reserve

The Available for Sale Reserve comprises of the cumulative changes in fair value of Financial Investment - Available for Sale, until such investments are de-recognised or impaired.

37. REVALUATION RESERVE

	2016 Rs.	2015 Rs.
As at 1 January	527,799,509	-
Revaluation of Freehold Land and Building (Note 25.5)	-	533,340,869
Deferred Tax Effect on Revaluation Surplus	-	(5,541,360)
Transferred to Retained Earnings	(891,449)	-
As at 31 December	526,908,060	527,799,509

38. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivatives financial instruments and off-balance sheet instruments. 'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

38.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Investments - Held for Trading, Financial Investments - Available for Sale:

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- ✦ Level 1: Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- ✦ Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ✦ Level 3: Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

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The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2016	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	59,483,044	-	59,483,044
Financial Investments - Held for Trading	45,181,589	-	-	45,181,589
Financial Investments - Available for Sale	391,782,149	-	-	391,782,149
	436,963,738	59,483,044	-	496,446,782

Financial Liabilities				
Derivative Financial Liabilities	-	98,341,433	-	98,341,433
	-	98,341,433	-	98,341,433

31 December 2015	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	61,037,310	-	61,037,310
Financial Investments - Held for Trading	59,474,357	-	-	59,474,357
Financial Investments - Available for Sale	429,063,080	-	-	429,063,080
	488,537,437	61,037,310	-	549,574,747

Financial Liabilities				
Derivative Financial Liabilities	-	67,405,185	-	67,405,185
	-	67,405,185	-	67,405,185

38.2 Financial Instruments not Carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	2016		2015	
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Financial Assets				
Cash and Cash Equivalents	5,686,924,056	5,686,924,056	5,016,458,817	5,016,458,817
Balance with Central Bank of Sri Lanka	2,816,770,223	2,816,770,223	2,292,887,937	2,292,887,937
Placements with Banks	4,662,466,350	4,663,568,063	3,624,928,993	3,631,942,856
Placements with Licensed Finance Companies	20,517	20,517	954,528,071	1,021,171,907
Financing and Receivables to Other Customers	38,451,662,449	36,986,568,147	33,073,596,195	29,067,929,001
Other Financial Assets	307,321,725	307,321,725	315,749,183	315,749,183
	51,925,165,320	50,461,172,731	45,278,149,196	41,346,139,700
Financial Liabilities				
Due to Other Customers	46,915,289,690	46,915,289,690	38,467,460,755	38,467,460,755
Other Financial Liabilities	566,565,119	566,565,119	341,597,683	341,597,683
	47,481,854,809	47,481,854,809	38,809,058,438	38,809,058,438

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates of financing as of the reporting date with similar credit risks and maturities (Level 3).

Due to Other Customers

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

39. RISK MANAGEMENT

39.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

39.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee (BIRMC)

The Board Integrated Risk Management Committee (BIRMC) is a subcommittee of the Board which meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner. The BIRMC is commissioned and officiated by the Board of Directors. BIRMC functions as an overall supervisory body comprising of 3 Directors.

Assets and Liabilities Committee (ALCO)

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

NOTES TO THE FINANCIAL STATEMENTS

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

39.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3)

b) Credit related commitment risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amount under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and other credit enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment losses.

d) Credit Quality by class of financial assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Financial Assets as at 31 December 2016	Neither Past Due Nor Impaired				Past Due But Not Impaired*	Individually Impaired	Total
	High	Standard	Sub-Standard	Un-Rated			
	Grade Rs.	Grade Rs.	Grade Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	-	2,816,770,223
Derivative Financial Assets	59,241,244	241,799	-	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	-	4,662,466,350
Placements with Licensed Finance Companies	20,517	-	-	-	-	-	20,517
Financial Investments - Held for Trading	-	45,181,589	-	-	-	-	45,181,589
Financing and Receivables to Other Customers	16,392,603,170	22,001,298,845	23,203,400	-	214,810,736	100,285,943	38,732,202,095
Financial Investments - Available for Sale	24,412,500	367,369,649	-	2,993,000	-	-	394,775,149
Other Financial Assets	-	-	-	307,321,725	-	-	307,321,725
Total	29,642,438,060	22,414,091,883	23,203,400	310,314,725	214,810,736	100,285,943	52,705,144,747

Financial Assets as at 31 December 2015	Neither Past Due Nor Impaired				Past Due But Not Impaired*	Individually Impaired	Total
	High	Standard	Sub-Standard	Un-Rated			
	Grade Rs.	Grade Rs.	Grade Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,016,458,817	-	-	-	-	-	5,016,458,817
Balance with Central Bank of Sri Lanka	2,292,887,937	-	-	-	-	-	2,292,887,937
Derivative Financial Assets	60,779,845	257,465	-	-	-	-	61,037,310
Placements with Banks	3,624,928,993	-	-	-	-	-	3,624,928,993
Placements with Licensed Finance Companies	954,528,071	-	-	-	-	-	954,528,071
Financial Investments - Held for Trading	21,127,155	38,347,202	-	-	-	-	59,474,357
Financing and Receivables to Other Customers	10,242,611,789	21,314,456,512	883,670,951	547,780,623	159,926,960	139,125,522	33,287,572,358
Financial Investments - Available for Sale	30,939,272	398,123,808	-	2,993,000	-	-	432,056,080
Other Financial Assets	144,200,000	-	-	171,549,183	-	-	315,749,183
Total	22,388,461,879	21,751,184,988	883,670,951	722,322,806	159,926,960	139,125,522	46,044,693,106

*** Age Analysis of Past due but not Impaired Financing by Class of Financial Assets**

Past Due But Not Impaired	Past Due But Not Impaired				Total
	Less than 30	30 to 59	60 to 89	More than 89	
	days Rs.	days Rs.	days Rs.	days Rs.	
Financing and Receivables to Other Customers - 31 December 2016	11,902,029	24,965,308	13,362,485	164,580,915	214,810,736
Financing and Receivables to Other Customers - 31 December 2015	18,113,880	7,240,041	11,204,295	123,368,744	159,926,960

NOTES TO THE FINANCIAL STATEMENTS

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The Concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2016	Government Rs.	Banks, Financial and Business Services Rs.	Agriculture and Fishing Rs.	Manufacturing Rs.	Tourism Rs.	Transport Rs.
Cash and Cash Equivalents	-	5,686,924,056	-	-	-	-
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	-
Derivative Financial Assets	-	59,241,244	-	-	-	-
Placements with Banks	-	4,662,466,350	-	-	-	-
Placements with Licensed Finance Companies	-	20,517	-	-	-	-
Financial Investments - Held for Trading	-	4,070,597	-	14,388,320	-	-
Financing and Receivables to Other Customers	-	629,427,568	6,160,408,026	6,592,654,957	881,087,317	591,201,547
Financial Investments - Available for Sale	-	246,075,620	-	46,702,202	-	-
Other Financial Assets	63,272,411	66,488,834	-	-	-	-
Total	2,880,042,634	11,354,714,786	6,160,408,026	6,653,745,479	881,087,317	591,201,547

Financial Assets as at 31 December 2015	Government Rs.	Banks, Financial and Business Services Rs.	Agriculture and Fishing Rs.	Manufacturing Rs.	Tourism Rs.	Transport Rs.
Cash and Cash Equivalents	-	5,016,458,817	-	-	-	-
Balance with Central Bank of Sri Lanka	2,292,887,937	-	-	-	-	-
Derivative Financial Assets	-	60,779,845	-	-	-	-
Placements with Banks	-	3,624,928,993	-	-	-	-
Placements with Licensed Finance Companies	-	954,528,071	-	-	-	-
Financial Investments - Held for Trading	-	5,577,108	102,500	25,667,292	-	3,691,807
Financing and Receivables to Other Customers	-	390,683,375	5,117,272,093	5,179,482,411	572,752,682	1,543,985,881
Financial Investments - Available for Sale	-	340,607,750	-	17,519,900	-	-
Other Financial Assets	13,719,600	157,811,775	-	-	-	-
Total	2,306,607,537	10,551,375,734	5,117,374,593	5,222,669,602	572,752,682	1,547,677,688

Construction	Trading	New Economy	Infrastructure	Services	Consumers	Other Customers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	5,686,924,056
-	-	-	-	-	-	-	2,816,770,223
-	241,799	-	-	-	-	-	59,483,044
-	-	-	-	-	-	-	4,662,466,350
-	-	-	-	-	-	-	20,517
-	14,157,071	-	12,565,600	-	-	-	45,181,589
4,967,031,651	8,851,862,984	293,950,069	380,881,207	2,144,168,044	7,239,528,725	-	38,732,202,095
17,360,000	34,715,793	-	49,921,535	-	-	-	394,775,149
-	-	-	-	31,993,470	145,567,009	-	307,321,725
4,984,391,651	8,900,977,648	293,950,069	443,368,341	2,176,161,515	7,385,095,734	-	52,705,144,747

Construction	Trading	New Economy	Infrastructure	Services	Consumers	Other Customers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	5,016,458,817
-	-	-	-	-	-	-	2,292,887,937
-	257,465	-	-	-	-	-	61,037,310
-	-	-	-	-	-	-	3,624,928,993
-	-	-	-	-	-	-	954,528,071
9,383,567	14,702,084	-	350,000	-	-	-	59,474,357
4,400,963,523	6,780,077,639	96,499,604	593,702,229	2,003,147,254	6,579,896,600	29,109,066	33,287,572,358
20,790,000	36,746,698	-	16,391,732	-	-	-	432,056,080
-	-	-	-	23,986,520	120,231,288	-	315,749,183
4,431,137,090	6,831,783,887	96,499,604	610,443,961	2,027,133,774	6,700,127,888	29,109,066	46,044,693,106

NOTES TO THE FINANCIAL STATEMENTS

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Financial Assets as at 31 December	Maximum Exposure to Credit Risk Rs.	2016 Net Exposure Rs.	Maximum Exposure to Credit Risk Rs.	2015 Net Exposure Rs.
Financing and Receivables to Other Customers	38,732,202,095	7,770,482,486	33,287,572,358	12,091,316,939
Total	38,732,202,095	7,770,482,486	33,287,572,358	12,091,316,939

39.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Assets and Liabilities Management policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2016, the minimum cash reserve requirement was 7.5% (2015 - 6%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly cash and cash equivalents and placements with banks. Adequate liquid assets are maintained due to the Bank's operational business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity ratios

		2016	2015
Financing and Receivables to Other Customers to Due to Other Customers Ratio (Net)	Year End	81.96%	85.98%
Statutory Liquid Assets ratio	Year End	22.59%	24.39%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2016	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056
Balance with						
Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	2,816,770,223
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350
Placements with Licensed Finance Companies	20,517	-	-	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589
Financing and Receivables to Other Customers	10,626,744,114	10,481,199,783	17,142,151,316	2,553,769,482	1,642,196,859	42,446,061,554
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725
Total Undiscounted Financial Assets	24,179,185,403	10,486,384,012	17,311,392,830	2,553,769,482	1,888,272,479	56,419,004,206
Financial Liabilities						
Due to Banks	751,963,513	-	-	-	-	751,963,513
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433
Due to Other Customers	29,865,083,824	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	46,915,289,690
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119
Total Undiscounted Financial Liabilities	31,267,460,959	14,303,770,002	1,020,288,143	618,252,249	1,122,388,402	48,332,159,754
Total Net Financial Assets/(Liabilities)	(7,088,275,555)	(3,817,385,990)	16,291,104,687	1,935,517,233	765,884,077	8,086,844,452

NOTES TO THE FINANCIAL STATEMENTS

Statement of Financial Position as at 31 December 2015	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,016,458,817	-	-	-	-	5,016,458,817
Balance with Central Bank of Sri Lanka	2,292,887,937	-	-	-	-	2,292,887,937
Derivative Financial Assets	5,024,461	56,012,849	-	-	-	61,037,310
Placements with Banks	2,177,148,977	1,447,780,016	-	-	-	3,624,928,993
Placements with Licensed Finance Companies	4,528,071	950,000,000	-	-	-	954,528,071
Financial Investments - Held for Trading	59,474,357	-	-	-	-	59,474,357
Financing and Receivables to Other Customers	11,742,424,705	7,319,602,523	11,755,835,035	6,181,026,651	1,953,024,896	38,951,913,809
Financial Investments - Available for Sale	-	-	91,448,330	-	340,607,750	432,056,080
Other Financial Assets	292,886,549	2,318,000	5,520,000	15,024,634	-	315,749,183
Total Undiscounted Financial Assets	21,590,833,873	9,775,713,389	11,852,803,365	6,196,051,285	2,293,632,646	51,709,034,557
Financial Liabilities						
Due to Banks	2,955,277,882	-	-	-	-	2,955,277,882
Derivative Financial Liabilities	22,273,016	45,132,169	-	-	-	67,405,185
Due to Other Customers	26,670,594,705	9,540,459,449	723,830,775	765,951,691	766,624,134	38,467,460,755
Other Financial Liabilities	335,333,377	-	6,264,306	-	-	341,597,683
Total Undiscounted Financial Liabilities	29,983,478,980	9,585,591,618	730,095,082	765,951,691	766,624,134	41,831,741,505
Total Net Financial Assets/(Liabilities)	(8,392,645,107)	190,121,771	11,122,708,283	5,430,099,594	1,527,008,511	9,877,293,052

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2016	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,848,778,260	362,878,223	-	-	-	2,211,656,483
Letters of Credit	1,056,311,965	121,784,705	-	-	-	1,178,096,670
Guarantees, Bonds	624,195,217	959,979,896	188,218,453	-	-	1,772,393,566
Outward Clearing Receivable	335,121,313	-	-	-	-	335,121,313
Promissory Forward Sales	8,291,504,269	3,391,674,911	-	-	-	11,683,179,180
Promissory Forward Purchases	5,713,975,756	-	-	-	-	5,713,975,756
Commitments for Unutilised Facilities	1,149,707,528	1,724,561,291	-	-	-	2,874,268,819
Bills for Collection	412,729,172	9,703,532	-	-	-	422,432,703
Total	19,432,323,479	6,570,582,559	188,218,453	-	-	26,191,124,490

As at 31 December 2015	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,165,582,663	246,996,797	-	-	-	1,412,579,459
Letters of Credit	604,000,807	128,448,176	-	-	-	732,448,984
Guarantees, Bonds	546,201,351	765,500,630	162,860,600	750,000	-	1,475,312,580
Outward Clearing Receivable	140,539,847	-	-	-	-	140,539,847
Promissory Forward Sales	2,978,983,982	4,477,541,519	-	-	-	7,456,525,501
Promissory Forward Purchases	3,054,963,696	-	-	-	-	3,054,963,696
Commitments for						
Unutilised Facilities	1,566,677,531	2,350,016,296	-	-	-	3,916,693,827
Bills for Collection	223,043,411	1,035,277	-	-	-	224,078,688
Total	10,279,993,287	7,969,538,696	162,860,600	750,000	-	18,413,142,582

39.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at the ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of Due to Other Customers (customer deposits) have been accepted on the Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2016

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,686,924,056	5,686,924,056
Balance with Central Bank of Sri Lanka	-	-	-	-	-	2,816,770,223	2,816,770,223
Derivative Financial Assets	-	-	-	-	-	59,483,044	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	-	4,662,466,350
Placements with Licensed Finance Companies	20,517	-	-	-	-	-	20,517
Financial Investments - Held for Trading	-	-	-	-	-	45,181,589	45,181,589
Financing and Receivables to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	-	38,451,662,449
Financial Investments - Available for Sale	-	-	-	-	-	394,775,149	394,775,149
Other Financial Assets	-	-	-	-	-	307,321,725	307,321,725
Total Assets	17,861,779,311	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	9,310,455,786	52,424,605,102
Derivative Financial Liabilities	-	-	-	-	-	98,341,433	98,341,433
Due to Other Customers	27,001,371,461	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	2,863,712,363	46,915,289,690
Other Financial Liabilities	-	-	-	-	-	566,565,119	566,565,119
Total Liabilities	27,001,371,461	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	3,528,618,915	47,580,196,242
Rate Sensitivity Gap	(9,139,592,150)	(5,742,106,850)	9,646,955,791	3,513,411,093	783,904,104	5,781,836,871	

NOTES TO THE FINANCIAL STATEMENTS

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2015

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,016,458,817	5,016,458,817
Balance with Central Bank of Sri Lanka	-	-	-	-	-	2,292,887,937	2,292,887,937
Derivative Financial Assets	-	-	-	-	-	61,037,310	61,037,310
Placements with Banks	2,177,148,977	1,447,780,016	-	-	-	-	3,624,928,993
Placements with Licensed Finance Companies	4,528,071	950,000,000	-	-	-	-	954,528,071
Financial Investments - Held for Trading	-	-	-	-	-	59,474,357	59,474,357
Financing and Receivables to Other Customers	11,050,028,485	6,073,585,917	9,848,252,079	4,673,074,205	1,428,655,508	-	33,073,596,195
Financial Investments - Available for Sale	-	-	-	-	-	432,056,080	432,056,080
Other Financial Assets	-	-	-	-	-	315,749,183	315,749,183
Total Assets	13,231,705,533	8,471,365,934	9,848,252,079	4,673,074,205	1,428,655,508	8,177,663,684	45,830,716,943
Derivative Financial Liabilities	-	-	-	-	-	67,405,185	67,405,185
Due to Other Customers	23,533,791,929	9,540,459,449	723,830,775	765,951,691	766,624,134	3,136,802,776	38,467,460,755
Other Financial Liabilities	-	-	-	-	-	341,597,683	341,597,683
Total Liabilities	23,533,791,929	9,540,459,449	723,830,775	765,951,691	766,624,134	3,545,805,645	38,876,463,623
Rate Sensitivity Gap	(10,302,086,395)	(1,069,093,515)	9,124,421,304	3,907,122,513	662,031,374	4,631,858,039	

39.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

39.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the risk management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2016. and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2016		2015	
	5%	5%	5%	5%
	Appreciation Rs.	Depreciation Rs.	Appreciation Rs.	Depreciation Rs.
Australian Dollars	(108,025)	108,025	40,605	(40,605)
Great Britain Pounds	(50,176)	50,176	(641)	641
Japanese Yen	2,528	(2,528)	37,577	(37,577)
United States Dollars	(8,907,940)	8,907,940	2,223,441	(2,223,441)
Other Currencies	1,864,784	(1,864,802)	2,084,048	(2,084,048)
Total	(7,198,828)	7,198,828	4,385,030	(4,385,030)

39.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the BIRMC, ALCO and the Equity Investment Committee (EIC). The Bank engages in transactions only in Sharia compliant equities which are listed in the published "White List" of stocks.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

NOTES TO THE FINANCIAL STATEMENTS

40. MATURITY ANALYSIS

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total As at 31.12.2016 Rs.
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056
Balances with Central Bank of Sri Lanka	920,034,577	984,485,117	294,297,355	272,636,532	345,316,641	2,816,770,223
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350
Balances with Licensed Finance Companies	20,517	-	-	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589
Financing and Receivables to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	38,451,662,449
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725
Other Non Financial Assets	73,021,430	52,056,988	101,980,343	-	-	227,058,761
Property, Plant and Equipment	-	-	-	-	1,247,590,879	1,247,590,879
Intangible Assets	-	-	-	-	269,376,298	269,376,298
Deferred Tax Assets	-	-	-	-	146,355,559	146,355,559
Total Assets	24,928,019,518	9,593,675,490	11,227,984,213	4,404,299,874	4,161,007,504	54,314,986,599
Liabilities						
Due to Banks	751,963,513	-	-	-	-	751,963,513
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433
Due to Customers	12,452,020,203	17,995,746,263	5,319,462,669	4,922,205,708	6,225,854,848	46,915,289,690
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119
Other Non Financial Liabilities	50,755,790	28,896,141	32,523,093	-	-	112,175,024
Deferred Benefit Liabilities	-	-	-	-	82,606,302	82,606,302
Total Liabilities	13,905,153,128	18,034,356,401	5,356,764,694	4,922,205,708	6,308,461,150	48,526,941,081
Maturity Gap	11,022,866,390	(8,440,680,911)	5,871,219,519	(517,905,833)	(2,147,453,646)	5,788,045,518

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total As at 31.12.2015 Rs.
Cash and Cash Equivalents	5,016,458,817	-	-	-	-	5,016,458,817
Balances with Central						
Bank of Sri Lanka	1,111,631,258	561,323,014	193,763,631	195,606,094	230,563,940	2,292,887,937
Derivative Financial Assets	5,024,461	56,012,849	-	-	-	61,037,310
Placements with Banks	2,177,148,977	1,447,780,016	-	-	-	3,624,928,993
Balances with Licensed						
Finance Companies	4,528,071	950,000,000	-	-	-	954,528,071
Financial Investments -						
Held for Trading	59,474,357	-	-	-	-	59,474,357
Financing and Receivables to						
Other Customers	11,050,028,485	6,073,585,917	9,848,252,079	4,673,074,205	1,428,655,508	33,073,596,195
Financial Investments -						
Available for Sale	-	-	91,448,330	-	340,607,750	432,056,080
Other Financial Assets	292,886,549	2,318,000	5,520,000	15,024,634	-	315,749,183
Other Non Financial Assets	91,732,716	32,954,150	132,530,032	-	-	257,216,898
Property, Plant and Equipment	-	-	-	-	1,271,732,452	1,271,732,452
Intangible Assets	-	-	-	-	236,502,947	236,502,947
Deferred Tax Assets	-	-	-	-	145,702,993	145,702,993
Total Assets	19,808,913,691	9,123,973,947	10,271,514,073	4,883,704,933	3,653,765,590	47,741,872,233
Liabilities						
Due to Banks	2,955,277,882	-	-	-	-	2,955,277,882
Derivative Financial Liabilities	22,273,016	45,132,169	-	-	-	67,405,185
Due to Customers	11,563,387,551	12,842,336,070	4,397,604,699	4,439,725,615	5,224,406,820	38,467,460,755
Other Financial Liabilities	335,333,377	-	6,264,306	-	-	341,597,683
Other Non Financial Liabilities	104,340,746	-	8,722,702	-	-	113,063,448
Deferred Benefit Liabilities	-	-	-	-	74,070,679	74,070,679
Total Liabilities	14,980,612,571	12,887,468,239	4,412,591,708	4,439,725,615	5,298,477,499	42,018,875,632
Maturity Gap	4,828,301,120	(3,763,494,293)	5,858,922,365	443,979,318	(1,644,711,909)	5,722,996,600

NOTES TO THE FINANCIAL STATEMENTS

41. COMMITMENTS AND CONTINGENCIES**41.1 Capital Expenditure Commitments**

The Bank does not have significant capital commitments as at the reporting date.

41.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

	2016 Rs.	2015 Rs.
Commitments on Direct Advances and Indirect Advances:		
Commitments for unutilised facilities	2,874,268,819	3,916,693,827
	2,874,268,819	3,916,693,827
Contingent Liabilities:		
Letters of Credit	1,178,096,670	732,448,984
Guarantees, Bonds	1,772,393,566	1,475,312,580
Outward Clearing Cheques (Note 41.2.1)	335,121,313	140,539,847
Acceptances	2,211,656,483	1,412,579,459
Bills for Collection & Other	422,432,703	224,078,688
	5,919,700,735	3,984,959,559
Promissory Forward Foreign Exchange Transactions		
Promissory Forward sales	11,683,179,180	7,456,525,501
Promissory Forward purchases	5,713,975,756	3,054,963,696
	17,397,154,936	10,511,489,196
Total Commitment and Contingencies	26,191,124,490	18,413,142,582

41.2.1 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing house as at the reporting date.

41.3 Future Monthly Commitments on Operating Leases

The Bank has entered into commercial leases for branch premises. These lease agreements have an average life of between two and ten years. There are no restrictions placed upon the lessee by entering into these leases.

Future minimum lease payments under operating leases as at reporting date are as follows:

	2016 Rs.	2015 Rs.
0 - 1 Year	88,691,093	50,216,751
1 - 5 Years	224,038,487	131,670,978
More than 5 Years	98,827,828	10,228,061
	411,557,407	192,115,790

41.4 Lease Receivables

	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
As at 31 December 2016			
0 - 1 Year	2,668,638,715	555,450,294	2,113,188,421
1 - 5 Years	4,569,816,117	603,827,625	3,965,988,492
More than 5 Years	2,784,796	235,663	2,549,133
	7,241,239,627	1,159,513,582	6,081,726,045

	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
As at 31 December 2015			
0 - 1 Year	2,299,845,163	519,938,866	1,779,906,297
1 - 5 Years	5,002,883,115	664,045,161	4,338,837,954
More than 5 Years	4,123,603	389,522	3,734,081
	7,306,851,881	1,184,373,549	6,122,478,332

42. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

42.1 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

42.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Key Management Personnel Compensation	2016 Rs.	2015 Rs.
Short-term Employee Benefits including Director's Emoluments	51,038,547	38,277,805
Total	51,038,547	38,277,805

NOTES TO THE FINANCIAL STATEMENTS

42.3 Transactions, Arrangements and Agreements Involving KMPs & their Close Family Members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

Statement of Financial Position	2016 Rs.	2015 Rs.
Financing and Receivables to Other Customers	71,661,599	67,515,731
Due to Other Customers	113,071,546	180,870,496
Statement of Profit or Loss		
Financing Income	4,136,467	1,328,631
Financing Expenses	8,803,516	8,506,388
Net Fees And Commission Income	4,215,147	-
Commitment and Contingencies		
Letters of Guarantee and Shipping Guarantees & other	-	1,358,323

Terms and Conditions of Transactions with Related Parties

The above-mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

42.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly Controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

Statement of Financial Position	2016 Rs.	2015 Rs.
Due to Other Customers	8,339	206,780
Statement of Profit or Loss		
Financing Expenses	13,094	24,634

43. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

44. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital adequacy requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

As required in the circulars issued by Central Bank of Sri Lanka on "Enhancement of Minimum Capital Requirement of Banks", Licensed Commercial Banks are required to increase core capital up to LKR 10 Billion by 1 January 2018. In this regard, the Central Bank of Sri Lanka has permitted the Bank to increase capital in stages as mentioned below.

- (a) Rs.5.0 Billion by 1st January 2016
- (b) Rs.7.5 Billion by 30th June 2017
- (c) Rs.10.0 Billion by 1st January 2018

Further, the Bank will be permitted by the Central Bank of Sri Lanka to consider any investments on branch expansion upon meeting the minimum capital requirement of LKR 7.5 Billion by 30th June 2017.

Capital Management

The primary objectives of the Bank's capital management policy are to ensure that the Bank complies with externally imposed capital requirements and maintains adequate credit ratings and healthy capital ratios in order to support its business and to maximise shareholder value.

The Bank manages its capital structure and makes adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Bank may adjust the amount of dividend payment to shareholders or issue capital securities. However, these options are under constant review by the Board of Directors.

Regulatory Capital consists of Core (Tier 1) Capital, which comprises Stated Capital, Statutory Reserve Fund, Published Retained Earnings and General and Other Reserves less 50% of Investments in Capital of Other Banks, Financial Institutions, net deferred tax assets and Cost of Intangible Assets. The other component of Regulatory Capital is Supplementary (Tier 2) Capital, which includes Approved Revaluation Surplus and General Provisions less 50% of Investments in Capital of Other Banks and Financial Institutions.

The Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the Central Bank of Sri Lanka and the Bank is required to comply with the Provisions of the Basel II framework in respect of Regulatory Capital. Licensed Commercial Banks in Sri Lanka need to maintain a Core Tier 1 Capital Ratio of at least 5% and minimum Total Capital Adequacy Ratio (CAR) of 10%. As of 31 December 2016, the Bank reported a Tier 1 ratio of 10.42% and a Total Capital Adequacy Ratio of 10.83% which remain above the CBSL's capital requirements.

45. MATERIAL LITIGATION AGAINST THE BANK

As at the Reporting Date, there are no litigation matters pending or threatened against the Bank.

COMPLIANCE WITH OTHER DISCLOSURE REQUIREMENTS SPECIFIED BY THE CENTRAL BANK OF SRI LANKA

The following explains the Other Disclosure Requirements under the Prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1.	Information about the Significance of Financial Instruments for Financial Position and Performance	
1.1	Statement of Financial Position	
1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 14 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 38 to the Financial Statements - Fair Value of Financial Assets and Liabilities
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable
	(iv) Reconciliation of the allowance account for credit losses by class of financial assets.	Note 21.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable
	(vi) Breaches of terms of loan agreements.	None
1.2	Statement of Comprehensive Income	
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 12 to the Financial Statements
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fees and Commission Income
	(iii) Amount of impairment losses by class of financial assets.	Note 9 to the Financial Statements - Impairment on Financial Assets
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income
1.3	Other Disclosures	
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies
1.3.2	Information on hedge accounting.	Not Applicable

1.3.3	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable Carrying Amounts.	Note 38 to the Financial Statements - Fair Value of Financial Assets and Liabilities
	(ii) Description of how fair value was determined.	
	(iii) The level of inputs used in determining fair value.	
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 38.2 to the Financial Statements - Financial Instruments not carried at Fair Value
	(v) Information if fair value cannot be reliably measured.	Note 22.2 to the Financial Statements - Investment in Equity – Unquoted and Note 38.2 to the Financial Statements - Financial Instruments not carried at Fair Value
2.	Information about the Nature and Extent of Risks Arising from Financial Instruments	
2.1	Qualitative Disclosures	
2.1.1	Risk exposures for each type of financial instrument.	Note 39 to the Financial Statements - Risk Management
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 39 to the Financial Statements - Risk Management and Please refer section relating to 'Risk Management' in the Annual Report for additional information
2.1.3	Changes from the prior period.	Not Applicable
2.2	Quantitative Disclosures	
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 39 to the Financial Statements - Risk Management
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 39 to the Financial Statements - Risk Management and Please refer section relating to 'Risk Management' in the Annual Report for additional information
	(i) Credit Risk	Note 39.3 to the Financial Statements - Credit Risk
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	
	(c) Information about collateral or other credit enhancements obtained or called.	
	(d) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	

COMPLIANCE WITH OTHER DISCLOSURE REQUIREMENTS SPECIFIED BY THE CENTRAL BANK OF SRI LANKA

	(ii) Liquidity Risk (a) A maturity analysis of financial liabilities.	Note 39.4 to the Financial Statements - Liquidity Risk and Funding Management
	(b) Description of approach to risk management.	Note 39.4 to the Financial Statements - Liquidity Risk and Funding Management and Please refer section relating to 'Risk Management' in the Annual Report for additional information
	(c) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	Note 39.4 to the Financial Statements - Liquidity Risk and Funding Management and Please refer section relating to 'Risk Management' in the Annual Report for additional information
	(iii) Market Risk (a) A sensitivity analysis of each type of market risk to which the entity is exposed.	Note 39.5 to the Financial Statements - Market Risk
	(b) Additional information, if the sensitivity analysis is not representative of the entity's risk exposure.	
	(c) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	
	(iv) Operational Risk disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	Please refer section relating to 'Risk Management' of the Annual Report
	(v) Equity Risk in the Banking Book (a) Qualitative Disclosures - Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 39.8 to the Financial Statements - Equity Price Risk and Please refer section relating to 'Risk Management' in the Annual Report
	- Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies and Note 22.2 to the Financial Statements - Investment in Equity – Unquoted
	(b) Quantitative Disclosures Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 20 and 22 to the Financial Statements - Financial Investments- Held for Trading and Financial Investments - Available For Sale respectively. Also please refer Notes 7 and 8 to the Financial Statements - Net Trading Income and Net Other Operating Income

	(vi) Rate Risk in the Banking Book (a) Qualitative Disclosures Nature of Rate Risk in the Banking Book and key assumptions. (b) Quantitative Disclosures The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	Notes 39.5, 39.6, 39.7 and 39.8 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively
2.2.3	Information on concentrations of risk	Notes 39.2 and 39.3 to the Financial Statements - Risk Management Structure and Credit Risk respectively. Also please refer section relating to 'Risk Management' in the Annual Report for additional information
3.	Other Disclosures	
3.1	Capital	
3.1.1	Capital Structure	
	(i) Qualitative Disclosures Summary information on the terms and conditions of the main features of all capital instruments, especially in the case of innovative, complex or hybrid capital instruments. (ii) Quantitative Disclosure (a) The amount of Tier 1 capital, with separate disclosure of - Paid-up share capital/common stock - Reserves - Non-controlling interests in the equity of subsidiaries - Innovative instruments - Other capital instruments - Deductions from Tier 1 capital (b) The total amount of Tier 2 and Tier 3 capital (c) Other deductions from capital (d) Total eligible capital	Note 34 to the Financial Statements - Stated Capital and please refer Capital Adequacy Computation on pages 188 to 190 of the Annual Report Note 44 to the Financial Statements - Capital. Also, please refer Capital Adequacy Computation on pages 188 to 190 and section relating to 'Risk Management' of the Annual Report for additional information
3.1.2	Capital Adequacy	
	(i) Qualitative Disclosures A summary discussion of the Bank's approach to assessing the adequacy of its capital to support current and future activities. (ii) Quantitative Disclosures (a) Capital requirements for credit risk, market risk and operational risk (b) Total and Tier 1 Capital Ratio	

CAPITAL ADEQUACY COMPUTATION

Capital Base as at 31 December 2016

	LKR '000
Tier I	
Paid-up Ordinary Shares/Stated Capital	5,866,808
Statutory Reserve Fund	17,263
Published Retained Profits	(379,139)
General and Other Reserves	(216,926)
Core Capital (Tier I)	5,288,006
Deductions/Adjustments - Tier I	
Net Deferred Tax Assets	(146,356)
Other Intangible Assets	(269,376)
50% Investments in the Capital of Other Banks and Financial Institutions	(1,497)
	(417,228)
Eligible Tier I Capital	4,870,777
Tier II	
Revaluation Reserves	-
General Provisions	193,241
Debentures	-
50% Investments in the Capital of Other Banks and Financial Institutions	(1,497)
Eligible Tier II Capital	191,745
Capital Base	5,062,522
Risk Weighted Assets	
Risk Weighted Amount for Credit Risk	42,762,513
Risk Weighted Amount for Market Risk	1,005,460
Risk Weighted Amount for Operational Risk	2,962,960
Total Risk Weighted Amount	46,730,933
Core Capital Adequacy Ratio (Minimum Requirement 5%)	
Eligible Tier I Capital	4,870,777
Total Risk Weighted Assets	46,730,933
Core Capital Adequacy Ratio	10.42%
Total Capital Adequacy Ratio (Minimum Requirement 10%)	
Capital Base	5,062,522
Total Risk Weighted Assets	46,730,933
Total Capital Adequacy Ratio	10.83%

Computation of Risk Weighted Amount for Credit Risk On-Balance Sheet Exposures

As at 31 December 2016	Balance	Risk Weights	Risk-Adjusted Balance
	LKR '000	%	LKR '000
Assets - Exposures			
To Central Government and CBSL	3,151,891	0	0
To Public Sector	216,740	20-150	216,740
To Banks	9,262,844	20-150	3,230,273
To Financial Institutions	17	20-150	8
To Corporates	9,561,857	20-150	9,497,483
To Retail Sector	15,684,202	75-100	14,135,599
Secured on Residential Property Mortgages	6,585,146	50-100	5,782,581
Classified as Non-Performing Advances	224,938	50-150	272,214
Claims Secured by Commercial Real Estate	5,787,015	100	5,787,015
Cash Items	1,077,321	0-20	0
Other Assets	1,074,462	100	1,074,462
Total On-Balance Sheet Exposures	52,626,432		39,996,374

Off-Balance Sheet Exposures

As at 31 December 2016	Amount of Off-Balance Sheet Items	Credit Conversion Factor	Credit Equivalent Amount	Risk Weights	Risk Adjusted Balance
	LKR '000	%	LKR '000	%	LKR '000
Direct Credit Substitutes					
General Guarantees of Indebtedness	1,307,354	100	1,307,354	0-100	1,232,070
Transaction-Related Contingencies					
Performance Bonds, Bid Bonds and Warranties	359,092	50	179,546	0-100	154,779
Others	-	50	-	0-100	-

Short Term Self-Liquidating Trade-Related Contingencies

Shipping Guarantees	105,947	20	21,189	0-100	21,189
Documentary Letters of Credit	1,178,097	20	235,619	0-100	235,155
Trade-Related Acceptances	2,211,656	20	442,331	0-100	440,913
Undrawn Term Financing	2,874,269	0-20	574,854	0-150	573,640
Others	166,189	20	33,238	0-100	33,194
Foreign Exchange Contracts	8,649,439	2-5	240,534	0-100	75,198
Total Off-Balance Sheet Exposures	16,852,044		3,034,666		2,766,139

CAPITAL ADEQUACY COMPUTATION

Computation of Risk Weighted Amount for Market Risk

As at 31 December 2016	Capital Charge	Risk Adjusted Balance
	LKR '000	LKR '000
Rate	-	-
Equity	83,317	833,170
Foreign Exchange and Gold	17,229	172,290
Total Risk Adjusted Balance for Market Risk	100,546	1,005,460

Computation of Risk Weighted Amount for Operational Risk

As at 31 December 2016	Capital Charge	Risk Adjusted Balance
	LKR '000	LKR '000
Average Gross Income	1,975,307	-
15% of Average Gross Income	296,296	-
Total Risk Adjusted Balance for Operational Risk	296,296	2,962,960

FINANCIAL SUMMARY

For the Year ended 31 December	2016	2015	2014	2013	2012	2011
	LKR	LKR	LKR	LKR	LKR	LKR
Operating Results						
Financing Income	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090	352,037,757
Financing Expenses	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273	205,127,217
Net Financing Income	1,924,288,930	1,480,672,767	1,209,620,524	718,053,837	568,546,817	146,910,540
Net Fees and Commission Income	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319	14,951,675
Net Trading Gain/(Loss)	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009	(91,633,252)
Net Other Operating Income	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)	3,133,721
Total Operating Income	2,433,272,970	2,067,122,345	1,668,695,245	1,059,576,004	1,253,890,058	73,362,684
Impairment on Financial Assets	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890	27,062,702
Net Operating Income	2,216,095,045	2,064,304,990	1,574,015,219	958,755,463	1,237,796,168	46,299,982
Personnel Expenses	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212	140,504,480
Depreciation of Property, Plant and Equipment	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539	20,621,964
Amortisation of Intangible Assets	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863	4,704,727
Other Operating Expenses	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577	250,085,709
Total Operating Expenses	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,309	986,051,191	415,916,880
Operating Profit/ (Loss) Before Value Added Tax on						
Financial Services & Nation Building Tax	271,078,157	370,964,125	(980,260)	(424,820,845)	251,744,977	(369,616,898)
Value Added Tax on Financial Services &						
Nation Building Tax	168,266,307	152,248,222	79,288,996	13,184,143	45,941,033	-
Profit/ (Loss) Before Tax	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944	(369,616,898)
Tax Expenses/(Reversal)	62,171,499	60,086,657	-	(120,971,087)	59,809,292	(87,583,329)
Profit/(Loss) for the Year	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652	(282,033,569)

FINANCIAL SUMMARY

As at 31 December	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Assets						
Cash and Cash Equivalents	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015	1,053,061,115
Balance with Central Bank of Sri Lanka	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214	717,763,029
Derivative Financial Assets	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576	1,394,227
Placements with Banks	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383	1,518,571,708
Placements with Licensed Finance Companies	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754	3,113,721,106
Investment in Gold Bullion	-	-	-	-	-	799,582,509
Financial Investments - Held for Trading	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906	404,170,143
Financing and Receivables to Other Customers	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019	4,974,971,905
Financial Investments - Available for Sale	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612	545,349,490
Other Financial Assets	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038	390,688,206
Other Non-Financial Assets	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744	272,468,185
Property, Plant and Equipment	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910	481,382,002
Intangible Assets	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174	135,470,343
Deferred Tax Assets	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739	87,583,329
Total Assets	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Liabilities						
Due to Banks	751,963,513	2,955,277,882	-	-	-	-
Derivative Financial Liabilities	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614	-
Due to Other Customers	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452	11,362,868,664
Other Financial Liabilities	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288	111,725,486
Other Non-Financial Liabilities	112,175,024	113,063,448	23,607,873	13,688,807	13,843,550	7,080,883
Retirement Benefit Liability	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680	13,051,361
Total Liabilities	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,312	13,646,208,584	11,494,726,394
Shareholders' Funds						
Stated Capital	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720	3,431,611,720
Reserves	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)	(430,160,817)
Total Equity	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500	3,001,450,903
Total Liabilities and Shareholders' Funds	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Commitments and Contingencies	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724	4,167,021,073
Share Information						
Earnings/(Loss) per Share	0.03	0.13	(0.06)	(0.33)	0.16	(0.35)
Net Assets Value per Share	4.63	4.58	4.02	4.99	3.4	3.7

INVESTOR RELATIONS

Compliance Report on the Contents of Annual Report in terms of the Listing Rules of the Colombo Stock Exchange

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure requirements	Section Reference	Page Number/s
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board Directors on the Affairs of the Bank	103-106
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities	133
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations	195
7.6 (iv)	The Public Holding percentage and Number of Shares Held by Public.	Item 4 of Investor Relations	195
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Item 5 of Investor Relations	196
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 39 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report	167-177 and 49-66
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 6 of Investor Relations	196
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 25 to the Financial Statements - Property, Plant and Equipment	157-159
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 34 to the Financial Statements - Stated Capital	163
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations	194-195
7.6 (xi)	Ratios and Market Price information Equity Ratios Market Value Debenture Information Credit Rating	Item 1 of Investor Relations Item 1 of Investor Relations Not Applicable Corporate Information	194 194 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 25 to the Financial Statements - Property, Plant & Equipment	157-159
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Listing Rules since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance	
9.3.2 (a)	Disclosure of non-recurrent related party transactions	Item 7 of Investor Relations	196
9.3.2 (b)	Disclosure of recurrent related party transactions	Item 8 of Investor Relations	196
9.3.2 (c)	Report of the Related Party Transactions Review Committee setting out the specified disclosures	Please refer report on Related Party Transactions Review Committee	116
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank	103-106

INVESTOR RELATIONS

The Ordinary Shares of the Bank are listed on the Diri Savi Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET PRICE INFORMATION

1.1 Equity Ratios

	2016 Rs.	2015 Rs.
Dividend Per Share	-	-
Dividend Pay Out	-	-
Net Asset Value Per Share	4.63	4.58

1.2 Market Price

	2016 Rs.	2015 Rs.
As at 31 December	4.00	5.60
High	6.00	5.60
Low	3.50	4.60

Market Capitalisation as at 31 December 2016 - LKR 5,002,781,068/- (31 December 2015 - 7,003,893,495/-)

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2016			As at 31 December 2015		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,808	1,115,966	0.09	1,666	1,111,675	0.09
1,001 To 10,000 Shares	3,099	14,706,532	1.17	3,130	14,840,371	1.18
10,001 To 100,000 Shares	1,641	59,254,352	4.74	1,657	59,894,460	4.79
100,001 To 1,000,000 Shares	277	88,125,019	7.05	267	86,695,054	6.93
Over 1,000,000 Shares	43	1,087,493,398	86.95	45	1,088,153,707	87.01
	6,868	1,250,695,267	100.00	6,765	1,250,695,267	100.00

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2016			As at 31 December 2015		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	6,826	542,612,809	43.38	6,723	539,182,144	43.11
Non-Resident	42	708,082,458	56.62	42	711,513,123	56.89
	6,868	1,250,695,267	100.00	6,765	1,250,695,267	100.0

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2016			As at 31 December 2015		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	6,765	307,608,209	24.59	6,669	302,726,400	24.20
Institutional	103	943,087,058	75.41	96	947,968,867	75.80
	6,868	1,250,695,267	100.00	6,765	1,250,695,267	100.0

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No.	Name of Shareholder	2016		No.	Name of Shareholder	2015	
		No. of Shares	%			No. of Shares	%
1	Bank Islam Malaysia Berhad	180,562,011	14.44		Bank Islam Malaysia Berhad	180,562,011	14.44
2	AB Bank Limited	180,562,010	14.44		AB Bank Limited	180,562,010	14.44
3	Akbar Brothers (Pvt) Ltd	124,849,499	9.98		Akbar Brothers (Pvt) Ltd	120,374,674	9.62
4	Islamic Development Bank	120,374,673	9.62		Islamic Development Bank	120,374,673	9.62
5	Expolanka Holdings PLC	90,281,006	7.22		Expolanka Holdings PLC	90,281,006	7.22
6	Amāna Holdings Limited	75,750,755	6.06		Amāna Holdings Limited	73,024,918	5.84
7	Millennium Capital Investment Pte. Limited	70,140,503	5.61		Millennium Capital Investment Pte. Limited	70,140,503	5.61
8	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	2.99		Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	2.99
9	Trans Asia Trading Company	33,326,950	2.66		Trans Asia Trading Company	33,756,280	2.70
10	Mr. Sathiyamurthy Chandramohan	30,000,000	2.40		Mr. Sathiyamurthy Chandramohan	30,000,000	2.40
11	Al Bogari Islamic Gold DMCC	17,678,178	1.41		Al Bogari Islamic Gold DMCC	20,038,302	1.60
12	Mr. Ahamed Mihilar Mohamed Fazul Jiffry	14,284,200	1.14		Mr. Ahamed Mihilar Mohamed Fazul Jiffry	14,284,200	1.14
13	ABC International Limited	11,920,000	0.95		ABC International Limited	11,920,000	0.95
14	Mr. Mohamed Haji Omar	10,300,000	0.82		Amana Takaful (Maldives) PLC	9,398,344	0.75
15	Amāna Takaful (Maldives) PLC	9,398,344	0.75		Mr. Mohamed Haji Omar	8,230,973	0.66
16	Mrs. Nabila Qureshi	6,534,733	0.52		Mrs. Nabila Qureshi	6,534,733	0.52
17	Pan Asia Banking Corporation PLC / Lanka Commodity Brokers Ltd	6,142,800	0.49		Pan Asia Banking Corporation PLC / Lanka Commodity Brokers Ltd	6,142,800	0.49
18	Mr. Muhammad Muslim Salahudeen	5,756,667	0.46		Mr. Muhammad Muslim Salahudeen	5,666,667	0.45
19	Mr. Abdul Majeed Mohamedu Risvi	5,433,690	0.43		Mr. Abdul Majeed Mohamedu Risvi	5,352,742	0.43
20	Mr. Farook Kassim	5,232,644	0.42		Mubasher Financial Services	5,082,000	0.41
	Sub total	1,035,913,263	82.83		Sub total	1,029,111,436	82.28
	Other Shareholders				Other Shareholders		
	(31 December 2016 - 6848)	214,782,004	17.17		(31 December 2015 - 6745)	221,583,831	17.72
	Total	1,250,695,267	100.00		Total	1,250,695,267	100.00

4. Percentage of Public Holding as at 31 December 2016 - 31.31%.

Number of Shares Held by the Public as at 31 December 2016 - 391,690,217, represented by 6,840 shareholders.

INVESTOR RELATIONS

5. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER

Name of Director	2016	2015
	No. of Shares	No. of Shares
Mr. Osman Kassim	438,520	438,520
Mr. Tyeab Akbarally	26	26
Dato' A. Tajudin B.H. Abdul Rahman	-	-
Dr. A. A. M. Haroon	8	8
Mr. Mohamed Jazri Magdon Ismail	13,500	13,500
Mr. Haseeb Ullah Siddiqui	-	-
Mr. Wahid Ali Mohd. Khalil	-	-
Mr. Harsha Amarasekera, PC	-	-
Mr. Mohammed Wahidul Haque	-	-
Mr. Rajiv Nandlal Dvivedi	-	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	-	-
Mr. Faheemul Huq (Alternate Director to Mr. Mohammed Wahidul Haque)	-	-
Mr. Mohd. Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Mohd. Khalil)	-	-

The Chief Executive Officer's holding in shares as at 31 December 2016 amounted to 150,000

6. There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2016.
7. The aggregate value of non-recurrent related party transactions carried out during 2016 has not exceeded 10% of Equity or 5% of Total Assets of the Bank.
8. The aggregate value of recurrent related party transactions carried out during 2016 has not exceeded 10% of Gross Income of the Bank.

CORRESPONDENT BANKS

Country	Name of Bank	SWIFT Code
Australia	National Australia Bank Limited, Australia	NATAAU33
Bangladesh	AB Bank Limited - Dhaka, Bangladesh	ABBLBDDH
Bahrain	Mashreq Bank PSC - Manama, Bahrain	BOMLBHBM
	Khaleeji Commercial Bank, Bahrain	KHCBBHBM
Brunei	Bank Islam Brunei Darussalam, Brunei	BIBDBNBB
China	Standard Chartered Bank - Shanghai, China	SCBLCNSX
	Deutsche Bank (China) Company Limited - Beijing, China	DEUTCNBJ
	Axis Bank, China	AXISCNSH
Egypt	Mashreq Bank - Cairo, Egypt	MSHQEGCA
Germany	Commerzbank AG - Frankfurt, Germany	COBADEFF
	Deutsche Bank AG - Frankfurt, Germany	DEUTDEFF
	Commerzbank AG - Hamburg, Germany	COBADEHH
Hong Kong	U.B.A.F. (Hong Kong) Limited, Hong Kong	UBAFHKHX
	Mashreq Bank PSC - Hong Kong Branch, Hong Kong	MSHQHKHH
	Axis Bank, Hong Kong	AXISHKHH
India	AB Bank Limited - Mumbai, India	ABBLINBB
	Standard Chartered Bank - Mumbai, India	SCBLINBB
	Mashreq Bank - Mumbai, India	MSHQINBB
	Axis Bank, India	AXISINBB
Indonesia	Standard Chartered Bank - Jakarta, Indonesia	SCBLIDJX
Iraq	Cihan Bank for Islamic Investment and Finance - Iraq	CIHBIQBA
Italy	Banca Ubae SPA - Roma, Italy	UBAIITRR
Japan	U.B.A.F. Tokyo Branch, Tokyo, Japan	UBAFJPJX
	Commerzbank AG - Tokyo, Japan	COBAJPJX
	Standard Chartered Bank - Tokyo, Japan	SCBLJPJT
Korea	U.B.A.F. Seoul, Korea	UBAFKRSX
Kuwait	Mashreq Bank PSC - Kuwait	MSHQKWKW
Malaysia	Bank Islam Malaysia Berhad, Kuala Lumpur, Malaysia	BIMBMYKL
	Malayan Banking Berhad (Maybank) - Kuala Lumpur, Malaysia	MBBEMYKL
	Citibank Berhad - Kuala Lumpur, Malaysia	CITIMYKL
	Standard Chartered Bank Malaysia Berhad, Malaysia	SCBLMYKX
	Alkhair International Islamic Bank, Malaysia	UIIBMYKL
Maldives	Bank of Ceylon - Male, Maldives	BCEYMVMV
Netherlands	Commerzbank AG - Kantoor, Amsterdam, Netherlands	COBANL2X
New Zealand	Bank of New Zealand - Wellington, New Zealand	BKNZNZ22

CORRESPONDENT BANKS

Country	Name of Bank	SWIFT Code
Oman	Bank Nizwa, Oman	BNZWOMRX
Pakistan	Meezan Bank Limited - Karachi, Pakistan	MEZNPKKA
	Standard Chartered Bank - Karachi, Pakistan	SCBLPKKX
	Faysal Bank Limited - Karachi, Pakistan	FAYSPKKA
Qatar	Mashreq Bank - Doha, Qatar	MSHQQAQA
	Standard Chartered Bank - Doha, Qatar	SCBLQAQX
	Al Khalij Commercial Bank	KLJIQAQA
Singapore	Deutsche Bank AG, Singapore	DEUTSGSG
	Standard Chartered Bank, Singapore	SCBLSGSG
	Standard Chartered Bank, Singapore	SCBLSG22
	Axis Bank, Singapore	AXISSGSG
	Wells Fargo, Singapore	PNBPSGSG
Saudi Arabia	Deutsche Bank AG - Riyadh, Saudi Arabia	DEUTSARI
	Bank Al-Jazira - Jeddah, Saudi Arabia	BJAZSAJE
	Alawwal Bank - Riyadh, Saudi Arabia	AAALSARI
Switzerland	Habib Bank AG Zurich - Zurich, Switzerland	HBZUCHZZ
Turkey	Turkiye Garanti Bankasi A.S. - Istanbul, Turkey	TGBATRIS
	Turkiye Finans Katilim Bankasi A.S. - Istanbul, Turkey	AFKBTRIS
	Aktif Bank, Turkey	CAYTTRIS
UAE	Dubai Islamic Bank - Dubai, U.A.E.	DUIBAEAD
	Standard Chartered Bank - Dubai, U.A.E.	SCBLAEAD
	Mashreq Bank PSC - Dubai, U.A.E.	BOMLAEAD
	Al Hilal Bank - Abu Dhabi, U.A.E.	HLALAEAA
	Abu Dhabi Islamic Bank - Abu Dhabi, U.A.E.	ABDIAEAD
	United Arab Bank - U.A.E.	UARBAEAA
	Abu Dhabi Commercial Bank	ADCB AEAA
	Axis Bank, U.A.E.	AXISAEAD
	Noor Islamic Bank, U.A.E.	NISLAEAD
UK	Bank Of Ceylon - London, United Kingdom	BCEYGB2L
	Mashreq Bank PSC - London, United Kingdom	MSHQGB2L
	Deutsche Bank Trust Company Americas - London, UK	BKTRGB2L
	Standard Chartered Bank - London, UK	SCBLGB2L
USA	Deutsche Bank AG - New York, U.S.A.	BKTRUS33
	Mashreq Bank Psc - New York Branch, U.S.A.	MSHQUS33
	Standard Chartered Bank - New York, U.S.A.	SCBLUS33

GLOSSARY OF BANKING AND FINANCIAL TERMS

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment or uncollectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

Available for Sale

Available for Sale investments are non-derivative financial assets that are not designated as financing and receivables, held to maturity or fair value through profit or loss. It does not necessarily mean that the Bank is holding the investments for disposal in the short term.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Operating expenses compared to net income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D

Dealing Securities

Securities acquired and held with the intention of reselling them in the short term.

Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

E

Earnings Per Share (EPS)

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

F

Fair Value

Fair value is the amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction.

Fair Value Adjustment

An adjustment to the fair value of a financial instrument which is determined using a valuation technique to include additional factors that would be considered by a market participant that are not incorporated within the valuation model.

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Asset or Financial Liability at Fair Value Through Profit or Loss

Financial asset or financial liability that is held for trading or upon initial recognition designated by the entity as at 'Fair Value through Profit or Loss'.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Financing and Receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G**General Provisions**

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H**Held for Trading**

Investments that are purchased with the intent of selling them within a short period of time.

Held to Maturity Financial Assets

Held to maturity investments are non-derivative financial assets with fixed or determinable payments and a fixed maturity that an entity has the positive intention and ability to hold to maturity.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I**Impairment**

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

Investment Securities

Securities acquired and held for yield and/or capital growth.

K**Key Management Personnel**

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

GLOSSARY OF BANKING AND FINANCIAL TERMS

L

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default ('LGD')

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Non-Performing Advances Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

Off Balance Sheet Transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Past Due

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

Related Parties

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Return on Average Assets

Profit for the year divided by Average Assets.

Return on Equity (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves

Reserves set aside for future distribution and investment.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S**Segment Reporting**

Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds

Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T**Tier I Capital (Core Capital)**

Core capital includes stated capital, statutory reserve, retained profits, general and other reserves.

Tier II Capital (Supplementary Capital)

Supplementary Capital includes, approved revaluation reserves, general provisions and hybrid capital instruments.

Total Capital

Capital base is the summation of core capital (Tier I) and the supplementary capital (Tier II).

Transaction Costs

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

V**Value Added**

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

Value Added Taxes on Financial Services

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

BRANCH NETWORK



Branch	Address	Tel No.	Fax No.	E-Mail
Colombo Main Branch	480, Galle Road, Colombo 3	011 7756000	011 4718148	mainbranch@amana.lk
Akkaraipattu	102, Main Street, Akkaraipattu	067 7756015	067 2279319	akkaraipattu@amana.lk
Akurana	204/1, Matale Road, Akurana	081 7756010	081 2304761	akurana@amana.lk
Badulla	18/1, Lower Kings Street, Badulla	055 7756021	055 2228280	badulla@amana.lk
Dehiwala	28, Galle Road, Dehiwala	011 7756016	011 2722505	dehiwala@amana.lk
Dematagoda	7, Kent Road, Dematagoda, Colombo 9	011 7756028	011 7756889	dematagoda@amana.lk
Eravur	108/5, Punnakuda Road, Eravur	065 7756019	065 2241410	eravur@amana.lk
Galle	24, Old Matara Road, Galle	091 7756008	091 2226610	galle@amana.lk
Gampola	119, Kandy Road, Gampola	081 7756011	081 2350786	gampola@amana.lk
Kaduruwela	379, Main Street, Kaduruwela	027 7756022	027 2227009	kaduruwela@amana.lk
Kalmunai	32, Main Street, Kalmunai	067 7756006	067 2223599	kalmunai@amana.lk
Kalmunai Unity Square	Kalmunai Unity Square Shopping Complex, Main Street, Kalmunai	067 7756026	067 2059779	kalmunaimi@amana.lk
Kandy	105, Kotugodella Street, Kandy	081 7756003	081 2200238	kandy@amana.lk
Kattankudy	187, Main Street, Kattankudy	065 7756004	065 2247399	kattankudy@amana.lk
Kinniya	264, Main Street, Kinniya	026 7756025	026 2236656	kinniya@amana.lk
Kirulapone	124, Maya Avenue, Colombo 6	011 7756029	011 7756899	kirulapone@amana.lk
Kuliyapitiya	215-1/1, Main Street, Kuliyapitiya	037 7756018	037 2282280	kuliyapitiya@amana.lk
Kurunegala	137, Puttalam Road, Kurunegala	037 7756014	037 2221925	kurunegala@amana.lk
Ladies Branch	480, Galle Road, Colombo 3	011 7756381	011 7756389	ladiesbranch@amana.lk
Mawanella	22B, New Kandy Road, Mawanella	035 7756013	035 2248181	mawanella@amana.lk
Negombo	97, Colombo Road, Negombo	031 7756020	031 2231765	negombo@amana.lk
Nintavur	40/5, Main Street, Nintavur	067 7756017	067 2251591	nintavur@amana.lk
Oddamavadi	Main Street, Mawadichennai	065 7756009	065 2258099	oddamavadi@amana.lk
Old Moor Street	330, Old Moor Street, Colombo 12	011 7756027	011 7756879	oms@amana.lk
Pettah	129, Main Street, Colombo 11	011 7756002	011 2380688	pettah@amana.lk
Puttalam	23, Colombo Road, Puttalam	032 7756024	032 2267188	puttalam@amana.lk
Ratnapura	131-133, Main Street, Ratnapura	045 7756023	045 2230245	ratnapura@amana.lk
Sammanthurai	'Hajiyar Palace', Hijra Junction, Ampara Road, Sammanthurai	067 7756012	067 2261299	sammanthurai@amana.lk

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the eighth Annual General Meeting of Amāna Bank PLC will be held on Friday, 16 June 2017 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Buddhaloka Mawatha, Colombo 7.

Agenda

- 1) To receive and consider the Annual Report of the Board and the Financial Statements of the Bank for the financial year ended 31 December 2016 together with the Report of the Auditors thereon.
- 2) To re-elect the following Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Haseeb Ullah Siddiqui (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (c) To re-elect Mr. Wahid Ali Bin Mohd. Khalil (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (d) To re-elect Mr. Harsha Amarasekera (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
- 3) To re-elect the following Director who has been appointed since the last Annual General Meeting of the Company in terms of Article 29(13) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Articles of Association of the Company.
- 4) To re-appoint Messrs Ernst & Young, Chartered Accountants, as the Auditors, for the ensuing year and authorise the Directors to determine their remuneration.
- 5) To re-appoint the Sharia Supervisory Council consisting of:
 - a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - b) Ash-Sheikh Nazri Bin Chik
 - c) Ash-Sheikh M. M. A. Mubarak
 - d) Ash-Sheikh Mufti M. I. M. Rizwe
 - e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 6) Any other business.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

10 May 2017
Colombo.

NOTE:

Shareholders/proxy holders are requested to bring with them their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

FORM OF PROXY

I/We.....of
.....being a Shareholder/s* of the above named Company, hereby appoint
.....of.....or

- | | |
|--|----------------|
| 1. Mr. Osman Kassim | or failing him |
| 2. Mr. Tyeab Akbarally | or failing him |
| 3. Dato' Ahmad Tajudin Bin Abdul Rahman | or failing him |
| 4. Dr. Aboobacker Admani Mohamed Haroon | or failing him |
| 5. Mr. Mohamed Jazri Magdon Ismail | or failing him |
| 6. Mr. Haseeb Ullah Siddiqui | or failing him |
| 7. Mr. Wahid Ali Bin Mohd. Khalil | or failing him |
| 8. Mr. Harsha Amarasekera | or failing him |
| 9. Mr. Rajiv Nandlal Dvivedi | or failing him |
| 10. Mr. Pradeep Dilshan Rajeeva Hettiaratchi | or failing him |
| 11. Mr. Faheemul Huq | |

as my/our* Proxy to represent me/us* and vote for me/us* on my/our* behalf at the Annual General Meeting of the Company to be held on Friday 16 June 2017 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Baudhdhaloka Mawatha, Colombo 7, Sri Lanka and at any adjournment thereof.

Signed this.....day of.....2017.

.....
Signature

Please provide the following details:

Shareholder's NIC No./Company Registration No. :

Number of Shares held :

Proxy holder's NIC No. (if not a Director) :

**Please delete the inappropriate words.*

Notes:

- 1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his/her place.
- 2. A proxy need not be a member of the Company

FORM OF PROXY

Instructions for the Completion of Form of Proxy

1. The Form of Proxy must be duly completed and signed by the member/s in block capitals giving the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, 7th Floor, No. 403, Galle Road, Colombo 3 not less than 48 hours before the time appointed for the holding of the meeting. (by 3.00 pm on Wednesday 14 June 2017)
3. If the Proxy has been signed by an Attorney, the relative Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.
5. In case of joint shareholders the first named shareholder only can sign the Form of Proxy.

CORPORATE INFORMATION

Name of the Institution

Amāna Bank PLC

Legal Form

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Diri Savi Board of the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No.30 of 1988 and amendments thereto.

Company Registration Number

PB 3618 PQ

Accounting Year End

31 December

Business

Commercial banking and related services

External Credit Rating

The Bank is rated by Fitch Ratings Lanka Limited as BB/Long term outlook Stable

Registered Office

480, Galle Road, Colombo 3, Sri Lanka
Tel : (94) - (11) - 7756000
Fax : (94) - (11) - 2574419

Swift

AMNALKLX

Web

www.amanabank.lk

Tax Payer Identification Number (TIN)

134036184

VAT Registration Number

134036184-7000

Board of Directors (as at 31 December 2016)

1. Mr. Osman Kassim (Chairman, Non-Executive, Non-Independent Director)
2. Mr. Tyeab Akbarally (Deputy Chairman, Non-Executive, Non-Independent Director)
3. Dato' A. Tajudin B. H. Abdul Rahman (Non-Executive, Independent Senior Director)
4. Dr. Aboobacker Admani Mohamed Haroon (Non-Executive, Non-Independent Director)
5. Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Director)

6. Mr. Haseeb Ullah Siddiqui (Non-Executive, Non-Independent Director)
7. Mr. Wahid Ali Bin Mohd. Khalil (Non-Executive, Non-Independent Director)
8. Mr. Harsha Amarasekera, PC (Non-Executive, Non-Independent Director)
9. Mr. Mohammed Wahidul Haque (Non-Executive, Non-Independent Director)
10. Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)
11. Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director) (appointed with effect from 25 June 2016)

Alternate Directors (as at 31 December 2016)

1. Mr. Huzefa Inayetally Akbarally - Alternate Director to Mr. Tyeab Akbarally
2. Mr. Mohamed Faizel Mohamed Haddad - Alternate Director to Mr. Osman Kassim
3. Mr. Faheemul Huq - Alternate Director to Mr. Mohammed Wahidul Haque
4. Mr. Mohd. Muazzam Mohamed - Alternate Director to Mr. Wahid Ali Bin Mohd. Khalil

Sharia Supervisory Council

- a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
- b) Ash-Sheikh Nazri Bin Chik
- c) Ash-Sheikh M. M. A. Mubarak
- d) Ash-Sheikh Mufti M. I. M. Rizwe
- e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Board Committees (as at 31 December 2016)

Board Audit Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Dato' A. Tajudin B. H. Abdul Rahman - Member
3. Mr. Rajiv Nandlal Dvivedi - Member
4. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 24 September 2016)

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Dato' A. Tajudin B.H. Abdul Rahman - Member
3. Mr. Mohamed Jazri Magdon Ismail - Member
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. Ajmal Naleer - Member (appointed with effect from 1 January 2016)

Board Nomination Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Harsha Amarasekera - Member
3. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 25 June 2016)

Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Dilshan Hettiaratchi - Member (appointed with effect from 20 August 2016)

Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Dato' A. Tajudin B.H Abdul Rahman - Member
3. Mr. Rajiv Nandlal Dvivedi - Member
4. Mr. Dilshan Hettiaratchi - Member

Company Secretary

Mrs. Samitha Dayani de Silva, FCIS, FCCS

Auditors

Messrs Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10, Sri Lanka

Lawyers

Messrs F J & G de Saram
Attorneys-at-Law & Notaries Public
216, De Saram Place, Colombo 10

For investor relations and clarifications on the report, please contact:

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